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Finland

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OECD ECONOMIC SURVEYS

2001-2002

Finland

OECD

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BASIC STATISTICS OF FINLAND (2000)

THE LAND

Area (1 000 km^2, 1995):	338.1
of which:	
Cultivated land	27.5
Forests	230.0
Lakes	33.6

Major cities (thousand inhabitants, end 2000):	
Helsinki	555.5
Espoo	213.3
Tampere	195.5
Vantaa	178.5

THE PEOPLE

Population (thousands, end 2000)	5 181
Number of inhabitants per km^2	15.3
Net natural increase (thousands)	7.4
Net migration (thousands)	2.6

Labour force (thousands)	2 588
Employment (thousands)	2 336
Employment (% of total):	
Agriculture, forestry and fishing	6.1
Industry and construction	21.1
Services	72.8

PARLIAMENT AND GOVERNMENT

Composition of Parliament (number of seats):	
Social Democratic Party	51
Centre Party	48
National Coalition Party (conservatives)	46
Left Alliance	20
Green League	11
Swedish People's Party	11
Christian League	10
Other	3
Total	200

Government, number of ministers from:	
Social Democratic Party	6
National Coalition Party (Conservatives)	6
Left Alliance	2
Green League	2
Swedish People's Party	1
Independent	1
Total	18

Last general elections: 21 March 1999

PRODUCTION AND PUBLIC SECTOR

Gross domestic product (billion EUR)	131.7
GDP per head (EUR)	25 439
Gross fixed capital investment:	
% of GDP	19.3
Per head (EUR)	4 915

Public consumption (% of GDP)	20.7
General government (% of GDP):	
Current and capital expenditure	43.9
Current revenue	50.8

FOREIGN TRADE

Exports of goods and services (% of GDP)	42.7
Main exports (% of total):	
Wood, pulp and paper	27.1
Electrical and optical equipment	31.0
Metals, machinery and transport equipment	24.7
Other goods	17.1

Imports of goods and services (% of GDP)	33.3
Main imports (% of total):	
Intermediate goods	40.8
Capital goods	24.0
Consumer goods	22.9
Energy	12.3

THE CURRENCY

Monetary unit: Markka/euro

Fixed conversion rate to euro:

EUR 1 = FIM 5.94573

Currency units per USD, average of daily figures:	
Year 2000	6.45
October 2001	6.56

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is published on the responsibility of the Economic and Development Review Committee of the OECD, which is charged with the examination of the economic situation of Member countries.

•

The economic situation and policies of Finland were reviewed by the Committee on 22 November 2001. The draft report was then revised in the light of the discussions and given final approval as the agreed report of the whole Committee on 5 December 2001.

•

The Secretariat's draft report was prepared for the Committee by Wim Suyker, Vesa Makkonen and Isabelle Joumard under the supervision of Peter Hoeller.

•

The previous Survey of Finland was issued in July 2000

Assessment and recommendations

External factors have caused a sharp slowdown in 2001…

After seven years of strong growth that culminated in a surge in output of almost 6 per cent in 2000, the Finnish economy was working close to capacity, bottlenecks had emerged and first signs of overheating had appeared. However, since late 2000 activity has turned around sharply. On the basis of monthly figures, output has been lower than a year earlier since June 2001 and year-on-year growth in 2001 is estimated at a meagre ½ per cent. This rupture was largely caused by external factors. The economic slowdown in the United States and Europe led to a sharp contraction in paper exports and weighed heavily on exports of the electronic equipment industry, which also suffered from demand saturation and disappointing sales of new products.

… while domestic demand has also started to weaken

Housing investment had already started to decline in early 2000, largely reflecting higher interest rates, while business investment started to drop in the second quarter of 2001. The 11 September terrorist attacks in the United States have almost certainly further weakened domestic demand, including private consumption. As a result of slowing activity, labour market tensions and overheating risks have disappeared and inflation has fallen to the euro area average. Unemployment continued to edge down in the first two quarters, the slowdown being mainly reflected in weak productivity, but it has increased in the third quarter.

Lacklustre activity is projected for 2002, but a recovery for 2003

The strong financial position of households and firms, the healthy banking sector and a government budget in surplus should make it somewhat easier to weather the current harsh international economic climate. However, with the global economy projected to remain very weak by the OECD

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Secretariat, Finnish activity is also projected to continue to be lacklustre, growing by only 1¼ per cent in 2002, leading to a rise in unemployment and a further widening of the output gap. Private consumption growth will be supported by a substantial tax cut and real wage gains, but business investment will suffer from poor business sentiment. A recovery is projected to take hold during the second half of 2002 and growth could reach 3½ per cent in 2003 when the international recovery is projected to gain momentum. As a result, unemployment should start to fall again during 2003 but the output gap will remain large. With unemployment above the NAIRU (non-accelerating inflation rate of unemployment), inflation should remain subdued.

Uncertainty is high but the fiscal authorities should not overreact to it

The September attacks have heightened uncertainty and the international – and thus also Finnish – recovery may take more time to materialise than imbedded in the central scenario. Another major uncertainty concerns the electronic equipment industry where downside risks prevail in the short term but upward risks – a positive reaction of consumers to third-generation mobile telephony – exist in the medium term. The recent and projected further easing of monetary policy in the euro area should help to cope with the current unfavourable international environment. On the other hand, fiscal policy can do little to smooth big cyclical swings because the fiscal multipliers are small in an open economy like Finland and it would be very difficult to get the timing and size of an additional fiscal stimulus right. Furthermore, policy activism might jeopardise essential long-term budgetary objectives. In any case, the fiscal stance is already supportive. Finally, an earlier and sharp recovery, while a low-probability scenario, cannot be ruled out either. In this case, worries about overheating could quickly resurface.

Expenditure cuts may be required to return the central government surplus to target

The authorities have set a central government surplus target of 1½ to 2 per cent of gross domestic product for this decade. However, as a result of the economic slowdown and tax cuts, the central government balance will be far below this target in 2002 and may even move into deficit. Nevertheless, the Finnish authorities should allow the automatic

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stabilisers to operate and cut the income tax as planned. Given permanently lower tax revenues on capital gains and stock options and inevitable cuts in indirect taxes, the projected recovery may be insufficient to return the surplus to target. Should this turn out to be the case, some additional consolidation measures would be needed. As the tax burden is already high, eventual corrective measures should be taken on the expenditure side. In this context, the rise in government outlays in 2002 – not in line with the government's goal of keeping spending constant in volume terms – is worrying as it implies a slippage on the government expenditure target. The spending limits agreed earlier on, but not adhered to in 2002, should be respected in 2003-05, when a recovery is expected to be firmly underway. The government's aim to achieve a structural surplus in central government finances in 2003 in the coming negotiations on the spending limits is therefore welcome.

The increased long-term focus of fiscal policy and recent pension reform proposals are welcome

The medium-term surplus target reflects the high weight that long-term considerations have rightly been given in setting fiscal policy. As recognised by the authorities, a substantial budget surplus will be essential to smooth the economic impact of the ageing of the population in the coming decades. Two working groups have proposed ways to reform pension and unemployment benefit systems. A raft of proposals aims at raising the effective age of retirement, for example by introducing a flexible statutory retirement age with strong incentives to remain in work. While the proposals are in general welcome they do come at a cost. Currently, the net effect of the proposals on the sustainability of the pension system is difficult to assess and will depend critically on future decisions of the government on various issues that were left open. These issues should be resolved in a prudent manner to safeguard the sustainability of the system over time. Most importantly, pension benefits should be linked to lifetime earnings and increasing life expectancy should be allowed to affect the retirement age. There is a risk that, in the absence of a rise in the effective retirement age in coming years, the goal of reducing the tax burden on labour or lowering government outlays to cope with ageing will be more difficult to achieve.

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A good policy framework should support reaping the full gains of the ICT revolution

Prior to the recent slump, Finland's growth performance was among the best in the OECD, but this year's turnaround underlines the substantial uncertainties overshadowing the prospects of the Finnish electronic equipment industry in the medium term. It is important for Finland to remain a centre of excellence in mobile telephony, even if its high exposure in this field will lead occasionally to great volatility. The authorities could contribute to keeping its strong position by sound macroeconomic management and by continuing with its current policy on research and development. The authorities should also take measures – such as reducing the taxation of the highly-skilled and implementing a more liberal immigration policy – to prevent the labour market from becoming a bottleneck for strong future growth of this sector. Moreover, to achieve higher productivity in the ICT-using industries, which in the longer term are likely to be even more important for economic performance, the authorities should aim at framework conditions that lead to greater product and labour market flexibility.

More remains to be done to lower unemployment

Unemployment has halved since 1994 but is twice as high as in the best performing countries in the European Union, indicating that more remains to be done to get people back into work. Many persons have serious difficulties in finding regular work and are trapped in a vicious circle that includes long unemployment spells, participation in active labour market programmes (ALMPs), which are often not very effective, and short periods of employment. To break out of this circle, financial incentives to find a regular job should be increased, especially by more strongly enforcing existing eligibility criteria. The working groups have proposed to introduce a mild degressivity in unemployment benefits (payments tapering off over time), but more should be done in this respect. The proposed limited outsourcing of placement services by the public employment service is a step in the right direction, but the introduction of a general contestable placement market would be even better. At the same time, ALMPs that do not show satisfactory results should be re-examined. While incomes policy has been instrumental in keeping labour cost pressures low, it has also contributed to a very compressed wage distribution, thereby reinforcing regional and skill imbalances. In this

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regard, it is important to aim at a change in wage formation that would allow greater room for wage setting at the firm level.

The authorities should speed up privatisations and become a purchaser of public services

Partly state-owned companies still employ more than 10 per cent of business sector employees. To improve the functioning of product markets, further privatisation should be pursued, as soon as the stock market has turned around. In this context, the broadening of the privatisation mandates in 2001 is welcome, but full privatisation of many companies is still not on the agenda. In the network industries, where Finland has been a pioneer in market liberalisation, competition could be further stimulated by the more rapid development of alternative networks. The authorities should also strengthen competition by focusing on private and public services. Deep changes are needed in the public sector that would improve work and management practices and would gradually transform the government's role from that of a producer to that of a purchaser of public services from private companies.

Supervision of the financial sector should be adapted to increasing internationalisation and conglomeration

The Finnish financial sector is healthy and profits reached a record level in 2000, but, as elsewhere, this could change quickly in the case of protracted weakness of economic activity. The authorities can contribute to maintaining the solidity of financial institutions by adapting the regulatory and supervisory systems to their increasing internationalisation and conglomeration. In this context, the merger of the Financial Supervision Authority and the Insurance Supervision Authority is being considered by the government. Furthermore, co-operation with the other Nordic supervisors should be strengthened and the provision of emergency liquidity assistance to pan-Nordic conglomerates may need clarification.

High taxes hamper growth potential

The special chapter of this *Survey* reviews the options for tax reform. Finland is among the most egalitarian countries in the OECD and a high tax burden is required to finance the associated public spending. Nevertheless, capital and corporate income taxation was substantially and effectively reformed in the early 1990s, through significant rate cuts *cum* base broadening measures. But, despite

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income tax cuts since the mid-1990s, high taxes, especially on labour income, still hamper growth potential and distort economic behaviour. In this respect, the poor performance of the Finnish labour market is revealing.

To improve labour market performance, a shift from labour to property and consumption taxation is required…

Tax reform should therefore be targeted first towards enhancing the performance of the labour market. However, the scope for a shift from income to consumption taxes is limited as the latter are already high. Moreover, a cut in excise taxes is inevitable as the current restrictions on imports of alcohol and tobacco from other European Union countries will have to be abolished in 2004. Nonetheless, the existing room to raise the yield by widening the range of goods and services taxed at the normal VAT rate should be used. The tax burden could also be shifted somewhat from labour to property, with the additional advantage that this could provide the municipalities with a more suitable tax base. There is also room to cut statutory income tax rates by reducing the generous tax incentives for pension savings and home ownership. However, to allow a significant reduction in the taxation of labour, deep reforms on the expenditure side are critical.

… accompanied by cuts in social security contributions for the low-paid

High marginal tax rates on labour have been a long-standing issue. They reflect high statutory rates and, at the middle to lower end of the earnings scale, means-tested benefits. Since the mid-1990s, the main tax initiative to improve labour market performance has been the gradual rise in the earned-income tax allowance (EITA), which has probably contributed to wage moderation. However, in Finland this may not be the most effective scheme to lower unemployment, which affects many of the less qualified. It raises incentives for the low-paid to enter the labour market but the highly centralised bargaining system, resulting in a compressed wage structure, undermines firms' incentives to hire them. To avoid that higher up in the earnings scale, the phase-out of the EITA raises marginal effective tax rates too much, the EITA has been extended to virtually all workers, raising the cost in terms of foregone revenues. This, in turn, has limited the authorities' room for manoeuvre to cut statutory rates. Less reliance on the EITA, combined with a cut in statutory tax rates would deal with these adverse incentive

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effects. This could be accompanied by a replacement of the current differentiation by company-size of social security contributions by targeted cuts in contributions for the low-paid, provided that an agreement with the social partners on structural reform ensures that such cuts actually reduce total labour cost rather than feeding into higher wages. In several countries, these kinds of cuts have shown significant results.

Capital taxes should be kept competitive

The reforms of the taxation of corporate profits and saving income in the early 1990s have improved incentives and resource allocation. A broad tax base, a relatively low statutory rate and a high degree of neutrality have underpinned investment and provided a boost to economic growth. However, with a broader tax base than in many other OECD countries and a high degree of openness of the Finnish economy, it is important to keep the corporate and capital tax rates low. For distributional reasons, these have been raised from 25 to 29 per cent since 1995. A further rise should be avoided and therefore, in case of continuing strong pressure to increase capital taxation, it would be preferable to reintroduce the taxation of dividends – by a reduction of the imputation credit for residents – as was recently done in other OECD countries (Germany, Sweden and Norway). This would leave the tax burden of foreign investors unchanged and, given their sizeable share in the Finnish stock market, would not affect much the financing costs of listed Finnish companies.

Summing up

The Finnish economy has been hit by the global economic slowdown, especially the ICT sector, and lacklustre growth is projected for 2002, followed by a recovery in 2003 when international trade is expected to regain momentum. The 11 September terrorist attacks in the United States have heightened uncertainty so that the key risk is that the recovery will begin later than projected. A well-judged policy response to the current uncertainties is therefore crucial. The recent and projected monetary policy easing will support the cyclical upturn in the euro area and is therefore welcome. Likewise, the significant fiscal easing in Finland over the period 2000-02 should also support a recovery. Even so, the budget position is strong enough for the Finnish authorities

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to allow automatic stabilisers to operate next year, but succumbing to the temptation to do still more would risk getting the timing and size of the stimulus wrong and would jeopardise essential long-term budgetary objectives. Indeed, some additional tightening measures may prove to be necessary in order to meet these objectives. The authorities are to be commended for increasing the long-term focus of fiscal policy, the aim being a sizeable central government surplus over the medium term to smooth the fiscal impact of ageing. While recent proposals aim at raising the effective age of retirement, they may not ensure the sustainability of the pension system. This would critically depend on future decisions by the government on various issues that are still open. The government should, as it has indicated, resolve the remaining issues in a way which will improve the sustainability of public finances. Changes to the unemployment benefit system should also be high on the reform agenda to provide better incentives for the unemployed to find regular work, while more flexibility in the central wage bargaining system is needed to reduce regional and skill imbalances. Tax reforms also have a major role to play in improving the long-term performance of the Finnish economy. Though the scope is limited, the tax burden should be shifted as much as possible from labour to property and consumption, while the earned-income tax allowance should play a smaller role, enabling cuts in statutory rates. This could be accompanied by cuts in social security contributions for the low paid. Moreover, taxation of capital should be kept competitive. With fiscal policy anchored in the government's long-term objectives and a focussed structural reform programme, Finland should be able to pull out of the current downturn and return to a strong economic performance rather rapidly.

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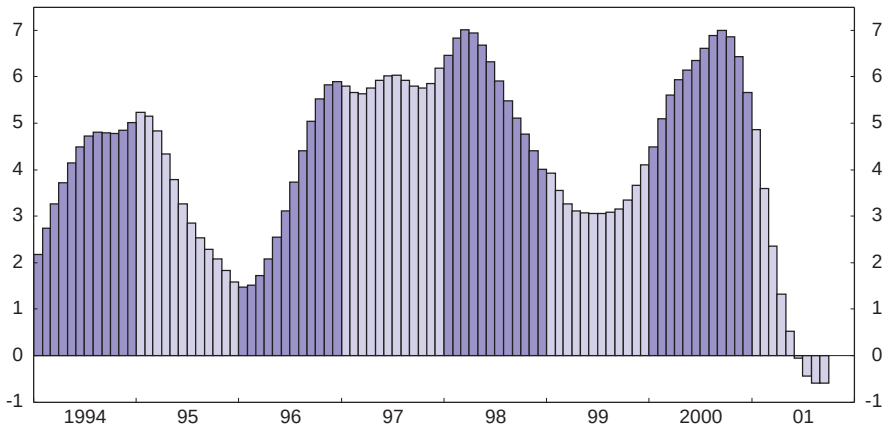
I. Macroeconomic developments, prospects and policy challenges

Since the end of 2000, activity has turned around sharply and the economy was technically in recession in the first two quarters of 2001.[1] After seven years of strong growth that culminated in a rise of gross domestic product (GDP) of 5.7 per cent in 2000, year-on-year expansion is estimated to have come down to a meagre ½ per cent in 2001, with the monthly figures showing output lower than a year earlier since June 2001 (Figure 1). In the manufacturing sector, the rupture was extremely steep. In the final quarter of 2000, manufacturing production peaked at a level 14 per cent higher than a year earlier, but in the third quarter of 2001 production had fallen back by 6 per cent from that peak. The factors behind this sharp

Figure 1. **Monthly output developments**

Per cent change over 12 months[1]



1. Monthly indicator of total output (1995 = 100), trend.
Source: Statistics Finland.

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turnaround are largely external. The economic slowdown in the United States and Europe led to a sharp contraction in exports of the paper industry. It weighed heavily too on exports of the electronic equipment industry, which also suffered from demand saturation and disappointing purchases of new products. Feed-through effects of falling exports on private consumption were small, however, as the initial impact on employment was limited and plummeting industrial output mainly showed up in lower productivity. Hence, despite the output collapse, unemployment edged down at the same moderate pace in the first half of 2001 as in the previous year. However, it remained high in an international and historical perspective (Figure 2) and the deterioration in economic conditions led to a rise in unemployment and a fall in vacancies in the third quarter. As a consequence, labour shortages are no longer a bottleneck for production.

The sustained sound management of fiscal and monetary policy, in combination with moderate wage agreements had underpinned the sharp recovery from 1994 to 2000. The central government budget swung from a deficit of 11 per cent of GDP in 1994 at the trough of the recession to a surplus estimated by the Ministry of Finance at 1.9 per cent of GDP in 2001. Recently, fiscal policy has become more focused on long-term issues, with the government setting a medium-term target for the central government budget surplus. The target is defined as a surplus of "at least 1½ to 2 per cent of GDP on average over the next decade" (Ministry of Finance, 2001). This is appropriate given the expected fiscal pressures due to ageing, the need to reduce the tax burden further and the limited impact of fiscal policy on the cycle in a small open economy like Finland. However, it also implies challenges for setting budgetary policy in the years ahead. Structural reforms, especially of the labour market (see Chapter II), would help to achieve the long-term budgetary objectives by improving economic performance.

Against this background, the following sections provide an overview of recent macroeconomic developments and discuss the macroeconomic policy stance. The chapter concludes with the prospects for 2002 and 2003, together with an assessment of both the risks surrounding these projections and the main macroeconomic policy challenges in the years ahead.

Recent economic developments

Exports and imports fell in 2001 *after a surge in* 2000

Slowing world demand has had a dramatic effect on Finnish exports since the last quarter of 2000. Before that, exports experienced a breathtaking upturn, surging by 18 per cent in 2000, the highest rate in decades (Table 1).[2] This record pace was mainly due to the phenomenal 50 per cent increase in exports of the

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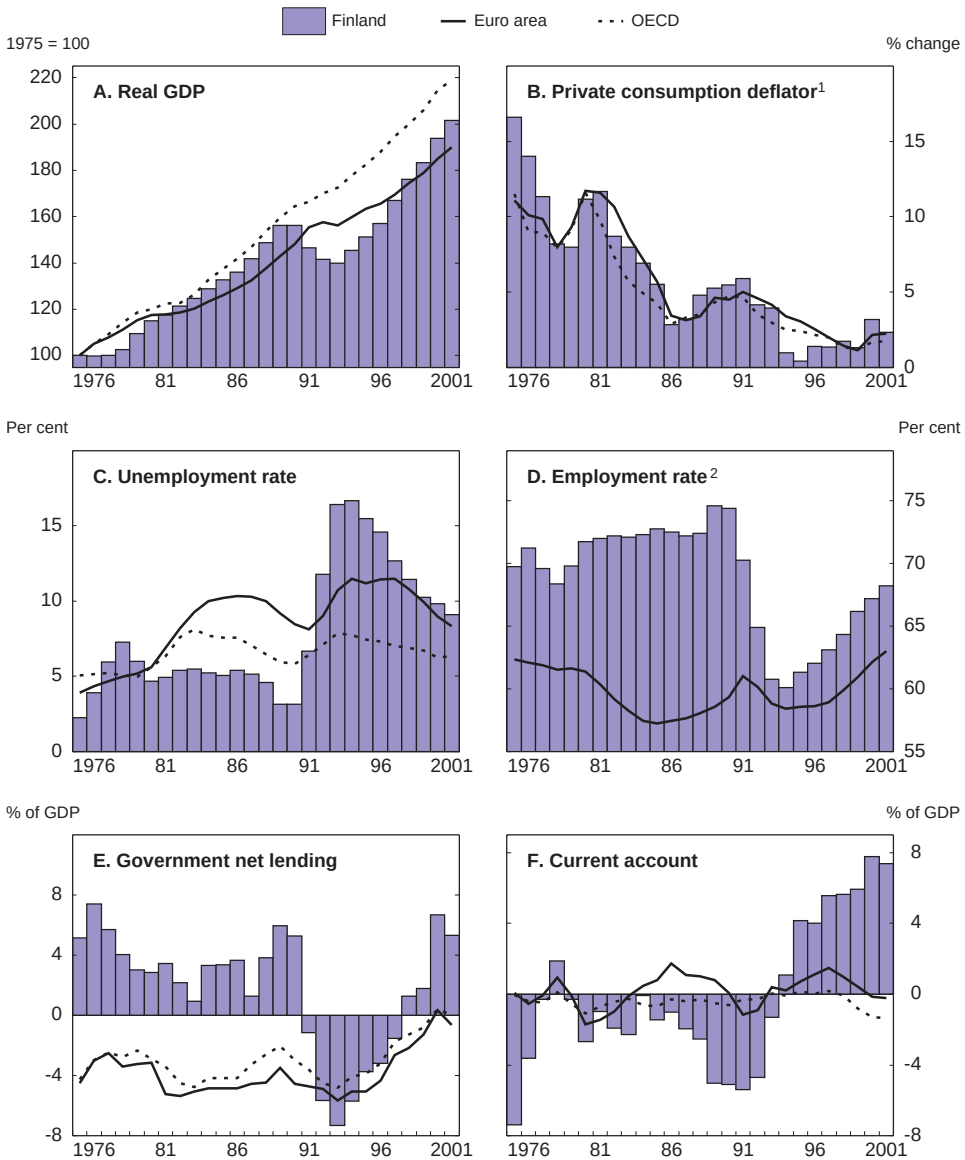
Figure 2. **Key indicators in long-term and international perspective**



1. OECD excludes high inflation countries.
2. Total employment as a per cent of working age population (aged 16-64).

Source: OECD (2001), *Economic Outlook*, No. 70.

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Table 1. **Demand and output**
Percentage change, volume[1]

	1998	1999	2000	2001[2]	2000 1st half	2000 2nd half	2001 1st half
Private consumption	5.1	4.0	3.0	2.0	3.8	–0.2	3.2
of which: Durable goods	17.5	7.9	4.2	..	6.8	–9.2	–9.9
Government consumption	1.7	1.9	0.7	1.6	–1.7	2.8	1.8
Gross fixed capital formation	9.3	3.0	5.5	1.3	5.8	4.6	3.2
Public sector	–1.4	–2.2	–5.4	–3.1	–7.4	–12.8	–0.5
Private sector	11.6	3.9	7.4	1.9	8.3	7.6	3.7
Residential	7.8	12.7	3.4	–7.5	4.8	–7.5	–7.5
Non-residential	13.0	1.0	9.0	5.3	9.7	13.7	7.7
Final domestic demand	5.1	3.3	3.0	1.8	3.0	1.5	2.9
Stockbuilding[3, 4]	0.7	–1.2	0.9	–0.1	1.3	1.6	–1.6
Exports of goods and services	8.9	6.8	18.1	–3.7	20.5	13.9	–9.3
Imports of goods and services	8.5	4.0	15.7	–2.2	19.5	12.2	–6.5
Foreign balance[3]	1.0	1.6	2.7	–1.0	2.5	2.3	–2.3
Statistical discrepancy[3]	–0.9	0.7	–0.6	..	..	..	..
GDP	5.3	4.0	5.7	0.4	6.6	5.3	–1.5
of which: Manufacturing	9.5	7.1	12.5	..	14.7	14.1	–8.6

1. Semi-annual data is seasonally adjusted; annualised growth over previous period.
2. OECD estimate.
3. Contribution to GDP growth.
4. The semi-annual data include the statistical discrepancy.

Source: Statistics Finland and OECD.

electronic equipment industry, essentially Nokia (Box 1 and Figure 3), but exports of traditional products also fared well. In 2001, however, exports of goods and services dropped by an estimated 3.7 per cent despite a sizeable positive carry-over effect. As a result of lower foreign demand, forest-based exports declined substantially. More importantly, the Finnish electronic equipment industry fell victim to the global economic cycle, while at the same time it was affected by a lull in its product cycle.[3] These exports were also affected by reduced replacement demand for mobile handsets and saturation in some markets,[4] while exports of telecommunication network equipment slowed because the shipment of second-generation systems was wearing off.[5] Nevertheless, the Finnish electronic equipment industry weathered the heavy sectoral storm somewhat better than its competitors and probably gained market share, both for handsets and equipment.[6] Imports of goods and services also fluctuated sharply, largely reflecting the demand swings of the electronic equipment industry for intermediate goods. They shrank by an estimated 2.2 per cent in 2001 after increasing by 15.7 per cent in 2000 (Table 1).

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Box 1. Nokia fact sheet

In 2000, Nokia's exports amounted to EUR 13 billion, 24 per cent of total Finnish exports of goods and services and around 80 per cent of the exports of telecommunications equipment. Less than half (46 per cent) of its turnover was realised in Finland. The European Union was its main market (36 per cent of its turnover), followed by the United States (18 per cent) and China (10 per cent), while the Finnish market accounted for less than 2 per cent of its turnover. Its value added was 4 per cent of GDP, which is relatively small due to its extensive production network (the share of the total electronic equipment industry was 8½ per cent). In 2000, the number of employees in Finland rose marginally to 24 500, around 2 per cent of total employees in the business sector, but the share of Finnish personnel declined to 42 per cent from 51 per cent in 1998. The staff level in Finland and abroad has dropped only slightly during 2001. Almost 60 per cent of its Finnish staff (and a third of its total staff) work in research and development (R&D). Nokia paid approximately EUR 1 billion taxes in Finland (1½ per cent of total taxes received by the general government). Dividend paid amounted to EUR 1.3 billion, 22 per cent of its profits before tax and 4 per cent of its turnover. The company has a very strong balance sheet, with a ratio of interest bearing debt to equity of 9 per cent at the end of the third quarter of 2001. As a result of substantial outstanding loans, partly vendor financing of telecommunications operators, the net debt-to-equity ratio was even negative (28 per cent). At the end of 2000, Nokia shares were 70 per cent of the market value of the Helsinki stock exchange and foreigners held 90 per cent. At the end of November 2001, its share price was EUR 26.1, some 60 per cent below its peak of May 2000, but 14 times the share price at the beginning of 1996. This recent slump in its share price was nevertheless smaller than that of its main competitors.

Exports were supported by strong cost competitiveness (Figure 4). Based on unit labour costs in the manufacturing sector, it even improved further in 2000 because of the effective depreciation of the euro and the sharp rise in productivity, but this was broadly reversed in 2001 due to the distinct fall in productivity. This shows that the indicator is heavily influenced by the electronic equipment sector and may paint a too rosy picture for other parts of the manufacturing sector, although for them price competitiveness is currently also not a problem.

The global economic cycle also strongly influenced Finnish export prices, which fell by an estimated 2½ per cent in 2001 after rising by 4½ per cent in the previous year. Pulp and paper prices were the most volatile, dropping somewhat in 2001 after rising 12 per cent in the previous year. The euro exchange rate did not have much influence on export prices in 2001, in contrast to the preceding

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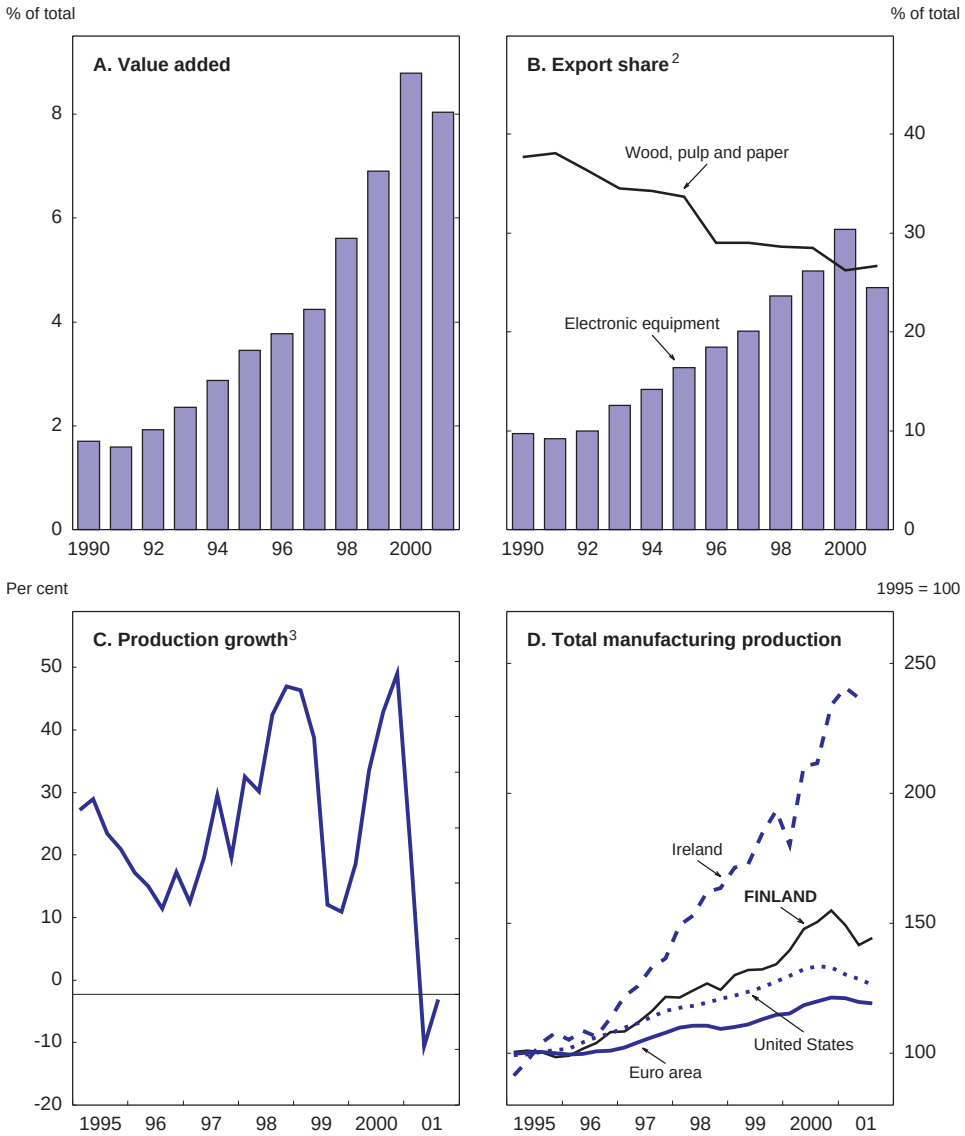
Figure 3. **The electronic equipment industry**[1]



1. Electrical and optical equipment. Seasonally adjusted data for panels C and D.
2. Goods exports. Estimate for 2001 based on monthly customs data.
3. Growth over same period of previous year.

Source: Statistics Finland; Finnish Customs authority; OECD, *Main Economic Indicators* and ITCS database.

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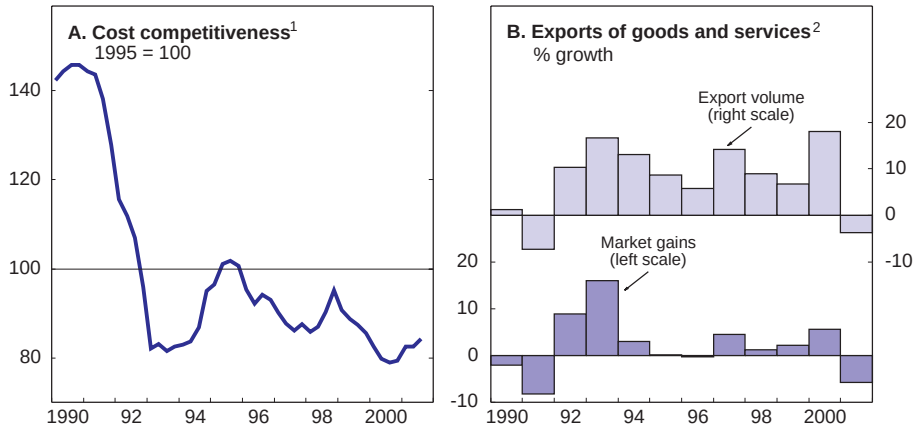
Figure 4. **Cost competitiveness and export performance**



1. Relative unit labour cost, manufacturing.
2. Estimates for 2001.
Source: Statistics Finland and OECD (2001), *Economic Outlook*, No. 70.

year when its depreciation *vis-à-vis* the US dollar pushed prices up in euros. In both years, merchandise export and import prices were negatively influenced by the trend decline in the price of ICT (Information and communication technology) products. World oil prices induced lower import prices in 2001 contrary to the previous year.

In 2000, the very favourable export development led to a record surplus of the current account of 7.3 per cent of GDP, despite the surge in oil prices. It was the second largest in the euro area after Luxembourg. The surplus is estimated to have diminished slightly in 2001 as the impact of the drop in exports was partly offset by the combined effect of weak imports and the improvement in the terms of trade. As a consequence of the huge surpluses in recent years, foreign debt excluding equities has fallen substantially, to an estimated 10 per cent of GDP in September 2001 from 35 per cent at the end of 1995. Including equities, however, foreign liabilities developed quite differently as they were dominated by stock market gyrations. Substantial foreign ownership of Finnish shares and the wild fluctuations of the ICT-dominated stock market led to a vigorous rise in foreign liabilities from 40 per cent of GDP in 1995 to 180 per cent of GDP at the end of 1999, but they plummeted thereafter to 45 per cent of GDP in September 2001.

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Private consumption underpins activity

In 2001, continuing, though more moderate, private consumption growth is likely to have prevented GDP from falling year-on-year (Tables 1 and 2). Supported by substantial rises in real after-tax wages and a continuing increase in employment, private consumption is estimated to have risen by 2 per cent. This rise occurred despite weaker consumer confidence following news of the less buoyant economic situation and despite the drop in car sales caused by high petrol prices and the expected cut in car taxes. The sharp reduction in the saving ratio in 2000 and the estimated partial bounce-back in 2001 (Figure 5) are mainly statistical artefacts as steep revenue increases due to stock options and capital gains in 2000 are not included in the national accounts measure of income, while taxes paid on these revenues are.[7] Real disposable income, rising by only ⅓ per cent in 2000, was distorted for the same reason.

There has been a relatively small impact on consumption coming from wealth effects despite large asset price changes. At the end of November 2001,

Table 2. **Household appropriation account**

	1995 Current prices, billion EUR	1996	1997	1998	1999	2000[1]	2001[2]
		Percentage changes					
Real disposable income	49.9	–0.3	5.9	3.5	4.7	0.3	4.1
Real consumption expenditure	49.1	4.2	3.5	5.1	4.0	3.0	2.0
Saving ratio (%)[3]	6.0	2.0	4.4	3.1	4.0	1.7	3.5
Disposable income	49.9	1.1	7.4	5.3	5.8	3.8	6.8
		Percentage points					
Contribution to disposable income							
Compensation of employees	47.3	4.1	5.2	7.2	4.9	5.9	5.6
Entrepreneurial and property income	13.6	–0.6	2.4	1.2	1.8	4.1	0.8
Transfers received	21.9	0.1	0.1	0.4	1.0	0.0	1.5
Less:							
Transfers paid	16.0	0.4	0.8	1.9	1.4	0.9	1.5
Direct taxes	14.0	3.3	0.1	1.6	0.6	4.5	–0.6
Interest on consumer debt	2.9	–1.1	–0.5	0.0	–0.2	0.8	0.2

1. Heavily influenced by steep revenue increases due to stock options and capital gains which are not included in the national accounts measure of income, while taxes paid on these revenues are.
2. OECD estimates.
3. Ratio of household saving to disposable income.

Source: Statistics Finland and OECD.

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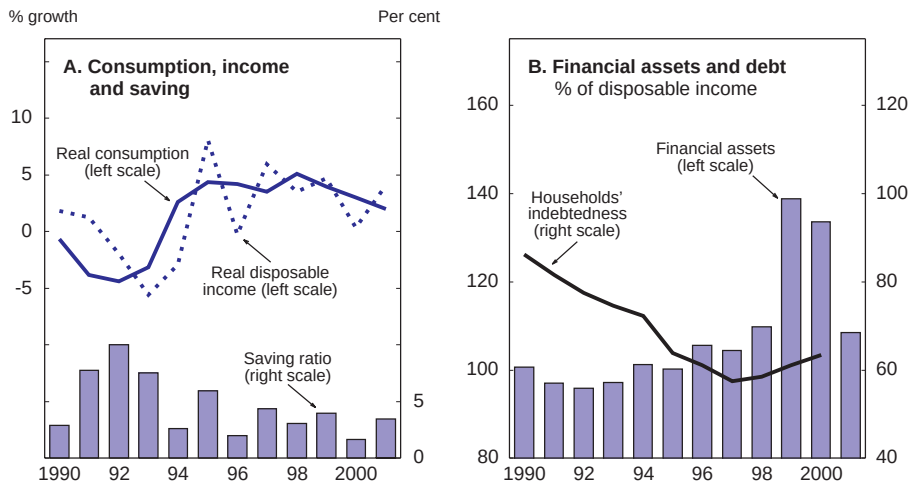
Figure 5. **Private consumption**[1]



1. Estimate for 2001.
Source: Statistics Finland, Finnish Bankers' Association and OECD (2001), *Economic Outlook*, No. 70.

the Helsinki stock exchange index was 55 per cent below its May 2000 peak, the steepest drop in the OECD area. Due to the limited domestic ownership of shares, the negative impact of this meltdown on households' financial assets was, however, restricted to a drop of 8½ per cent between the end of 1999 and June 2001 (Figure 6). Up to 2000, households' indebtedness edged up as mortgage borrowing increased to finance house purchases but the financial position of households has remained solid with debt service expenses only a small proportion of income.

Residential investment is weak

Residential investment was subdued in 2000-01 as lending rates on new housing loans rose by 2 percentage points from mid-1999 to the end of 2000 – only partly offset by the drop of 1.1 percentage point in the first nine months of 2001 – and house price increases tapered off (Table 1). In the Helsinki area and in other fast-growing regions, construction remained hampered by a shortage of housing lots due to land-use planning bottlenecks. Moreover, in 2001, construction of more expensive dwellings may have been negatively influenced by the actual and foreseen decrease in stock option revenues.

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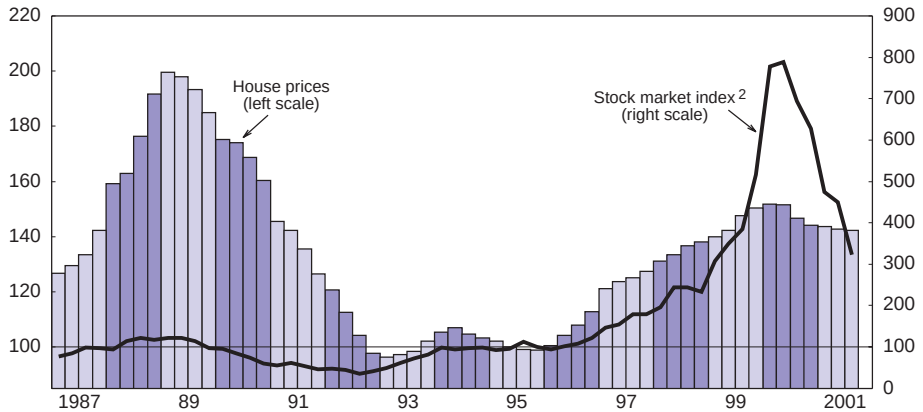
Figure 6. **House and share prices**
Real prices,[1] 1995 = 100



1. Deflated by the consumer price index.
2. HEX all share index. Quarterly average.
Source: Statistics Finland and OECD.

Already in the first half of 2000, there was some correction of the long-running rise in house prices in reaction to higher lending rates (Figure 6). Later in the year, reduced optimism about future economic developments reinforced this correction. In the third quarter of 2001, average house prices were 3 per cent below the peak in the previous year, a minor correction given the rise of 60 per cent since the end of 1995.[8] Prices of existing houses are now probably close to the construction costs of new houses in most locations.

Business investment has turned around

Huge production gains, high capacity utilisation rates and impressive profitability[9] led to a significant pick-up in business investment in 2000 followed by a sharp turnaround due to weakening business sentiment. Investment is likely to have shrunk since the second quarter of 2001, but because of a strong carry-over and vigorous growth in the first quarter, business investment is estimated to have risen year-on-year (Table 1 and Figure 7).[10] Although profitability and output growth have been high in international comparison in recent years, business investment growth was only marginally stronger than in the euro area. As a percentage of business output, it was even below the euro area average, partly due to

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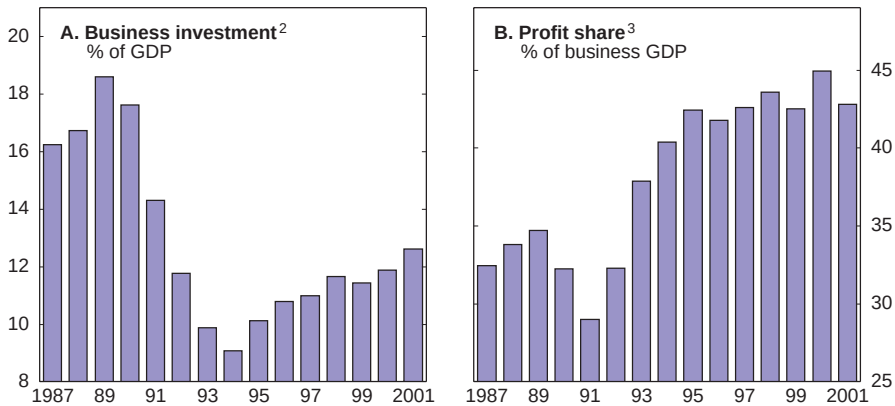
Figure 7. **Business investment and profitability**[1]



1. Estimate for 2001.
2. Nominal.
3. Business sector GDP less compensation and net indirect taxes.

Source: Statistics Finland and OECD (2001), *Economic Outlook*, No. 70.

the low capital intensity of the electronic equipment industry, and clearly lower than before the recession of the early 1990s when production was still dominated by the capital-intensive paper and basic metal industries.

Labour market tensions have disappeared

Despite the sharp turnaround in activity, employment continued to rise in 2001 as the slowdown initially caused mainly a fall in productivity. Labour hoarding in reaction to the slowdown may have been relatively strong as there has until recently been difficulties in finding suitable personnel. As in the previous year, however, employment growth was moderate and far below the record rise of 1999 (Table 3). The employment rate is estimated to have reached 68 per cent in 2001, which is still below the government's target of "close to 70 per cent" by 2003. Around a quarter of all jobs are now atypical (part-time, fixed-term or temporary jobs). The announced job cuts in the ICT sector are sizeable for the sector but relatively small in relation to total employment.

A considerable share of the increase in jobs – in 2000 more than half – was filled by persons previously outside the labour force. As a consequence, the

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Table 3. **Labour market developments**

	1990-94 average[1]	1995	1996	1997	1998	1999	2000	2001[2]
	Percentage changes							
Employment rate (%)[3]	65.9	61.1	61.9	62.9	64.1	66.0	66.9	67.5
Real GDP per worker	4.5	2.6	3.0	3.4	3.2	1.1	4.3	–1.1
Employment	–4.8	2.2	1.4	2.0	2.4	3.3	1.7	1.3
Labour force	–1.2	0.8	0.3	–0.2	0.9	2.0	1.2	0.7
	Per cent of labour force							
Unemployment rate	10.9	15.4	14.6	12.7	11.4	10.2	9.8	9.3
Persons unemployed for more than 12 months (% of total)[4]	11.7	30.1	30.1	30.5	30.2	28.1	27.7	27.4
Active labour market programmes *of which*:								
Job creation	2.0	2.6	2.6	2.5	2.3	2.0	1.7	1.5
Labour market training	1.0	1.6	2.1	2.3	2.1	1.9	1.6	1.4

1. Annual rate for percentage change series.
2. Average of monthly data available for series in per cent of labour force. OECD estimates for percentage change data.
3. Total employment as a per cent of working-age population (both age 15-64).
4. Registered unemployed.

Source: Ministry of Labour, Statistics Finland, Ministry of Finance and OECD.

labour force participation rate continued to rise, although it is still below its level of the end of the 1980s, while the drop in unemployment was relatively modest and unemployment has remained above the euro area average (Table 3 and Figure 8). The current rate – 9.2 per cent in October 2001 – is somewhat above the recently revised OECD estimate of the NAIRU, the non-accelerating inflation rate of unemployment (OECD, 2000 and Richardson *et al.*, 2000), but such estimates are surrounded by great uncertainty. In the first half of 2001, unemployment continued to fall gently and vacancies were higher than a year earlier but labour market tensions have eased markedly thereafter. After falling from 9.3 per cent in December 2000 to 9 per cent in June 2001 the unemployment rate has risen to 9.2 per cent in October. Since August 2001, new vacancies declined (job advertisements already started to fall strongly in 2001).

Inflation recedes gradually

Oil prices have come down so that inflation – measured by the harmonised index of consumer prices (HICP) – has eased in 2001 after doubling to 3 per

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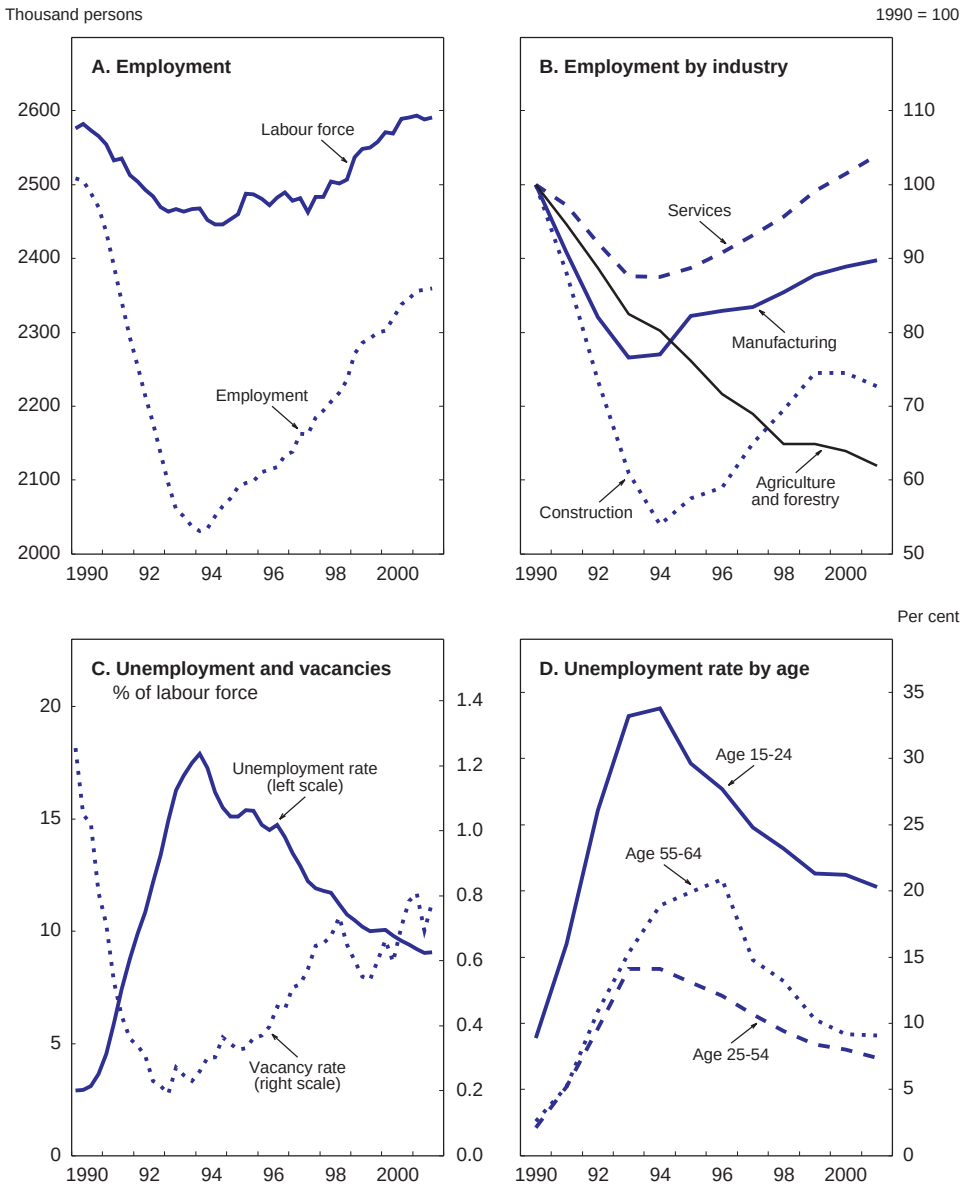
Figure 8. **Labour market**[1]



1. Estimate for 2001 in panels B and D.
Source: Ministry of Labour, *Finnish Labour Review*; Statistics Finland and OECD, *Main Economic Indicators*.

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Table 4. **Prices and wages**

Percentage changes

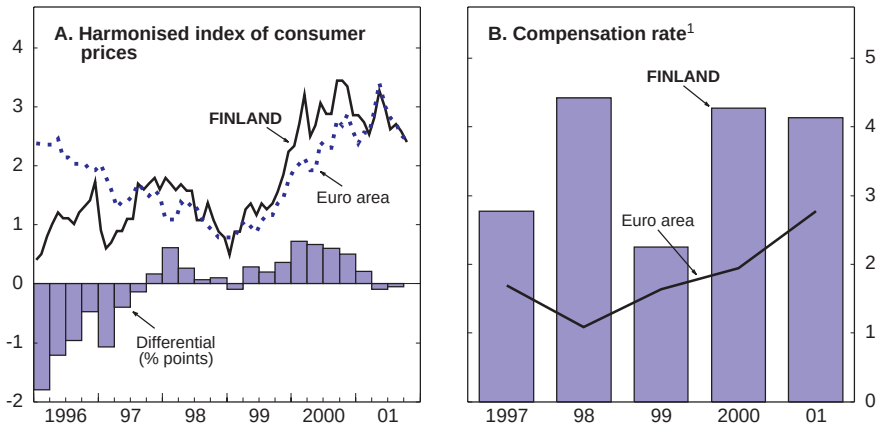
	1995	1996	1997	1998	1999	2000	2001[1]
Consumer price index	1.0	0.6	1.2	1.4	1.2	3.4	2.8
At year end[2]	0.3	1.0	1.9	0.8	2.0	3.5	..
Harmonised index of consumer prices (HICP)	..	1.1	1.2	1.4	1.3	3.0	2.5
Core HICP	..	0.5	0.9	1.6	1.4	2.1	2.2
Wages							
Negotiated wages[3]	3.6	3.1	1.3	2.7	1.8	2.8	3½
Wage drift[3]	1.0	0.8	1.1	0.8	1.0	1.3	1
Wage rate[4]	4.7	4.2	2.4	3.5	2.8	4.1	4½
Wage rate[5]	5.0	3.3	4.1	4.9	2.6	5.9	4½
Compensation rate[5]	4.1	2.1	2.8	4.4	2.2	4.3	4¼
Unit labour costs	2.6	–0.1	–1.0	1.7	0.6	–0.2	3

1. Estimates.
2. Rates of change from December to December.
3. Annual average of quarterly data.
4. Total wage and salary earnings index, break in series in 1995.
5. Private sector, national accounts data.

Source: Statistics Finland, Ministry of Finance and OECD.

Figure 9. **Prices and labour costs**

Year-on-year percentage change



1. Business sector. OECD estimate for 2001.

Source: Statistics Finland, Eurostat and OECD.

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cent in the previous year (Table 4 and Figure 9).[11] The surge in oil prices in 2000, which was exacerbated by the depreciation of the euro, increased inflation by around ¾ percentage point.[12] As elsewhere in the euro area, the decline of inflation in 2001 was limited by higher food prices prompted by poor weather conditions and the BSE (Bovine Spongiform Encephalopathy) and foot-and-mouth crises elsewhere in Europe, while the introduction of cash euros at the start of 2002 may have influenced price setting prior to this event (Ministry of Finance, 2001*b*). Core inflation – measured by the HICP excluding energy and food – crept up during 2000 and 2001 due to higher unit labour costs in the service sector and to indirect and lagged effects of the oil price rise, both probably facilitated by an easy cost pass-through due to insufficient competition. In March 2001, price inflation fell below the euro area average for the first time since early 1999 and it stayed close to the average thereafter (Box 2). Core inflation, however, was somewhat above the euro area average throughout 2001.

Wage moderation continues

Wage gains accelerated in 2000-01 but were moderate in the light of the rising labour market tensions and did not undermine Finnish cost competitiveness. The form of negotiation – in 2000 at the branch level (but with national co-ordination) and in 2001 at the national level – does not seem to have influenced the result significantly. In 2000, contract wages were raised by 3.1 per cent (on a contract-year basis) for around 90 per cent of the employees and between 3.8 and 4.9 per cent for the other employees. On a year-on-year basis, contract wages increased by 2.8 per cent on average in 2000. The risk that the sectoral differences would lead to catch-up effects in 2001 did not materialise and, helped by sizeable tax cuts, the social partners reached a central wage agreement with moderate rises in contract wages of 3.1 and 2.3 per cent in 2001 and 2002, respectively.[13] After a lengthy partial strike, doctors in the public health sector were the only group of employees with a substantially sharper wage rise, of 10.5 per cent over the two-year period.

The 2001-02 central wage agreement did not increase incentives for firms to employ lower-skilled workers. On the contrary, the additional wage increase for low-paid workers and the general nominal minimum gain has led to an above average contract wage rise for this category, although the difference in actual wage gains will probably be smaller as wage drift mainly affects high-skilled workers.

The monetary easing is welcome

In 2000, monetary conditions remained fairly relaxed with respect to the economic situation in Finland despite the hike in the European Central Bank's (ECB) policy rates of 225 basis points between November 1999 and October 2000

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Box 2. Finland was the best inflation performer among the "peripheral" euro area countries

In discussions about economic performance and the effect of the euro area-wide monetary policy stance, a distinction is often made between "peripheral" countries of the euro area (Finland, Greece, Ireland, Netherlands, Portugal and Spain) and "core" countries like France, Germany and Italy. Related to this is the policy debate on how the authorities in small euro area countries should react to overheating or over-cooling risks, as the overall monetary policy stance is unlikely to be ever well tuned to their domestic needs. With the current economic slowdown in the euro area, which is especially strong in Ireland and Finland due to their high exposure to the ICT sector, the earlier debate about overheating risks has vanished. If the present slump were to be protracted, over-cooling could become the major risk. In the case of a V-shaped recovery – a low probability scenario – overheating risks could, however, soon resurface. The rapid change in economic fortunes shows vividly how difficult it might be to get the timing of a more pro-active fiscal policy right but also suggests that countries especially subject to such cyclical volatility need to encourage flexible adjustment mechanisms in both labour and product markets.

Above average economic growth was a common feature of the peripheral countries in the period 1996-2001, being accompanied by a sharp decline in unemployment, strong rises in house prices and, with the exception of Finland, above average price inflation (Figure 10). However, there are also substantial differences within the "peripheral" group: Spain* and Finland still have high unemployment while the others are close to full employment; productivity gains were mediocre in Spain while they were excellent in Ireland and Finland; Finland and the Netherlands have hefty current account surpluses while Spain and especially Portugal and Greece have sizeable deficits; Finland and Ireland have substantial budget surpluses while Portugal still has a deficit. More fundamentally, Portugal, Spain and Ireland are "catching-up" to average income and productivity levels, while Finland and the Netherlands recovered from under-performing temporarily after converging in previous decades.

Finland has most in common with Ireland as the strong economic performance is to a great extent due to the ICT sector – mainly foreign-based enterprises in Ireland and domestic ones in Finland – with its, until recently, exploding production and productivity. There are also substantial macroeconomic differences between the two countries, however, the difference in inflation performance being among the most important ones. In Ireland, the strong economic growth has led to substantial domestic cost pressures, but also catch-up (Balassa-Samuelson) effects played a role (OECD, 2001; McGowan, 2000). In Finland, on the other hand, inflation only marginally and temporarily exceeded the euro area average. However, without the current slowdown, it is also likely that wage and price inflation would have accelerated strongly in Finland.

* Statistical harmonisation, to be implemented in 2002, will, however, markedly reduce the measured rate of Spanish unemployment (OECD, 2001*b*).

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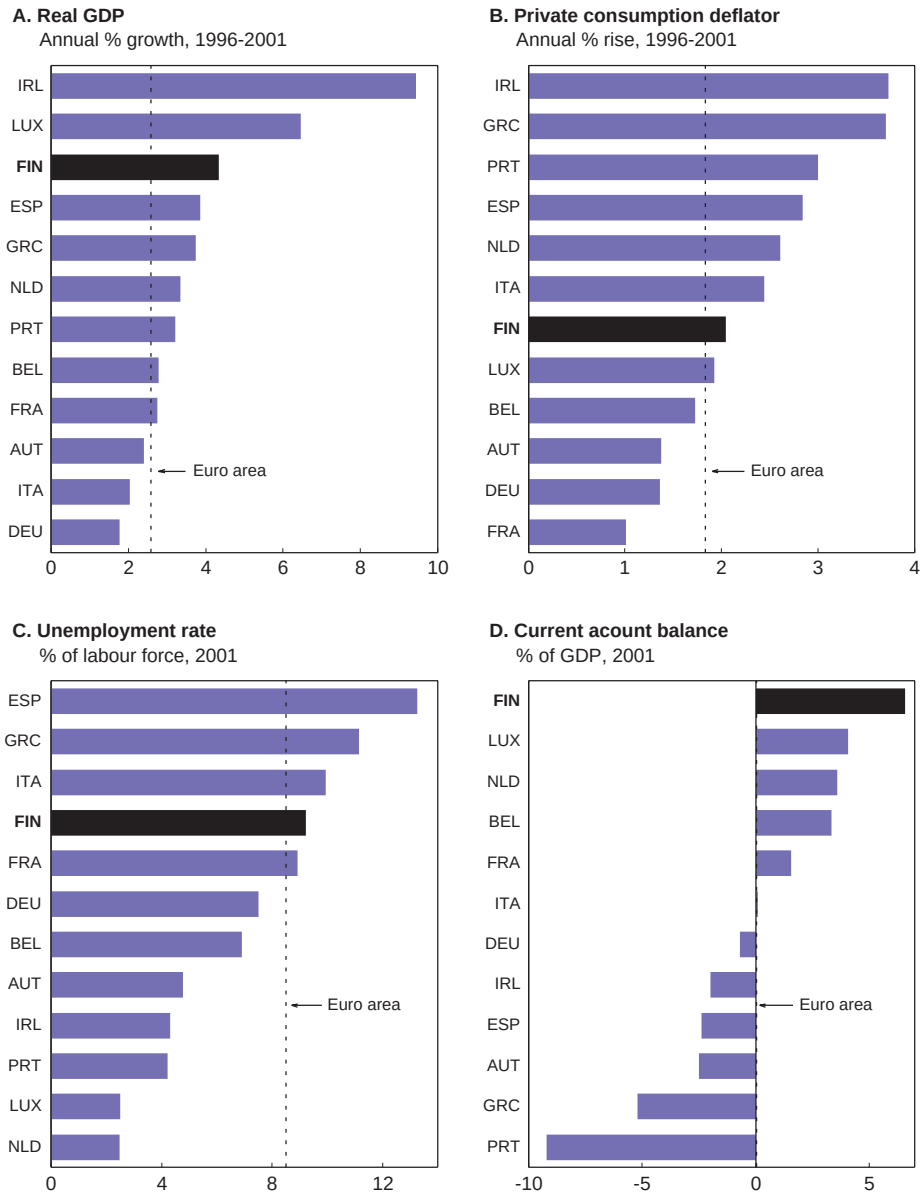
Figure 10. **Key economic indicators for the euro area countries**



Source: OECD (2001), *Economic Outlook,* No. 70.

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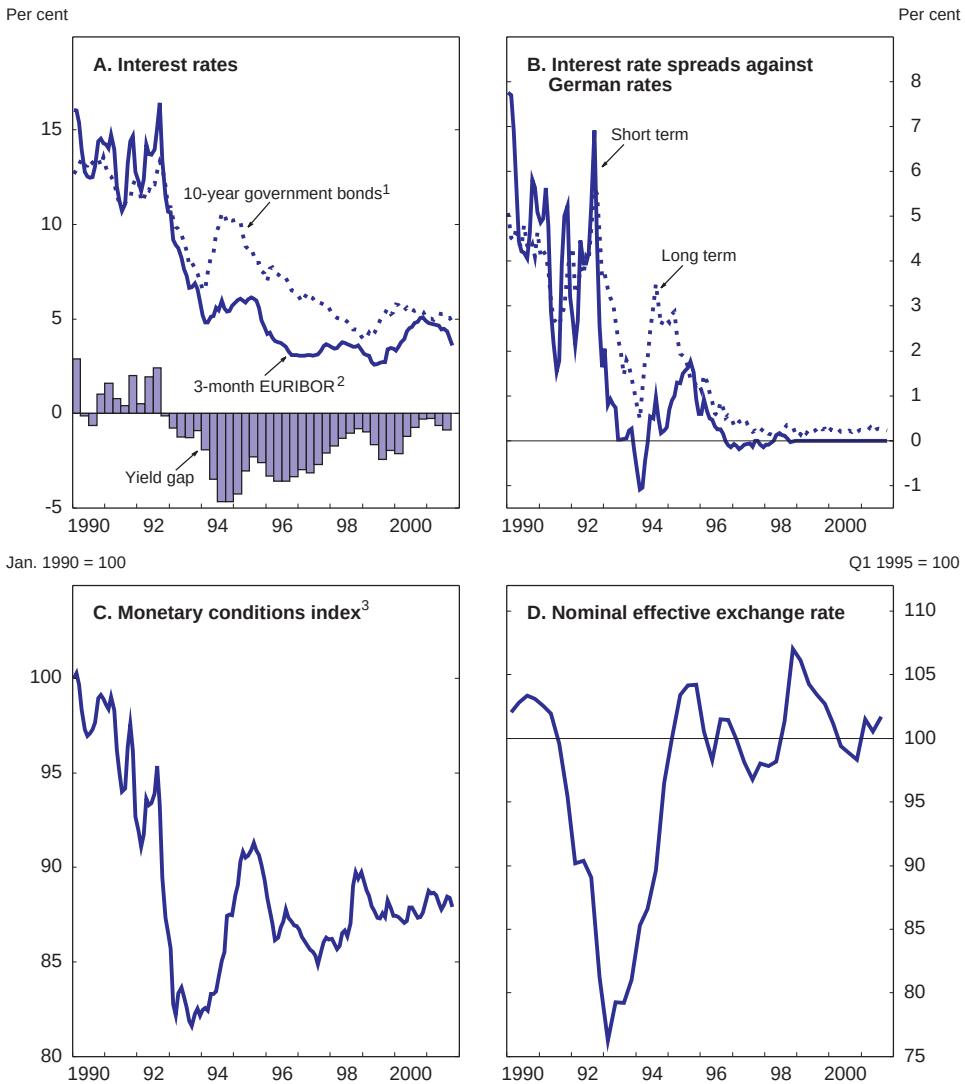
Figure 11. **Interest and exchange rate developments**



1. Ten-year government bond rate from January 1993 onwards, five-year rate for earlier period.
2. HELIBOR prior to January 1999. Greece included from January 2001.
3. Weighted average of changes in the three-month money market rate and the effective exchange rate. An effective appreciation of 2.5 per cent has the same impact on the index as a 1 percentage point increase in the short-term interest rate.

Source: Bank of Finland and OECD, *Main Economic Indicators*.

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(Figure 11). The sharp production slowdown thereafter, which caused the immediate risk of overheating to evaporate, means that the current monetary conditions are largely appropriate for Finland at the current juncture. The ECB's interest rate cuts since May 2001, which will affect activity with some lag, and the further easing projected by the OECD are welcome as they will support a cyclical recovery also in Finland.

Fiscal policy: new challenges ahead

Fiscal policy has been very successful in correcting the serious budgetary imbalances caused by the deep recession of the early 1990s. However, with the government surplus projected to be below target in 2002, the need to reduce the tax burden further (see Chapter III) and the impact of ageing in the long term (Box 3), fiscal policy will face serious trade-offs in the years ahead, if spending is not pruned considerably. The central government balance has moved from a deficit of 11 per cent of GDP in 1994 to a surplus of 3.5 per cent of GDP in 2000, followed by a smaller estimated surplus of 1.9 per cent of GDP in 2001 (Ministry of Finance estimate). Thus, the target set in the 1999 Government Programme of a structural central government surplus – recently specified as a surplus of 1½ to 2 per cent of GDP on the basis of long-term scenarios – was clearly exceeded in 2000 (Table 5). Moreover, Finland is fulfilling by a wide margin the requirement of the Stability and Growth Pact of a general government budget "close to balance

Table 5. **Public finances**

Per cent of GDP

	1994	1995	1996	1997	1998	1999	2000	2001[1]
Expenditure	57.5	54.3	54.0	51.3	48.1	47.1	43.9	44.6
Revenue	51.8	50.6	50.9	49.8	49.4	49.0	50.8	48.3
Tax[2]	47.6	45.9	46.6	46.0	45.8	45.9	46.6	44.7
Other revenue[3]	4.1	4.7	4.2	3.9	3.5	3.1	4.2	3.6
Net lending	–5.7	–3.7	–3.2	–1.5	1.3	1.9	6.9	3.7
Central government	–10.8	–8.7	–7.2	–3.7	–1.5	–0.7	3.5	1¼
Local government	1.3	1.2	0.8	–0.7	–0.3	–0.3	0.1	..
Social security funds	3.8	3.8	3.3	2.8	3.1	2.9	3.3	..
Gross debt[4]	58.0	57.2	57.1	54.1	48.8	47.3	44.0	42.1
of which: Central government	58.9	63.6	67.5	65.3	60.2	56.5	48.2	..
Government bond yield (%)[5]	9.0	8.8	7.1	6.0	4.8	4.7	5.5	5.0

1. OECD estimates.
2. Including social security contributions.
3. Property income and transfers received other than social security contributions.
4. EMU definition.
5. Ten-year government bond rate.

Source: Statistics Finland and OECD.

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Box 3. The impact of ageing on the budget will be substantial in the long term

As highlighted in the previous S*urvey*, the Finnish population will age rapidly and earlier than in many other OECD countries. The number of people aged over 65 is projected to increase already by over 50 per cent up to 2020, while the working age population (20 to 64 year-olds) is expected to drop by around 3 per cent and the labour force could start to decline already within a decade. As a consequence, the old-age dependency ratio (those over 65 years as a percentage of the working age population) will rise from the current 25 per cent to 39 per cent by 2020, the fastest rise in the OECD area. Ageing will continue thereafter, with the dependency ratio reaching 50 per cent at around 2030.

Ageing will strongly affect public finances. In the baseline scenario recently presented by the Finnish authorities (Ministry of Finance, 2001),* public pension outlays (flat-rate national pensions and earnings-related employment pensions) are expected to rise by about 6 percentage points of GDP, somewhat stronger than on average in the OECD, to 13 per cent of GDP in 2050 (Table 6). At the same time, more health and care services for the elderly are needed, which will lead to an increase in health and social security expenditure by 4 percentage points. The rise in total old-age-related spending is projected to be the fourth steepest amongst the OECD countries. With expenditure on education falling, total public spending is projected to rise by 3 percentage points, requiring a gradual rise in the tax burden after 2020 and a gradual drop in the general government surplus. In this baseline scenario, central and local government debt is gradually heading lower from the current 44 per cent of GDP to 10 per cent in 2015, and stabilises thereafter.

Weaker trend growth would make the ageing consequences more problematic as is illustrated by the slow growth scenario of the Ministry. Lower annual productivity and output growth would lead to substantially higher government spending (56 per cent of GDP in 2050 instead of 50 per cent). At the same time the tax burden would be higher (50 per cent of GDP instead of 46 per cent), the surplus smaller and government debt higher (35 per cent of GDP instead of 10 per cent).

Based on the long-term scenarios, a central government surplus target of at least 1½ to 2 per cent of GDP on average during the current decade has been set. This target reflects the assessment of future economic developments by the Ministry of Finance (Ministry of Finance, 2001). Although the new target is reflected in the 2002 budget proposals and in the 2001 update of the Stability Programme (Ministry of Finance, 2001*c*), it does not form part of the Government Programme – which set as target an unspecified structural surplus – and hence there is less political commitment to this new target.

* The scenario is close to the recent scenario of the OECD (OECD, 2001*c*; Dang *et al.*, 2001).

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Table 6. **Long-term budget scenario**
As a per cent of GDP

	2000	2010	2020	2030	2040	2050
Expenditure	46.7	42.5	45.1	48.0	49.4	50.1
Employment pensions[1]	6.7	8.6	10.7	11.9	12.4	12.5
Health care	4.2	3.9	4.6	5.5	5.9	6.2
Social services	3.9	3.6	4.2	4.9	5.4	5.7
Other expenditure	29.1	25.0	25.0	25.0	25.0	25.0
Interest payments	2.8	1.4	0.6	0.6	0.6	0.6
Revenues	53.6	46.9	46.6	49.4	50.4	51.4
of which: Employment pension contributions	7.2	8.0	9.1	10.1	10.4	10.8
Financial balance	6.9	4.4	1.5	1.4	1.0	1.3
Gross debt	44.0	18.9	9.8	9.6	9.7	9.6
Memorandum items						
Real GDP (% change)	5.7	2.3	1.1	1.3	1.4	1.3
Unemployment rate (%)	9.8	7.0	7.0	7.0	7.0	7.0

1. The employment pensions do not include central government pensions, which amounted to 1.8 per cent of GDP in 2000.

Source: Ministry of Finance (2001), *Stability Programme for Finland, November 2001 update*.

or in surplus". However, the slowdown implies that the actual central government surplus is likely to drop significantly below the medium-term target in 2002, even though on a cyclically-adjusted basis it would still almost be met. The fiscal performance will not match the target agreed in the 2000 national Stability Programme (Ministry of Finance, 2000). A cyclical recovery may be insufficient to return to the target level soon and additional measures may be necessary. Also the recent budgetary slippage is worrying. Up to 2001, the budgetary target of constant central government spending in volume terms was broadly met, but approval of the draft 2002 budget will lead to a clear rise in the volume outlays.[14]

The 2000 budget outcome: a very high surplus was mainly due to one-off factors

In 2000, the rise in general government tax revenues on income and wealth was exceptionally strong (23 per cent) as substantial one-off revenues came on top of a sharp increase due to very rapid growth.[15] The rise was only somewhat mitigated by income tax cuts of EUR 1 billion (¾ per cent of GDP) and somewhat reduced social security contributions. As a result, tax revenues rose by 0.7 percentage point to 46.6 per cent of GDP, the highest rate since 1994 (Table 5). This was accompanied by a sharp and mostly temporary rise in property income of 1.1 per cent of GDP.[16] Government consumption increased by 4.5 per cent in nominal terms but interest payments and investment fell somewhat, while social transfers

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were almost flat reflecting strong employment growth. As a result, total government outlays increased only moderately in nominal terms (2 per cent) and dropped substantially as a per cent of GDP (by 3.2 percentage points to 43.9 per cent). This sharp fall in the outlay ratio, together with the rise in the tax burden and in property income, led to a huge rise in the general government surplus, of 5 percentage points to 6.9 per cent of GDP, the largest surplus in the euro area. This marked improvement was not helped by the sale of third generation mobile telephone licenses as they were provided without charge, contrary to practice in many other countries. With economic growth stronger than projected and most one-off revenues not expected, the surplus was much higher than foreseen (Table 7). Furthermore, the debt target of the 1999 Government Programme for the period 2000-03 was already reached in 2000 as the central government debt fell below 50 per cent of GDP.[17]

Table 7. **Budgetary plans and outcomes**

Billion EUR, national accounts basis

	Outcome			2001		2002 Budget[2]
	1998	1999	2000	Budget[1]	Preliminary results[2]	
Central government						
Revenue	29.6	30.2	35.8	34.1	34.8	34.6
Expenditure[3]	30.8	30.8	31.2	32.1	32.1	34.1
Balance	–1.7	–0.9	4.6	1.9	2.6	0.5
% *of* GDP	–1.5	–0.7	3.5	1.5	1.9	0.3
Net financing requirement (–)[4]	–0.1	3.2	4.5	2.2	1.1	0.5
Local government						
Revenue	17.6	18.0	19.5	20.0	20.1	20.7
Expenditure[3]	17.9	18.3	19.3	19.8	20.3	21.0
Balance	–0.4	–0.3	0.2	0.2	–0.2	–0.4
% *of* GDP	–0.3	–0.3	0.1	0.2	–0.2	–0.3
Social security						
Revenue	23.9	24.1	25.0	25.7	25.4	25.8
Expenditure[3]	20.3	20.5	20.8	21.3	21.5	22.3
Balance	3.6	3.5	4.3	4.4	3.9	3.5
% *of* GDP	3.1	2.9	3.3	3.4	2.9	2.5
General government balance	1.5	2.3	9.0	6.5	6.4	3.6
% *of* GDP	1.3	1.9	6.9	5.0	4.7	2.6
Underlying projections, %:						
Real GDP growth	5.0	4.2	5.7	4.2	0.6	1.6
Unemployment rate	11.4	10.2	9.8	8.9	9.2	9.4

1. September of preceding year.
2. Updated forecast in November 2001.
3. Including consumption of fixed capital, capital formation and net capital transfers.
4. On a cash basis.

Source: Ministry of Finance.

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The central government budget improved most – it was in surplus for the first time since 1990 – but there was also a better performance by the local government sector and the pension schemes (Table 7). The local government sector moved from a minor deficit to a marginal surplus mainly owing to booming tax revenues, only partly offset by the lowering of the local government share in corporate tax revenues. Although the local government sector as a whole was in surplus, the number of municipalities in deficit increased strongly. As a consequence, discretionary central government transfers to local authorities in financial difficulties doubled to EUR 0.1 billion.

The estimated 2001 *budget outcome: a sharp drop in the surplus*

In 2001, several of the factors favourable to the budget have reversed and the effective tax yield is estimated to have fallen by 1.9 percentage points to 44.7 per cent of GDP, the lowest ratio since the end of the 1980s. This was caused by sharply lower capital gains and stock options revenues, a sharp drop in profitability, further cuts in social security contribution rates and a substantial income tax cut of EUR 1 billion (¾ per cent of GDP). Due to a special dividend paid by the partly state-owned financial conglomerate Sampo and a profit transfer by the Bank of Finland for the first time in many years, property income remained strong although it dropped from the previous year. The fall in total revenues of 2.5 percentage points and the rise in the expenditure to GDP ratio are estimated by the Ministry of Finance to have led to a drop of the general government surplus from 6.9 per cent of GDP in 2000 to 4.7 per cent in 2001, which is still higher than the surpluses in 1998 and 1999.

While the local government budget deteriorated from a small surplus to a small deficit, the central government budget surplus is estimated to have shrunk from 3.5 per cent of GDP in 2000 to 1.9 per cent of GDP in 2001 (1¼ per cent according to the OECD estimate). Despite mounting pressures to increase expenditure, central government spending was broadly in line with the target of unchanged spending in volume terms. Sticking to the target was facilitated by the room provided by a stronger than expected drop in interest payments.[18]

The 2002 *budget: the surplus is projected to fall far below target*

In the revised forecasts of November 2001 (Ministry of Finance, 2001*d*) underlying the draft 2002 budget (the first one denominated in euros), the authorities project a further drop in the effective tax yield of 0.9 percentage point of GDP reflecting a continuing drop in tax revenues on capital gains and stock options, the impact of the economic slowdown – especially on corporate tax revenues – coupled with further cuts in the income tax and social security contributions (Box 4). In line with the two-year wage agreement, income taxes will be cut by EUR 0.7 billion (½ per cent GDP), bringing the total income tax cut to EUR 2.1 billion in 2000-02,

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Box 4. Summary of measures in the 2002 budget proposals

In its draft 2002 budget, the government proposed the following key measures to Parliament:

- A cut of one percentage point in all central government income tax scales, a substantial rise (4.5 per cent) in the lowest tax bracket, and a further increase in the earned-income tax allowance in the municipal income tax. The total income tax cut is estimated at EUR 0.7 billion.
- A cut in the pension contribution rate paid by employers and in the sickness insurance contribution rate paid by pensioners.
- The lowering of the corporate tax revenue share of municipalities from 36.39 to 23.33 per cent. Based on 2002 projections, this is financially neutral as it is accompanied by an increase in the transfer from the state to municipalities.
- Four infrastructure projects (three railway projects and one motorway project) will be started.

more than the EUR 1.7-1.9 billion announced in the 1999 Government Programme. Moreover, property income is projected to return to a more normal level. As a consequence, the fiscal stance will ease further.[19] The general government surplus is projected to decline to 2.6 per cent of GDP by the Ministry of Finance (to 1.9 per cent of GDP in the OECD's projection) while, in their November projections, the central government surplus is forecast to drop to 0.3 per cent of GDP, clearly below the medium-term target of 1½ to 2 per cent of GDP. The OECD even projects a deficit of ¼ per cent of GDP, reflecting lower activity than currently projected by the authorities.

Central government spending in the draft 2002 budget is higher than the target of holding expenditure constant in volume terms during the government period and higher than the updated spending limits of March 2001. Spending is expected to rise by 2 per cent in volume terms in 2002 and to be 2¾ per cent higher than in 1999. Although part of the rise is due to changes in accounting, the 2002 draft budget implies a slippage on the government expenditure target. Around half of the rise reflects the increase in transfers to municipalities fully offset by the lowering of the share in corporate tax revenues. In nominal terms, spending could surge by even considerably more as there is no automatic mechanism to offset higher than expected cost increases, such as the strong wage rise of doctors in the public health sector and its possible spillover effects.

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The short-term outlook and risks

The projections

Against the background of a very weak global economic picture, Finnish growth is also projected to remain lacklustre in 2002 (Table 8).[20] Exports are projected

Table 8. **Short-term projections**
Percentage change, volume

	1998 Current prices, billion EUR	1999	2000	2001	2002	2003
Private consumption	58.2	4.0	3.0	2.0	2.1	2.5
Government consumption	25.1	1.9	0.7	1.6	1.3	1.3
Gross fixed capital formation	21.7	3.0	5.5	1.3	–1.3	2.6
Public sector	3.4	–2.2	–5.4	–3.1	2.5	1.3
Private sector	18.3	3.9	7.4	1.9	–1.8	2.8
Residential	4.8	12.7	3.4	–7.5	–2.3	2.1
Non-residential	13.5	1.0	9.0	5.3	–1.7	3.0
Final domestic demand	105.0	3.3	3.0	1.8	1.2	2.2
Stockbuilding[1]	1.1	–1.2	0.9	–0.1	0.1	0.0
Total domestic demand	106.2	2.0	4.0	1.7	1.3	2.2
Exports of goods and services	45.0	6.8	18.1	–3.7	1.0	6.4
Imports of goods and services	34.8	4.0	15.7	–2.2	1.3	4.2
Foreign balance[1]	10.2	1.6	2.7	–1.0	0.0	1.5
Statistical discrepancy[1]	–0.4	0.7	–0.6	0.0	0.0	0.0
GDP	116.0	4.0	5.7	0.4	1.2	3.4
GDP *of the euro area*	..	2.7	3.5	1.6	1.4	3.0
Employment	2 213.0[2]	3.3	1.7	1.3	0.5	1.2
Unemployment rate (%)	11.4	10.2	9.8	9.2	9.6	9.6
Output gap (%)[3]	–0.7	–0.3	2.2	–0.5	–2.5	–2.3
Private consumption deflator	..	1.1	3.5	2.6	1.7	1.9
GDP deflator	..	–0.1	3.4	2.1	1.6	2.0
Private sector wage rate	..	2.6	5.9	4.5	4.2	4.2
Net lending (% of GDP)	..	1.9	6.9	3.7	1.9	2.1
Household saving ratio[4]	..	4.0	1.7	3.5	4.3	4.0
Current account (% of GDP)	..	6.0	7.4	6.6	5.9	6.5
Interest rates (%)						
Short-term	..	3.0	4.4	4.2	3.0	3.8
Long-term	..	4.7	5.5	5.0	4.8	5.2

1. Contribution to GDP growth.
2. Thousand persons.
3. Deviations of actual GDP from potential GDP as a percentage of potential GDP.
4. Per cent of disposable income.

Source: Statistics Finland and OECD (2001), *Economic Outlook*, No. 70.

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to bounce back only towards the end of the year, as paper and other traditional exports benefit from stronger world demand. The recovery in Finnish paper exports is likely to be damped by the improved position of its Swedish competitors due to the recent strong depreciation of the Swedish krona. Exports of electronic equipment products are likely to increase again but will remain relatively weak in the short term as product innovations will be insufficient to increase replacement sales of mobile handsets markedly and sales of third-generation network systems still have to gather steam. The sector will only marginally contribute to GDP growth in 2002, but could gain considerable momentum again thereafter.

Supported by a solid financial position, a substantial income tax cut, robust wage and transfer increases, private consumption should support growth in 2002, despite some damping effect from the deceleration in employment growth and the presumed adverse confidence effects from the September attacks. Given the downturn in the previous year and the heightened uncertainties, business investment is projected to fall although the financial position of the business sector will remain sound. Slow growth will have a noticeable effect on the labour market, and unemployment is projected to rise during 2002. While there was excess demand in 2000, low growth in 2001 and 2002 will lead to a sizeable negative output gap. This negative output gap, in combination with the projected drop in oil prices in 2002 and the moderate strengthening of the euro relative to 2001,[21] should push inflation below 2 per cent – restoring price stability as defined by the ECB for the euro area. The current account surplus is projected to drop somewhat further in 2002 – but to remain large – as subdued imports and an improvement in the terms of trade only partly offset low export growth.

In 2003, when the international recovery will gain momentum, growth is projected to recover also in Finland. The export-led recovery is, however, likely to be shallow and GDP growth projected at 3½ per cent will remain low compared with the average pace of 5 per cent between 1995 and 2000, albeit stronger than in the euro area for the first time since 2000. The electronic equipment industry may start to benefit from the international roll-out of 3G (third generation) mobile telephony. Only in the second half of 2003 will stronger activity be reflected in a better employment performance and a renewed fall in unemployment, but this will be insufficient to cause a year-on-year fall in unemployment. The drop in interest rates since mid-2001 and improving employment prospects will lead to a recovery in residential investment and to a more rapid private consumption growth. Business investment should also recover owing to stronger demand and low interest rates. With unemployment rising at the time of the wage negotiations and the output gap clearly negative, wage rises should be moderate in 2003 and price inflation low. The current account surplus is projected to be sizeable and the net foreign interest-bearing asset position could switch from a deficit into a surplus.

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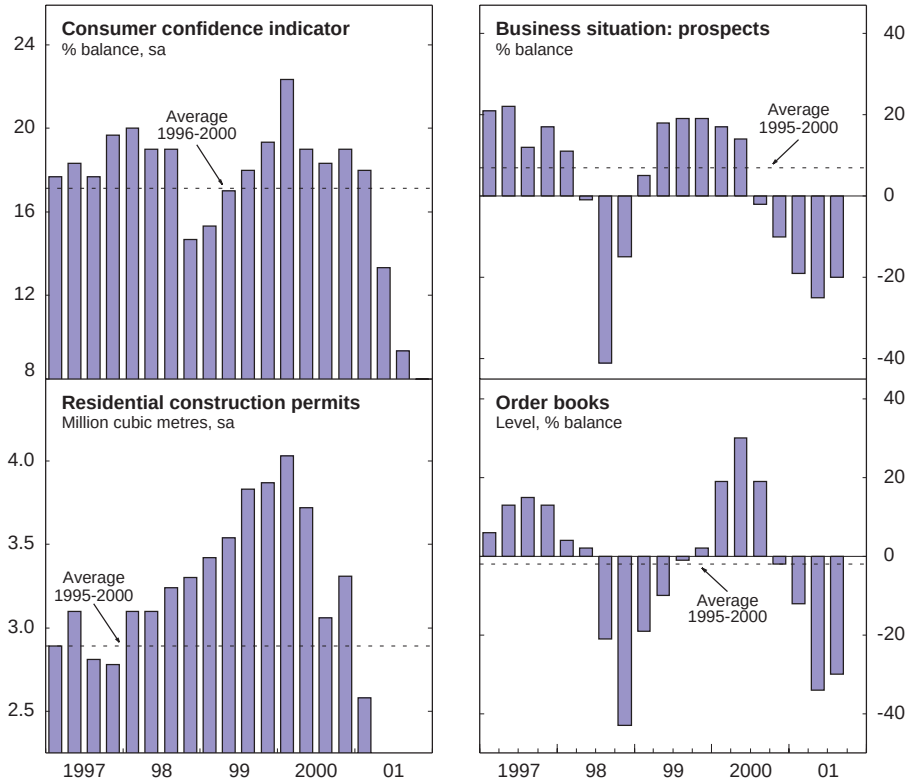
Substantial uncertainties surround the projections

Finnish leading indicators point to a continuing weak economic development in the near term (Figure 12). Order books are thin and business sector sentiment is gloomy, while consumer confidence is relatively low. The 11 September attacks in the United States have markedly raised the already high uncertainty about international economic developments in the near term. An international recovery may take more time to materialise than is imbedded in the central scenario. Simulations with the OECD Interlink model indicate that no recovery in the rest of the OECD would reduce growth in Finland to ¾ and 1¼ per cent in 2002 and 2003, respectively. It would lead to a rise in the unemployment rate to above

Figure 12. **Leading indicators**



Source: OECD, *Main Economic Indicators* and Confederation of Finnish Industry and Employers.

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10 per cent in 2003 and a deterioration of the general government balance to a surplus of 1½ per cent of GDP. In this context, the restoration of strong economic fundamentals since the mid-1990s – a strong financial position of households and firms, a healthy banking sector, a central government budget in or close to balance – is important as it should make it somewhat easier to weather the harsh international economic climate.

Another major uncertainty concerns the electronic equipment industry, where downside risks prevail in the short term but upward risks exist in the medium to long term. A successful international introduction of GPRS (General packet radio services) handsets and even more so of 3G mobile telephony could boost output of the Finnish electronic equipment industry considerably and push up productivity growth, but the uncertainty on international demand for electronic equipment is currently very high. In the somewhat longer term, output growth of the sector could be hampered by lack of skilled labour or Finland could lose its place as a centre of excellence.

Main policy challenges

In the Finnish situation there is currently room for letting the automatic stabilisers work in full and there is no reason for postponing the income tax cuts envisaged for 2002. In any case, as the cuts are part of the two-year central wage agreement, it would be virtually impossible to postpone them. Discretionary measures to bring about a recovery more rapidly may be tempting but would not be very effective given the high import leakage. Moreover, it would be difficult to get the timing and size of an additional fiscal easing right and it would move the government further away from respecting its fiscal targets. Decisions to increase spending may be irreversible and lead to a ratcheting up of public spending. The projected recovery may not bring the central government budget in line with the medium-term target of a surplus of 1½ to 2 per cent of GDP.[22] Should this turn out to be the case, some additional consolidation measures would be needed and, as the tax burden is already too high, these measures should be taken on the expenditure side. At the minimum, the spending limits agreed in March 2001, but not adhered to in 2002, should be respected in 2003-05, when a recovery should be firmly underway. The government's aim to achieve a structural surplus in central government finances in 2003 in the negotiations on the spending limits of early 2002 is therefore welcome.

The recovery from the current slowdown could be later and shallower than projected but will certainly happen. However, as illustrated by the recent medium-term scenarios of the Ministry of Finance (Table 9), a combination of a somewhat weaker international development in the medium term, higher government outlays and stronger domestic cost rises could lead to the reappearance of a central government deficit and to a substantial rise in unemployment. The policy

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Table 9. **The Finnish economy in the medium term**
2001-07

	Baseline scenario	Slow growth scenario
	% change, annual rate 2001-07	
Private consumption	2.7	1.6
Public consumption	1.0	1.1
Exports	5.2	2.1
Imports	5.2	2.0
GDP	2.7	1.5
Private consumption deflator	2.0	2.2
Employment	0.5	–0.7
Labour productivity	2.1	2.1
	Per cent, 2007	
Unemployment rate	7.5	14.0
Employment rate (age 15-64)	68.3	62.6
	Per cent of GDP, 2007	
Government financial balance	4.2	0.3
of which: Central government	1.5	–1.5

Source: Ministry of Finance.

challenges for the rest of this and for the coming government period may thus be substantial. As outlined in the next chapters, structural reform measures, especially concerning the labour market and including employment-friendly changes in tax and benefit systems, should be undertaken to prevent the costs of ageing from undermining the welfare state. A change in incomes policy could also be helpful. The aim should be to make the system more flexible while preserving the overall wage moderation that served the Finnish economy well in the past.

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II. Policies to boost potential output growth

Prior to the recent slump, the growth performance of the Finnish economy had been among the best in the OECD in recent years. At the same time, the economy has undergone fundamental changes. Partly as a result of its EU membership since 1995, it has become more integrated with the rest of the world, increasing the need to adjust quickly to developments abroad. Liberalisation and privatisation have facilitated adjustment, with market mechanisms now operating to a greater extent. Furthermore, the sectoral composition of output has changed significantly, with a diminished role for the traditional metal and forest industries, while the electronic equipment industry has become the most important export sector. This change in composition made the Finnish economy less capital intensive and more knowledge-based. Finally, economic activity has become more concentrated in the Helsinki region and other growth centres. Helsinki is one of the fastest growing cities in Europe whereas eastern and northern Finland are among the EU regions with the strongest migration outflow.

These structural changes were not caused by the deep recession of the early 1990s but were certainly spurred by it.[23] The recession-induced banking crisis, for instance, hastened and deepened the restructuring of the financial sector, with Finnish banks now leading in Internet banking. Although there were fundamental changes in many fields, the Finnish economy has kept three key characteristics: it remains a Nordic welfare state with social transfers and therefore taxes above the already-high European average; collective wage negotiations have continued to be characterised by a high degree of centralisation with little room for enterprise bargaining; and the income difference between the most and least well-off remains relatively small – despite the rise in the 1990s – and the wage structure relatively compressed.

This chapter provides an overview of the key structural issues and of the main policy measures taken over the past 18 months. It starts with an analysis of the recent output and productivity performance; thereafter, it covers structural policy developments in the labour, product and financial markets as well in the public sector.

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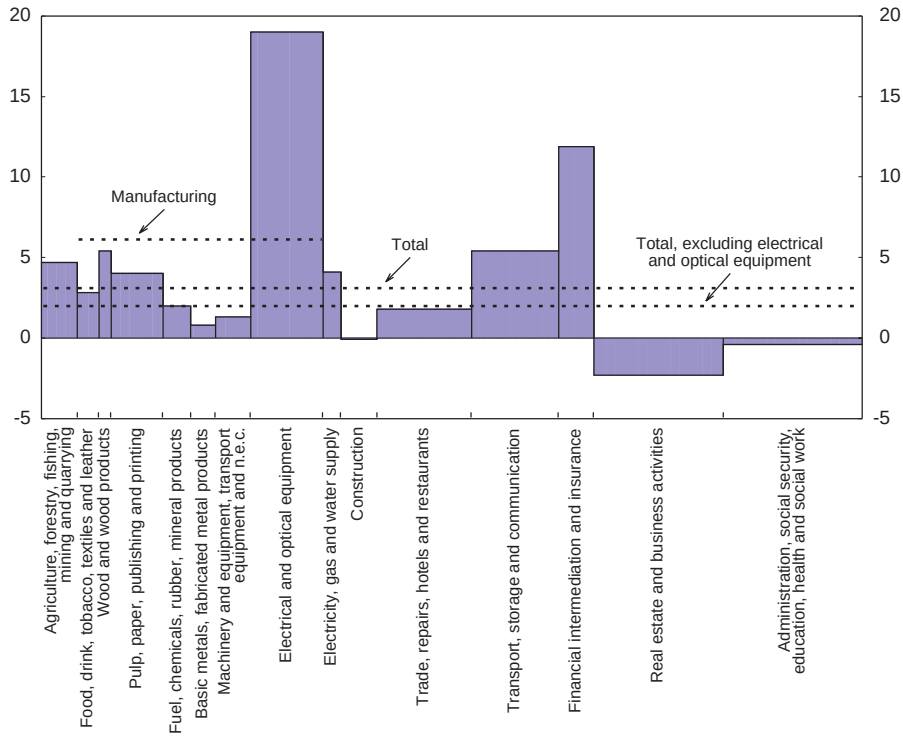
Strong output and productivity performance

Medium-term growth performance has been the strongest in western Europe after Ireland and Luxembourg (see Figure 10 above). GDP increased by 5 per cent per year between 1995 and 2000, double the rate observed in both the euro area and the OECD. Undoubtedly, this strong performance was partly due to the robust recovery from the deep recession of the early 1990s but it also contained a sizeable non-cyclical component. Trend output growth showed a strong acceleration, with output and multifactor productivity performance clearly boosted by the ICT sector (Figure 13 and Table 10). As Finland became world leader in the production of mobile telephone handsets and systems, the electronic equipment industry

Figure 13. **Labour productivity by sector**[1]

Percentage change, annual rate, 1995-2000



1. Value added per hour worked. The width of the bar represents the share of each sector in total value added in 2000.
Source: Statistics Finland (2001), *National Accounts 1992-2000* and OECD.

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alone added almost 1½ percentage points to annual labour productivity and output growth in 1995-2000.[24] This boost to overall productivity by the ICT-producing sector is similar to that seen in other countries where this sector is substantial, such as the United States and Ireland. Use of ICT also lifted output and multifactor productivity growth.[25] However, and in contrast with the United States, labour productivity growth has not yet accelerated as higher multifactor productivity growth was due to a strong rise in capital efficiency caused by a better functioning of the capital markets (Table 10; Jalava and Pohjola, 2001; Jalava, 2001).

Government policy has played some role in the very successful development of the electronic equipment industry. It did so by sound macroeconomic management, by the early liberalisation of the telecommunication market, by the liberalisation of the capital market at the end of the 1980s and by providing an engineering-oriented educational system. Also its R&D policy probably had some positive impact.[26] However, more important than government policy were strategic decisions made by the management of Nokia, the main ICT company.[27]

Table 10. **Contributions to output growth in the market sector**[1]

Percentage points

	1975-90	1990-95	1995-99[2]
Output growth (%)	3.2	–0.7	6.0
Contributions by input			
ICT capital	0.2	0.3	0.7
Other capital	0.8	–0.7	–0.4
Hours worked	–0.4	–2.9	1.3
Labour quality (education)	0.2	0.2	0.3
Multi-factor productivity	2.2	2.3	4.2
Contributions by industry			
ICT[3] industries	0.3	0.5	2.0
Other industries	2.9	–1.2	4.0
Labour productivity (%)	3.7	3.9	3.5
Contribution of ICT capital[4]			
United States	0.3	0.3	0.6
Other G7 countries	0.2	0.2	0.3

1. The market sector excludes production by general government and non-profit institutions serving households. Figures may not add up to the totals because of averages and rounding.
2. Preliminary estimate.
3. ICT industries are defined here as encompassing the manufacture of electrical and optical equipment, telecommunications and computer and related activities.
4. 1980-90 instead of 1975-90.

Source: Jalava J. (2001), "The new economy in Finland", *Bank of Finland Bulletin* 2/2001 and A. Colecchia and P. Schreyer, "ICT Investment and Economic Growth in the 1990s: Is the United States a Unique Case? A Comparative Study of Nine OECD Countries", STI *Working Papers*, No. 2001/7, OECD, *www.olis.oecd.org/olis/2001doc.nsf/LinkTo/*DSTI-DOC(2001)7.

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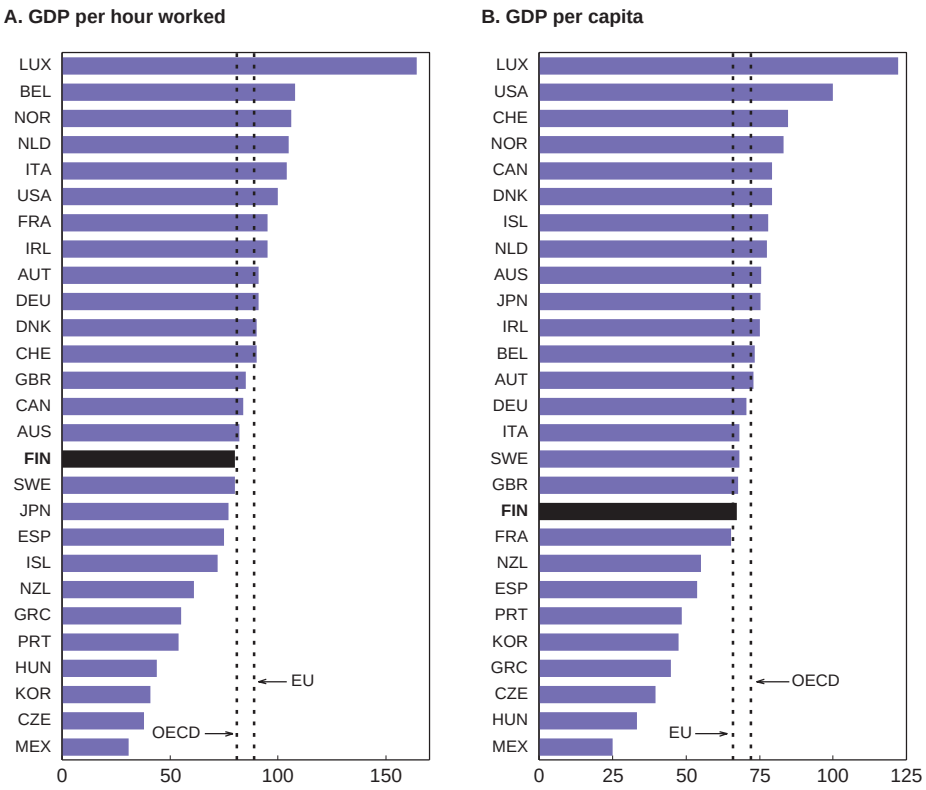
Despite the emergence of a substantial and highly productive electronic equipment industry and the positive effects of structural reform measures taken in other parts of the economy, the overall productivity level, measured by GDP per hour worked, is still below the EU average (Figure 14). This is partly caused by lower productivity in the sizeable government sector.[28] GDP per head of population is, however, on par with the euro area average due to an above average employment rate and hours worked.[29] It is, however, still lower than in the leading OECD countries, indicating that additional structural reform measures are required. The success of such measures, however, should not only be assessed on the basis of productivity developments, as employment of the current large pool of low-skilled unemployed could lead to a continuation of subdued labour productivity growth in coming years.

Figure 14. **Output and productivity**
1999, USA = 100



Source: P. Schreyer and D. Pilat (2001), "Measuring productivity", *OECD Economic Studies*, No. 33, forthcoming.

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The recent sharp output drop in the ICT-producing sector, the disappointing reaction so far of consumers to new mobile telephone products and delays in the roll-out of third-generation mobile telephone networks underline the substantial uncertainty concerning the Finnish ICT-producing sector in the medium term. It is unlikely that the contribution of the ICT-producing sector to total output and productivity growth will be as big as in the second half of the 1990s, although it is likely to remain important. Nevertheless, the OECD's estimate of annual potential output growth for the coming years of 3¼ per cent[30] indicates confidence that Finland will remain a centre of excellence concerning mobile telephony and that productivity in the ICT-using industries will accelerate. There is already some evidence that multifactor productivity growth has risen in Finnish industries with intensive use of ICT (Pilat and Lee, 2001; Van Ark, 2001). In this context, it is important that attention be paid to improve productivity in non-ICT areas of industry and services through the creation of a favourable environment for entrepreneurship and growth.

R&D *is high due to the highly-developed* ICT *sector*

The high and rising R&D expenditure is partly the cause and partly the result of the strong development of the ICT sector. In 2000, total R&D expenditure was 3.3 per cent of GDP, the second highest in the OECD after Sweden and almost twice as high as the EU average (Statistics Finland, 2001; OECD, 2001*d*).[31] The ICT share in total business R&D expenditure is more than 50 per cent.[32] Government R&D spending is also high by international standards, about 0.4 per cent of GDP in 2000.[33] Nevertheless, two-thirds of total R&D is financed by the private sector, which is above the OECD average. The number of companies pursuing R&D has increased somewhat since the early 1990s, to 2 500 in 1999. But, at the same time, R&D activities have become more concentrated, with the share of the ten most important R&D companies in total private sector R&D expenditure increasing from one-third in 1991 to over a half in 1999.[34] While the strong rise in R&D was mainly based on business sector decisions, government policy probably also played a positive role. Finland was one of the few countries with a rise in government spending on R&D in the 1990s and this may have contributed to the acceleration in productivity growth. Moreover, its lack of interference in specific project choices and its systematic evaluation of R&D support programmes may have made its R&D funding more effective.[35] Government R&D expenditure could become even more cost effective by competitive tendering of research projects and by improving the evaluation of R&D expenditure of ministries that are not channelled through research councils of the Academy of Finland or through the technology development centres (TEKES) of the Ministry of Trade and Industry.

Labour markets: long-term unemployment is stubbornly high

With a standardised unemployment rate of 9 per cent and a broad unemployment rate of 18 per cent, Finland still faces a major challenge in getting peo-

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ple back into work despite the impressive labour market performance since the 1990-93 recession (Figure 15).[36] Standardised unemployment has halved since the early 1994 peak but has remained well above the rate prevailing before the economic slump and is still more than double the rate of the best performing countries in the European Union. Moreover, regional disparities in unemployment are substantial, with broad unemployment in northern and eastern regions around 30 per cent, three times as high as in the south and west where about 80 per cent of job creation took place in recent years. This regional difference is a matter of concern (Box 5). The still high unemployment reflects not only the extreme depth of the recession of the early 1990s, the late start with labour market reforms and the time it takes before such reforms raise performance, but also the relatively limited scale of labour market reforms and some acquiescence by policy makers. For instance, little policy action has focused on the large pool of older unskilled unemployed, which may have to remain idle until they reach pensionable age.

The labour market is not only characterised by high unemployment but also by an increasing polarisation between those with a low and a high chance of finding work. In 2000, more than half of the unemployed job-seekers registered at the employment offices – those aged above 50 years, immigrants, disabled persons and those with poor educational and vocational qualifications – were facing serious difficulties in finding regular work.[37] Long-term unemployment is substantially underestimated by the official statistics as many workers experience unemployment spells disrupted temporarily by participation in ALMPs or by short periods of employment, often in temporary and subsidised jobs. In 2000, one in three unemployed was registered as long-term unemployed (*i.e.* uninterruptedly unemployed for 12 months or more), but almost one in two was unemployed for at least 12 months in the past 16 months (Ministry of Labour, 2001) while around 40 per cent of the broadly defined unemployed had not had a regular job in the past three years (European Commission, 2000). Furthermore, only 13 per cent of the long-term unemployed ending their unemployment spell found a regular job while 40 per cent entered into an ALMP and almost half of those ending their participation in an ALMP became unemployed again.[38] The measures taken in 1997, which made re-qualifying for unemployment benefits somewhat more difficult and less attractive, have not broken the vicious circle of long unemployment spells, ALMP interludes and short periods of employment.[39]

Higher unemployment benefits will increase disincentives to seek a regular job

Low-skilled workers experience little financial incentive to find a regular job and are trapped in the public income support system. In this context, the increase in unemployment benefits in March 2002 (the earnings-related part of the benefit will increase from 42 to 45 per cent of the previous earnings in excess of the basic benefit) will be a step in the wrong direction although it may contribute

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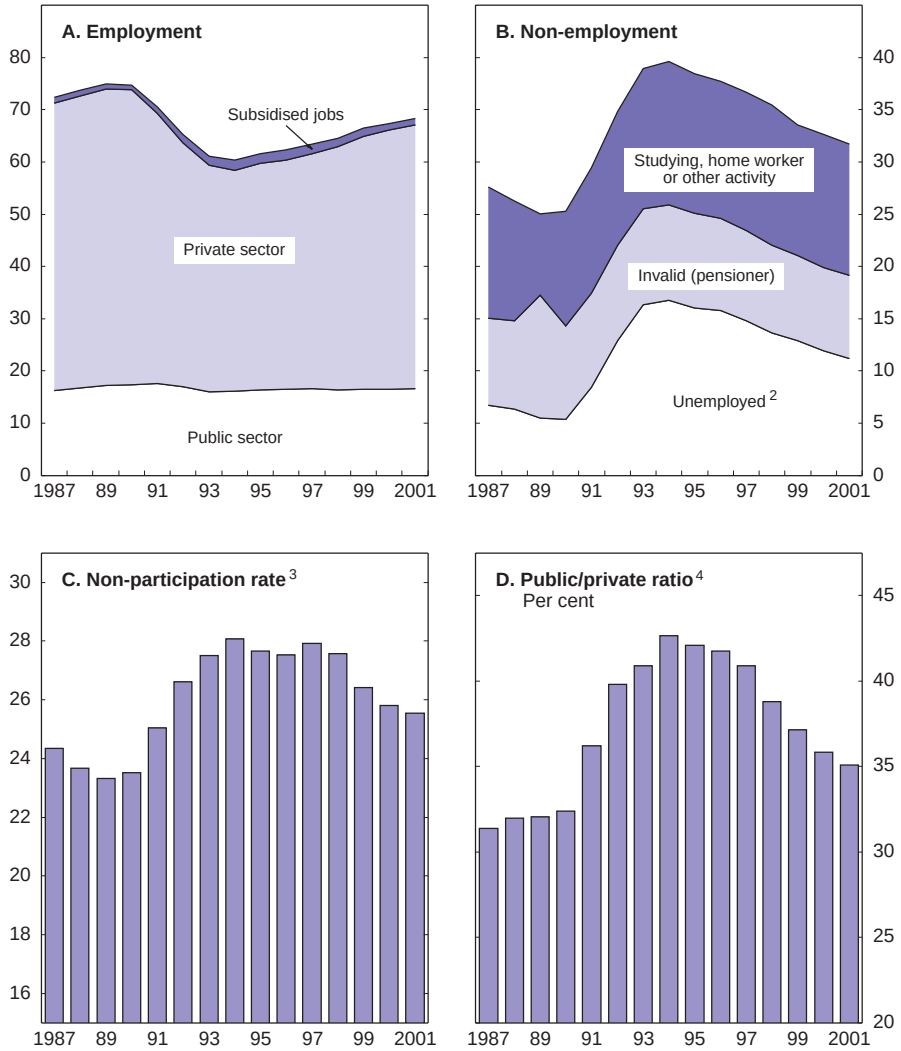
Figure 15. **Structure of the working-age population**
Per cent of population aged 15-64[1]



1. Estimates for 2001.
2. Unemployed receiving benefits or pensions, job seekers receiving no benefits and those on employment training.
3. Those not in the labour force as a per cent of the working age population (both aged 15-64).
4. Public sector and subsidised employment as a per cent of private sector employment.

Source: Ministry of Labour, Statistics Finland and OECD.

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Box 5. Sharp increase in regional economic differences

Economic differences between regions are a matter of concern (Economic Council, 2001). The broad unemployment rate in the northern and eastern regions is around 30 per cent, three times as high as in the south despite massive migration towards this region. In 1998, GDP per capita in the south was 40 per cent above the EU average while it was 25 and 15 per cent below that in the eastern and northern region, respectively. Depressed areas – dominated by traditional industries, agriculture and forestry – have lost a quarter of their jobs over the last decade while around 80 per cent of the new jobs were created in the south and west in recent years. The share of the Helsinki area in total GDP was 32 per cent in 1997, 4 percentage points higher than ten years earlier, and has increased further since then. The economic concentration in the Helsinki region and other growth centres is prompted by structural changes such as the rise in foreign trade, the shift from an industrial economy to a service-based economy and the emergence of the telecommunications equipment industry. This industry requires easy access to research institutes and universities and its rapid development therefore has contributed to geographical concentration. The concentration and its inevitable accompanying migration flows not only make peripheral regions less interesting for business and affect its basic services but are also creating regional problems in the Helsinki area as the housing stock and the infrastructure are insufficient at the moment.[1] Nevertheless, the concentration of activity is projected to continue with economic growth in the four fastest growing regions twice as high as in the other regions in 2001-05 (Rantala, 2001).

Despite the substantial regional discrepancy, national regional aid narrowly defined is rather limited (0.7 per cent of GDP in 2000) and the fifth lowest in the EU.[2] Most regional programmes are EU programmes based on the EU Structural Funds. Almost half of the Finnish population lives in areas entitled to the EU's regional aid, the largest share after Greece, Portugal and Spain. Public aid from the Structural Funds is estimated at around EUR 0.7 billion per year (½ per cent of GDP) in 2000-06. Recently, an expert working group concluded

1. In 2000, the central government and the municipalities of the Helsinki region agreed to co-operate to build annually 13 000 houses in the area over the period 2000-03.
2. On a broad definition, regional aid amounted to EUR 5.5 billion (4.2 per cent of GDP) in 2000 of which EUR 1 billion was narrowly defined regional support partly co-funded by the EU (Ministry of Finance, 2000*b*). The broadly defined, purely national regional aid, includes all support, which promotes regional development or has a regional dimension. It includes part of the funding for road construction and maintenance, subsidies to transport in coastal areas and the Finnish archipelago, aid to certain airports, part of public road transport funding, a part of the costs of ALMPs, investment to support employment in certain regions and a fraction of the funding for environmentally sustainable development.

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Box 5. **Sharp increase in regional economic differences** (*cont.*)

that it is not possible, or justified, to use regional policy measures to prevent changes in the regional structure (Economic Council, 2001). Moreover, EU competition rules have made it more difficult than in the past to use subsidies to influence location decisions of companies. Nevertheless, the working group recommended spending some additional resources to promote a more balanced geographical development and to ensure social cohesion. Furthermore, it recommended investigating the possibility of using tax expenditure for regional purposes. The coming EU enlargement could have serious consequences for regional support as under the existing rules Finnish regions would no longer be eligible for the main EU regional subsidy (Objective 1 regions support) due to a GDP per capita level above 75 per cent of the average level in the enlarged EU (Economic Council, 2001*b*).

somewhat to reducing income inequality (Box 6).[40] In recent years, financial incentives to accept work had been strengthened somewhat, especially by the sharp increases in the earned-income tax allowance and by the abolishment of this allowance for unemployment beneficiaries.[41] Nevertheless, replacement rates (the ratio of out-of-work and in-work net income) have remained among the highest in the OECD (OECD, 1999) while the current system of constant benefits for the first 500 days of unemployment limit job-search activity. In November 2001, a working group proposed to strengthen job-search activity of some workers by increasing unemployment benefits for the first 130 days (see also Annex I). This increase will be for those who have a work history of at least 20 years and will replace the current lump sum rewarded to those who are made redundant for economic reasons. Such a measure would be a step in the right direction but a reform should be considered that would lead for all workers to a decline in benefits with the length of the unemployment spell. This should be supplemented by other measures, such as tax changes (see Chapter III) and by stronger enforcement of existing eligibility criteria, including tighter job-search requirements (see below).[42]

Further reform of the Public Employment Service *in* 2002

As long-term unemployment is declining only slowly, the reforms of the Public Employment Service (PES) implemented in 1998-99 are now considered to be inadequate (Ministry of Labour, 2001*b*) and the Finnish authorities have proposed additional reforms, to be implemented in 2002.[43] The main aims of the 1998-99 reforms were to reduce long-term unemployment and to enhance labour market performance by stimulating job-search activity of benefit recipients

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Box 6. The income distribution has widened and poverty has increased

During the 1990s, the Finnish income distribution has become more skewed but remains relatively compressed compared with other OECD countries.[1] The strongest increase in disposable income has occurred at the high end of the earnings scale, because of the strong rise in capital income and the emergence of sizeable stock option revenues. As a consequence, the top decile's share in total disposable income has risen from 18.4 per cent in 1990 to 22.8 per cent in 1999 (Table 11). Income inequality, as measured by the Gini index, rose from 0.20 in 1990 to 0.26 in 1999 and is likely to have increased further in 2000 before falling back in 2001. Social transfers and taxes diminish income dispersion substantially, reducing the Gini index from 0.48 before transfers and taxes to 0.26 afterwards. With income differences widening, relative poverty has increased. Measured by the share of individuals with disposable income below 50 per cent of the national median income, the poverty rate has risen from the nadir of 2.7 per cent in 1994 to 4.1 per cent in 1999 which is probably still among the lowest in the OECD.[2] Absolute poverty, however, has declined in the second half of the 1990s as real disposable income rose by 0.8 and 1.5 per cent per year for the two lowest deciles, respectively. Moreover, since 1996, the number of households receiving income support – an indicator of difficulties in earning a livelihood – has fallen from around 12 to 9½ per cent in 1999, but has continued to be well above the pre-recession level of about 6 per cent.

As a reaction to the widening income distribution and increase in relative poverty, the government launched a poverty package to raise income transfers for the poorest and to improve public services especially directed at the most vulnerable people, with outlays of EUR 80 million (0.1 per cent of GDP) in 2001, rising to EUR 260 million in 2002. There is the risk that these measures may increase poverty traps. The government's strategy to prevent poverty and social exclusion, however, does not only focus on the transfer system. In its view, ensuring stable output growth by proper macroeconomic management and raising productivity through education and structural reform measures are crucial to reach a higher level of employment and thereby to lowering poverty (Ministry of Social Affairs and Health, 2001).

1. See Statistics Finland (2001*b*), Riihelä *et al.* (2001), Burniaux *et al.* (1998) and Förster (2000). In the mid-1990s, income inequality, as measured by the Gini index, was the lowest of the examined OECD countries after Denmark and Sweden. Arjona *et al.* (2001) reports that it was the lowest in the 1990s after Denmark.
2. In 1993-95, poverty rates for selected OECD countries varied from 4.7 per cent in Denmark to 15.3 per cent in Portugal and 16 per cent in the United States (OECD, 2001*e*). The EU average excluding Austria, Finland and Sweden was 11.7 per cent.

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Table 11. **Income distribution and poverty**

	1990	1995	1998	1999
Gini index of income inequality[1]				
Wages[2]	..	0.21	0.22	0.21
Factor income[3]	0.39	0.46	0.47	0.48
Gross income[4]	0.26	0.27	0.30	0.31
Disposable income	0.20	0.22	0.25	0.26
Households' disposable income share				
1st decile	5.0	5.0	4.5	4.4
2nd decile	6.5	6.5	6.0	5.9
10th decile	18.4	19.7	21.4	22.8
Poverty rates (% of population)				
Based on disposable income[5] less than:				
50% of median disposable income	3.3	3.0	4.1	4.1
60% of median disposable income	7.8	7.1	9.5	9.6

1. The index ranges from 0 to 1; a higher coefficient indicates a less equal income distribution.
2. Excluding income from stock options.
3. Including income from stock options.
4. Defined as the sum of factor income and transfers received.
5. Household income is adjusted by taking into account its size and composition; in a household the first adult has a weight of 1, the second 0.5 and children 0.3 each (new OECD equivalence scale).

Source: Statistics Finland (2001), *Income Distribution Statistics* 1999.

and by improving the quality of the job placement services for enterprises (Räisänen, 2001).[44] Job-search activity is promoted by job-search training of unemployed, entry interviews by PES job-counsellors of persons becoming unemployed, monthly contacts of the unemployed with the PES, half-yearly intensive interviews, compulsory job-search plans and skill mapping.[45] Finland did not play a pioneering role with these reforms, but caught up with best practices established in other countries earlier on (OECD, 2001*f* and 2001*g*). As evaluations made by the Ministry of Labour indicated that only participation in job-search training has a positive effect on job-search activity (Ministry of Labour, 2001), for other measures, such as a monthly PES contact and the half-yearly intensive interviews, selectivity will be increased and frequency lowered as part of the "second wave" of PES reforms.[46] A main element of the new measures is a limited outsourcing of placement services by the PES.[47] As in Australia, the remuneration for a placement will depend on the unemployment category, with the highest fees paid for those who are hardest to place. The proposal is, however, less radical than the 1998 reform of the Australian PES that led to a contestable employment placement market with competition between private, public and community service providers.[48] Furthermore, the role of the job-search plan will be strengthened by modifications in the unemployment benefit systems. If the job-search plan is

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insufficiently followed, the PES will be able to apply sanctions such as a cut in the unemployment benefit.[49] This will improve the possibilities of the PES to test willingness to accept work. At the moment, the only way the PES is doing this in practice is by a direct job offer, but this is only done for one in ten unemployed.

The labour market programmes are not very effective

Not only job-brokerage and job-search assistance services but also active labour market programmes (ALMPs) can be instrumental in reducing unemployment. As in the other Nordic countries, ALMPs play an important role in Finland, at the cost of slightly more than 1 per cent of GDP in 1999 (OECD, 2001*f*). The Finnish authorities consider the effects of the current ALMPs "not on the whole satisfactory" (Ministry of Labour, 2001*b*) but have not proposed a major overhaul. For many unemployed, participation in an ALMP is only an interlude between two unemployment spells and does not increase employability significantly (Table 12). In recent years, spending on active measures has fallen steadily, in line with the drop in unemployment, while the authorities have put more emphasis on training and private instead of public sector placement programmes. Recently, to increase the probability of long-term unemployed returning to a regular job, the government proposed to lengthen the period of the "combined subsidy" programme. Under this programme, an employer in the private or public sector who hires a long-term unemployed will receive the person's labour market support and an additional employment subsidy for two years instead of one from 2002 onwards (the new employee is paid according to the wage settlement of the industry). At the moment, the impact of placement in the "combined subsidy" programme on employability is as disappointing as placement in a temporary job in the public sector (Table 12). Nevertheless, the share in total ALMP placements of these two programmes is substantial, although that of public sector jobs has dropped substantially in recent years.[50] To reduce structural unemployment, ALMPs that do not show satisfactory results should be re-examined.

Labour market regulation also plays an important role in job creation. In this context, the new *Employment Contracts Act* that came into force in June 2001 is relevant (Hietanen, 2001). It increases the rights of fixed-term and part-time employees, by forbidding in principle the application of worse terms to "atypical" contracts than to full-time permanent contracts and by obliging employers who need more personnel to offer in the first instance extra work to part-time employees. Furthermore, it defines more precisely the system of "general validity" of collective agreements although it is too early to say whether this will make the agreements more or less binding. Finally, it reduces the notice period for short-term contracts and increases it for long-term ones. Overall, it makes the Finnish employment protection legislation slightly more restrictive, but without

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Table 12. **Active labour market programmes: composition and impact**
Number of persons on an annual basis, thousands

	1990	1995	1997	1999	2000	2000 % unemployed afterwards[1]
Labour market training	16.8	33.9	46.8	37.7	30.9	43.5
Apprenticeship training for unemployed	0.0	2.5	9.0	8.4	6.2	15.0
Traineeship	0.0	9.9	12.2	11.6	10.5	32.1
Unemployed continuing education	0.0	0.0	0.2	1.8	1.2	..
Pay subsidies (private sector)	4.8	11.7	6.9	4.2	3.4	40.6
Job rotation	0.0	0.0	3.3	4.6	5.3	..
Part-time work	0.0	2.2	6.5	6.0	3.8	38.4
Start-up grants	1.5	3.9	2.7	2.2	1.9	5.2
Job in the public sector	24.3	39.6	36.0	20.1	14.5	61.4
Combined subsidy[2]	0.0	0.0	0.0	9.8	12.6	63.9
Vocational rehabilitation[3]	0.0	0.0	1.4	1.4	1.6	..
Total	47.3	103.7	125.0	107.7	91.9	44.1

1. Share of the participants unemployed three months after terminating the measure.
2. Under the programme an employer, in the private or public sector, who hires a long-term unemployed receives the person's labour market support and an additional employment subsidy.
3. Vocational training to improve occupational skills of the long-term unemployed.

Source: Ministry of Labour.

changing the overall assessment given in the previous *Survey* that restrictiveness is close to the European average and far above that in some non-European countries.

New proposals to raise the effective retirement age

The previous *Survey* contained a special chapter on how ageing of the population will affect Finland.[51] In the coming decades, Finland will face a more rapid ageing of the population than most other OECD countries, which makes policy changes more urgent than elsewhere, while the low effective retirement age – estimated at 59 years in 2001 – makes it an even more daunting task (see also Box 3). On the other hand, the pension system is partly funded, in contrast to many other OECD countries, and the pension reforms of the 1990s have reduced the fiscal implications of ageing to some extent. The major reform recommendations in the previous *Survey* – aimed foremost at increasing the effective retirement age – were to:

- Make early retirement through the disability and unemployment pension schemes less favourable by eliminating old-age pension accruals during the period of early retirement.

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– Phase out the "pipeline" to unemployment pensions (currently unemployed older than 55 years are not required to seek work actively), supplemented by removal of disincentives for firms to hire older workers and active labour market programmes aimed at keeping 55 to 59 year-olds at work.

– Grant disability pensions only on purely medical grounds.

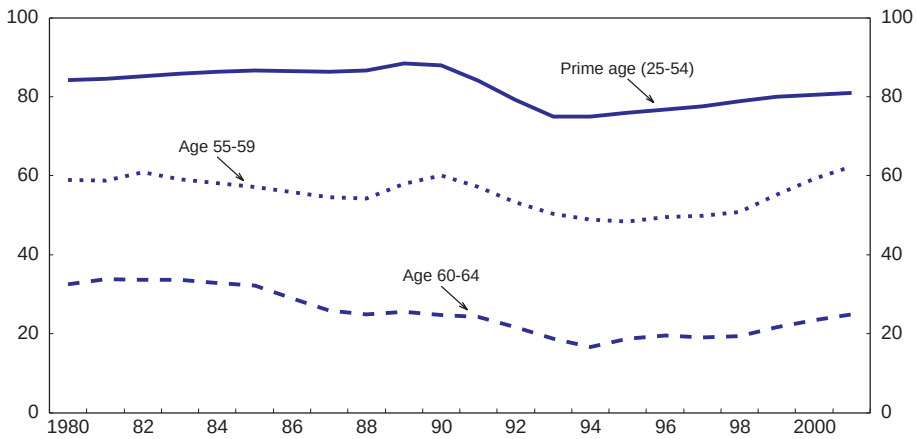
– Introduce defined-contribution personal pension accounts and lift the current pension ceiling of 60 per cent of pensionable earnings in order to increase incentives to work longer.

– Increase the funded part of the earnings-related pension schemes.

Helped by the favourable economic climate and possibly supported by the 2000 pension reforms, employment rates for older workers have edged up but are still low (Figure 16).[52] This was accompanied, however, by a worrying rise in part-time pensions of almost a quarter in 2001. These pensions are extremely generous after tax and should be scaled back. After the 2000 reforms, no additional measures have been implemented but in November 2001 working groups put forward proposals for further reform that are likely to be taken over by government and approved by Parliament in 2002 (Annex I). Implementation of the

Figure 16. **Employment rates of older workers**[1]

Employment as a per cent of population in the same age group



1. Estimate for 2001.
Source: OECD, *Labour Force Statistics*, Part II and Eurostat.

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proposed flexible retirement age of 63 to 68 years in combination with the proposed strong pension accrual after the age of 63 and the lifting of the 60 per cent pension ceiling will introduce strong incentives to remain longer in work, which is in line with the recommendations of the previous *Survey*. The same holds for the abolishment of the individual early retirement pensions and of the unemployment pension scheme in its current form, and for the scaling back of part-time pensions and the unemployment "pipeline" to pension. However, the scaling back of the pipeline is limited and the abolishment of the individual early retirement pension could be offset by an increase in disability pensions due to the proposed easing of eligibility rules. According to preliminary calculations made by the Finnish Central Pension Security Institute, implementation of the proposals would mean that the government target of increasing the effective retirement age by 2 to 3 years would be met by 2025; without implementation, the effective retirement age will only increase by around 1½ years between 2000 and 2025. The net effect of the proposals on the sustainability of the pension system is, however, currently difficult to assess and is unlikely to improve it by much. The sustainability of the pension system will depend critically on future decisions of the government on various issues that were left open by the working groups. These issues should be resolved in a prudent manner so as to safeguard the sustainability of the system over time. Most importantly, pension benefits should become linked to lifetime earnings –the working groups proposed an option scheme that is likely to lead to an increase in pension expenditure (Annex I) – and the retirement age should become linked to life expectancy.

Product markets: privatisation and competition could be enhanced

As highlighted in previous *Surveys*, the functioning of product markets has improved due to liberalisation measures, privatisation, the drop in state aid and the increased contestability of markets prompted by greater openness to foreign trade. Nevertheless, the productivity level is still below that of the best performing OECD countries and prices of consumer goods and services remain higher than elsewhere in the euro area, indicating the need to continue with product market reforms (Ministry of Finance, 2000*c*). The recent decision to continue privatisation and implementation of new EU Directives that will liberalise markets further are therefore welcome. Moreover, it is crucial that the Finnish Competition Authority and the sectoral supervisors remain vigilant against uncompetitive behaviour and that, where needed, a strengthening of their position is considered. Finally, special attention should be paid to raise the effectiveness of public service delivery, transforming gradually the government's primary role from that of a producer to that of a purchaser of public services from private companies (Box 7).

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Box 7. **An example of the changing role of the public sector: the construction and maintenance of roads**

In 2001 and following long deliberations, the Finnish national road administration was split into a government office responsible for road planning and contracting – the Finnish Road Administration (Finnra) – and a separate state-owned enterprise – the Finnish Road Enterprise – engaged in road construction and maintenance. At the same time, tendering was extended to increase the role of private companies in road building and road maintenance in order to reduce costs. As a consequence of the job guarantee for the existing staff at the time of the split, however, some projects are still granted exclusively to the Finnish Road Enterprise during a four-year transitional period. The subsidy involved is estimated at around EUR 17 million in 2001 and the current overstaffing of the Finnish Road Enterprise is estimated to be a quarter of the personnel. Moreover, quality criteria set for many projects favour the Finnish Road Enterprise. In early 2001, 17 of the 23 tenders for regional road maintenance projects for 2001-04 went to the Finnish Road Enterprise. The example shows that, in case of job guarantees for the incumbent, it can take an extended period before the full efficiency gains are realised and that this can lead to frictions between the incumbent and its competitors during the transition period. Moreover, even after the transition period, frictions are likely to persist as long as the Finnish Road Enterprise is not privatised.

Privatisation: minimum state stakes lowered

In 2001, Parliament broadened the privatisation mandates but privatisation proceeds were marginal and widely exceeded by capital injections (Figure 17).[53, 54] Potential proceeds from the unused privatisation mandates are sizeable, estimated at EUR 8 billion (nearly 6 per cent of GDP).[55] The broadening is welcome given that private ownership provides usually better incentives for managers to improve a company's performance, and, as a result, private companies generate substantially higher rates of return on average than public enterprises (Megginson and Netter, 2001).[56] Since the case-by-case privatisation process started in 1992, three-quarters of the net privatisation proceeds have accrued from the partial sale of Sonera, the dominant telecommunications company, while the reduction in government holdings in traditional industries has been limited. The state has relinquished its entire holding in 13 companies, reduced its stake to less than a third in eight, but kept full control in 27 companies and a simple majority of shares in four major companies (Table 13). As a result, state ownership

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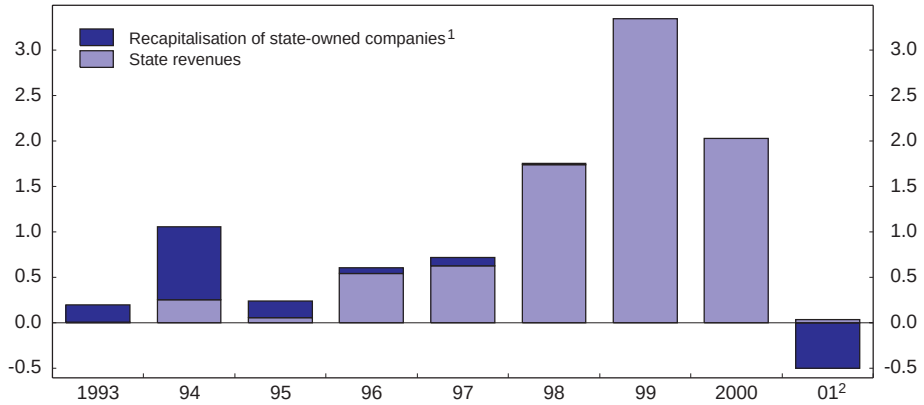
Figure 17. **Privatisation proceeds**
Billion EUR



1. New share issues to strengthen the capital base of the companies.
2. At end November.
Source: Ministry of Trade and Industry.

continues to be substantial, with fully and partly state-owned and associated companies still employing around 200 000 persons, equivalent to almost 12 per cent of private sector employment (Ministry of Trade and Industry, 2001). The recent lowering of minimum state stakes may change this slow pace in the medium term but in the short term the current stock market climate is likely to hamper privatisations.

The state's shareholdings are managed by the ministry covering the sector in which the company operates. This means, for instance, that the Ministry of Transport and Communications is responsible for the ownership in the telecommunications company Sonera. Nine ministries are currently involved in managing the stakes of the state, with the Ministry of Trade and Industry in a co-ordinating role. This decentralised approach has recently received more attention. The main advantage of moving to a centralised system with one ministry responsible for all shareholdings would be a reduction in the actual and perceived frictions between the role of the government as regulator and its role as owner.[57] It would separate the owner's interest in increased revenues from the government's task to increase efficiency of markets. Another advantage would be that in a centralised approach it is easier to deal with ownership issues in a consistent way.[58]

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Table 13. **Main state-owned companies**

Company	Sector	Persons employed in 2000 (thousands)	In November 2001 (% share)		Previous minimum	
			Ownership	Minimum	Ownership (% share)	Year of change
Alko	Alcoholic beverages	2.2	100	100	..	..
Altia	Production and wholesale of alcoholic beverages	0.8	100	50.1	66.7	2001
Avena[1]	Grain wholesale trade, handling and storage	0.4	100	100	..	..
Edita	Printing and publishing	1.2	100	100	..	..
Finnair	Airline	11.1	58.4	50.1	66.7	1994
Fortum	Energy	16.2	70.7	50.1	66.7	1998
Inspecta	Technical inspection	0.2	100	0	33.4	2001
Kemijoki	Energy	0.4	67.0	51.0	66.7	1997
Kemira	Chemical industry	9.6	53.4	15.0	33.4	2001
Metso	Machinery	22.0	11.6	0	..	..
Outokumpu	Metal	11.9	40.0	10.0	33.4	2001
Partek	Wood products	11.8	30.2	0	..	..
Patria	Defence	2.2	73.0	50.1	100	1999
Posti	Postal services	24.8	100	100	..	..
Rautaruukki	Metal	13.2	40.1	20.0	33.4	2001
Sampo	Banking and insurance	10.2	40.2	0	20.0	2001
Sonera	Telecommunications	10.3	52.9	0	33.4	2000
StoraEnso	Pulp and paper	41.8	14.8[2]	0	..	..
Vapo	Wood-based fuels and peat	1.3	100	50.1	66.7	2001
Veikkaus	Lottery and football pools	0.3	100	100	..	..
VR Group	Railways	15.4	100	100	..	..
Yleisradio	TV and radio broadcasting	4.6	100	100	..	..

1. In October 2001, the government requested permission to Parliament to give up ownership.
2. Government share in votes is 23.8 per cent.
Source: Ministry of Finance, Ministry of Trade and Industry, and OECD.

Deregulation and competition policy: reducing abuse of market dominance should be the priority

Product markets have been rapidly liberalised during the past decade and the telecommunication and electricity markets are now fully liberalised.[59] Finland has liberalised its postal sector as well, one of only four countries in the EU to do so, but new firms for delivery of standard letters have not yet entered the market due to the strict universal service obligations.[60] In 2001, deregulation measures were limited to liberalising Sunday sales of small shops, while competition

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in the telecommunications sector was strengthened by amendments to the Telecommunications Market Act that provides customers the possibility to have another provider for Internet services than its local telephone company (local loop unbundling).[61, 62] A few markets are still heavily regulated – especially railways and retail sales of alcoholic beverages.[63] More importantly, the authorities should concentrate on measures against the abuse of a dominant market position by major operators. Preventing abuse and enhancing competition is not only relevant for network industries, but is also imperative for other industries like retail trade, construction and oil refining (Table 14). The government could reduce dominance in network industries by stimulating alternative networks. For example for telecom services, the cable television network could offer competing telecom services, but the ownership of the cable networks by telecommunications companies prevents this at the moment. This may also be the reason why the penetration rate of broadband Internet services has remained low in Finland. Unfortunately, the Ministry of Transport and Communications has not been willing to come up with legislation to dissolve the current ownership structure (FCA, 2001).

Most investigations by the Finnish Competition Authority (FCA) concern the telecommunication sector. In 2001, based on a proposal by the FCA, the Competition Council fined the second-biggest Finnish telecommunications company and two regional telephone operators for barring potential competitors from entering the local call market by charging unreasonable prices for the use of their fixed local telephone network. The companies decided to appeal to the Supreme Administrative Court.[64] The FCA started to investigate the pricing of local network leases already in 1996 and made proposals to the Competition Council in 1999; the final decision by the Supreme Administrative Court is expected for 2002 at the

Table 14. **Market concentration in network and other industries**

Per cent of total, end 2000

	Companies	Market share
Telecommunications		
Long-distance calls	Sonera, Finnet	94
International calls	Sonera, Finnet	81
Mobile communication services	Sonera, Radiolinja	98
Internet connections	Sonera, Elisa, Jippii	80
Energy		
Electricity	Fortum	40
Petroleum products	Fortum	75
Retail sales		
Daily consumer goods	K-Group, S-Group, E-Group, Spar	88

Source: OECD.

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earliest. The effectiveness of competition policy is reduced by such long legal processes, the more so as telecommunication technology is developing extremely rapidly. To speed up the process and enhance the enforcement of the competition law, the Competition Council, staffed mainly by high ranking public officials who have their main professional obligations elsewhere, should be reorganised, for instance, into a special court. This issue is dealt with in a government proposal presently before Parliament.

Without any doubt, the introduction of merger and acquisition (M&A) control by the FCA in 1998 has been a major step for competition enforcement. The FCA can now pose conditions on M&As and can propose the prohibition of an arrangement to the Competition Council. Since the control of concentrations began in October 1998, the FCA has examined more than 300 cases. In 2000, it posed conditions in 14 cases and proposed the prohibition of one acquisition to avoid the creation of a competition-impeding dominant position.[65] A working group, which will report in 2002, has been set up to explore how competition policy should be developed further, taking into account the competition policy review currently discussed at the EU level. One option that should be pursued is to give the FCA the power to apply the EU rules on cartels and on abuse of a dominant position, which may be seen as stricter than the national legislation.

A *rise in agricultural subsidies*

While state aid to the manufacturing sector is low – about a half of that in the four EU countries with the highest aid – agricultural subsidies have remained very high.[66] In contrast to the OECD average, support even increased in 2000, by 14 per cent to 1.2 per cent of GDP (Ministry of Agriculture and Forestry, 2001; OECD, 2001*h*).[67] National support rose somewhat, but the bulk of the increase was due to EU aid, whose share in total support increased by 5 percentage points to 41 per cent. In addition to aid based on the Common Agricultural Policy (CAP), the sector benefits from EU environmental aid and the EU least favoured area (LFA) support, while it receives at the same time substantial national support to cushion the fall in farm income caused by EU membership.[68] With national aid and LFA support aimed at offsetting the negative impact of low productivity due to the harsh climate, agricultural subsidies account for a larger share of farmers' income than in other EU countries. At the time of the EU accession negotiations, national aid was agreed for a five-year transitional period ending in 1999, but in 2000 the Commission approved a prolongation until 2003, with a drop in transitional national aid of 4 per cent per year. This is likely to lead to a further restructuring in the agricultural sector and a big drop in agricultural employment. As highlighted in the special chapter on sustainable development in the 1999 S*urvey*, regional and environmental goals of agricultural policy could and should be achieved in a less

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costly and distorting way than under the current agricultural aid arrangements (Vourc'h and Jimenez, 2000).

Financial sector: strong consolidation continues

Regulation and supervision of the Finnish financial sector is under pressure to adapt to two fundamental changes: the mergers of banks and insurance companies, and the internationalisation of the financial sector. Currently, there are two separate entities involved in supervising the financial sector, while two ministries are responsible for preparing legislation.[69] The government is considering the merger of the Insurance Supervision Authority (ISA) with the Financial Supervision Authority (FSA) and the concentration of the preparation of legislation in one ministry.[70] It has already sent a draft law to Parliament concerning supervision of financial conglomerates, but this law is limited to the clarification of the role of the two existing supervisory authorities. Co-operation between the two supervisors is facilitated by common board members and recent memoranda of understanding, but more far-reaching steps need to be considered in the light of the recent formation of Finnish financial conglomerates. The present trend of convergence between products that traditionally were regarded as either belonging to the banking market or to the insurance market provides an additional argument for such organisational reform. Lately, Ireland and the United Kingdom switched to a single supervisory authority for the financial sector, while Austria will do so in 2002 and the German government has proposed such a switch to Parliament.[71] In the Finnish case, a merger of banking and insurance supervisors may be more complex because of the core role played by Finnish insurance companies in the national pension system.

The Finnish financial sector is unique as the biggest bank, Nordea, has a foreign head office (in Sweden). As a consequence, under the EU principle of home country control, the Swedish supervisory authority is responsible for supervision at the holding level, while the national authorities supervise the subsidiary. In 2000, the supervisory authorities of Denmark, Finland, Norway and Sweden agreed on close co-operation in the supervision of Nordea that provides banking and other financial services in the four Nordic countries.[72] The co-operation is working adequately for day-to-day business but there may be a need for clarification on rules of the provision of emergency liquidity assistance to pan-Nordic financial conglomerates. In the near future when European companies (S*ocietas* E*uropeae*, SE) can be established, the allocation of supervisory responsibilities may change substantially.[73] The new statute will simplify the structure of trans-national European companies and will enhance the role of the supervisor of the country where the head office is located. An even more radical reform would be the creation of an EU-wide financial sector supervisory body but the prevailing view is that centralised supervision is neither needed nor feasible because of differences

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in financial market practices (EFC, 2000; Suihko, 2001; Halme, 2001). A better flow of information between national supervisors and convergence of supervisory practices are currently the only way to improve supervision of trans-national companies.

In 2000 and 2001, domestic consolidation has continued despite the fact that a more profound restructuring process took place than in many other EU countries over the last decade.[74] The most important development was the merger between the private insurance company Sampo and the fully state-owned Leonia bank at the beginning of 2001. Finnish companies have also been heavily involved in the concentration process of the financial sector in the Nordic region. In 2000, Nordea became a financial conglomerate with major positions in all four Nordic countries through its merger with the Danish financial conglomerate Unidanmark and its takeover of the Norwegian partly state-owned commercial bank Christiania Bank og Kreditkassen.[75, 76] As a result of this consolidation process, concentration in the Finnish market is high, especially for banking services where the market share of the three biggest companies is around 90 per cent (Table 15).

Table 15. **Market shares of banks and insurance companies**

Per cent of total

	Credits	Deposits	Mutual funds
Banks[1]			
Nordea	41.2	41.7	31.8
OKO Group	26.9	29.6	12.1
Sampo	17.4	13.4	10.3
Savings Banks	5.5	7.8	3.1
Subsidiaries of foreign banks	5.5	2.1	..
Other banks	3.5	5.4	18.2
Other financial institutions	..	..	24.5
	Employee pension	**Personal life and pension**	**Non-life**
Insurance companies[2]			
Sampo	39.7	19.8	34.3
Tapiola group	14.5	5.6	14.5
Pohjola group	..	..	22.3
Ilmarinen	31.7	..	..
Nordea	..	36.0	..
Fennia group	9.7	2.1	9.3
Suomi group	..	16.2	..
Aurum	..	10.0	..
Lähivakuutus group	..	..	8.0
Others	4.5	10.3	11.5

1. At 30 June 2001.
2. Average in 2000.
Source: Finnish Banker's Association and Federation of Finnish Insurance Companies.

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However, the Finnish Competition Authority has not detected uncompetitive behaviour in the sector, although financial markets are still one of FCA's primary concerns in competition law enforcement.[77] Despite high concentration, competition is fierce, especially for services that can also be supplied by foreign companies. Technological developments such as Internet banking also stimulate competition as it reduces the importance of a branch network and therefore makes it easier to enter the market (Vesala, 2000).[78]

Finnish financial companies have strong balance sheets prompted by high economic growth and substantial cost reductions due to restructuring and the introduction of new technologies. In 2000, bank profits soared by almost 60 per cent to a record level of EUR 2.2 billion while insurance companies increased profits by 45 per cent to EUR 2.9 billion. In the first half of 2001, bank profits remained strong although the much weaker economy and stock market led to a drop of 17 per cent from a year earlier. The increase in 2000 was mainly due to a rise in dividend income from equities and sales profits on shares, but buoyant lending growth and wider interest rate margins contributed as well. Credit losses declined to a record low of EUR 70 million, in sharp contrast to the annual credit losses of close to EUR 700 million in 1992, the worst year of the banking crisis of the early 1990s. The return on equity reached 24 per cent, about 10 percentage points above the EU average and comparable with that of US banks. The cost-to-income ratio stood just above 50 per cent, down by over 20 percentage points from the mid-1990s level and among the lowest in the European Union (Andersen *et al.*, 2000; Koskenkylä, 2000). The capital ratio of Finnish banks also appears adequate (the tier I capital ratio was 9.6 per cent in June 2001, in line with the EU average). Moreover, the exposure of Finnish banks to the telecommunication sector is limited as the domestic incumbent Sonera, whose financial position is one of the weakest of the major European telecommunications companies, has mainly borrowed abroad.

In 2000, the Helsinki Stock Exchange (HEX) changed from a private limited company to a public limited company with major market parties as shareholders.[79] The current regulations set a 5 per cent maximum on any single owner's voting rights at the shareholders meeting, while the Financial Supervisory Authority can oppose sales of shares if it considers it a risk to the operations of the exchange. According to analysis by the Board of Directors of the HEX Group, the company is eligible for listing, which would increase the visibility of the stock exchange and would make it easier to raise capital. Recently, Deutsche Börse, the London Stock Exchange and Euronext (the merger of the Paris, Brussels and Amsterdam exchanges) became listed companies to improve their commercial focus. There are no legal impediments for the listing of the Finnish stock exchange but the rules limiting voting rights may hamper a listing in practice. Furthermore, the government will keep regulations preventing a takeover of the stock exchange.

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In terms of foreign shareholding and the foreign brokerage market share, the HEX is one of the most international exchanges.[80] It has been recently successful in increasing the number of remote brokers, which increased liquidity and may have contributed to replacing the New York Stock Exchange as the main marketplace for Nokia shares.[81] Furthermore, in 2001, the HEX Group increased its presence in the Baltic region by acquiring a majority of the shares of the Estonian stock exchange and by the switch of this exchange to the HEX trading system.

Not surprisingly, given the high weight of the ICT sector (80 and close to 70 per cent at the end of 2000 and July 2001, respectively), the relative performance of the share index of the Helsinki Stock Exchange has reflected the ICT hype. After being the strongest performer in western Europe in 1999, it has been among the weakest thereafter. The drop from the May 2000 peak to the end of November 2001 was 55 per cent compared to a drop of around a third for the European average (based on the DJ Euro Stoxx 400 index). The impact of this sharp drop on households' wealth is limited as shares (including participation in mutual funds) represented only a quarter of their financial assets at the end of June 2001, while bank deposits still account for roughly half of households' financial wealth.

Venture capital markets have expanded rapidly

The Finnish venture capital industry has expanded rapidly in the 1990s but may have entered a consolidation phase in 2001. Total capital under management rose from EUR 0.3 billion in 1995 to EUR 2.3 billion (1¾ per cent of GDP) at the end of 2000 (Finnish Venture Capital Association, 2001). In 2000, venture capital funds invested EUR 0.4 billion in 450 projects, a rise of 40 and 7 per cent from the previous year, respectively. As in previous years, funds raised (EUR 0.6 billion) exceeded new investments, despite a drop of 9 per cent from 1999. Private domestic sources, especially insurance companies and pension funds, provided the bulk of the new funds (around 70 per cent), while the government – mainly through Sitra (Finnish National Fund for Research and Development) and TEKES (the Technology Development Centres) – and foreign investors both provided around 15 per cent. The excess funds may indicate a lack of commercially promising projects. It could also indicate that Finnish funds were less influenced by the "new economy hype" than in other OECD countries. Between 1995 and 1999, around a third of investments went to high-technology sectors (information and communication technology, biotechnology, medical and related sectors), well below the 80 per cent share in the United States but somewhat above the 25 per cent share in the European Union (Baygan and Freudenberg, 2000).

Public sector efficiency should be enhanced

The Finnish authorities are well aware of the need to enhance efficiency in the sizeable public sector in order to reduce taxes and to increase productivity.

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The programme of the present government stresses the lack of transparency in the pricing of municipal services and inefficiencies in public procurement. In its 2000 "Cardiff Report" on product and capital market reforms, the government underlined the necessity to promote competition in public service production in order to restrain public spending growth (Ministry of Finance, 2000*c*). In 1999, the Ministry of Trade and Industry set up a working group to examine competition in the provision of municipal services and the cost-awareness of public welfare service provision, while, in 1998, the Finnish Competition Authority (FCA) established its "Government and Markets" project aimed at eliminating restrictive practices and promoting competition in public service provision. The final report on this project was issued in July 2001 and provides municipalities examples of best practices concerning promotion of competition. In its recent strategy paper, the Ministry of Social Affairs and Health emphasises the need to increase competition in the health sector (Ministry of Social Affairs and Health, 2001*b*). Despite the awareness of the need for reform, public services are still mainly provided by the public sector and the role of the private sector has not increased markedly in recent years. The road construction sector shows that such a transition can be long and difficult (Box 7). Moreover, public procurement tendering by local governments is still among the lowest in the European Union.[82] As a consequence, general government employment has remained almost a quarter of total employment, one of the highest shares in the OECD (Table 16). The proposed changes to the VAT refund of municipalities in 2002 (see Chapters I and III) are unlikely to stimulate outsourcing of tax-exempt services substantially.

The lack of progress in increasing the role of the private sector in providing public services does not mean, however, that public sector reforms were lacking entirely (Annex II). Since the early 1990s, the system of state grants to municipalities has been substantially improved (see also Chapter III), decision making has been decentralised and a large number of state agencies have been converted into state enterprises, some of which have then been fully or partly

Table 16. **Government employment**

Thousand persons

	1990	1996	1997	1998	1999	2000	2001[1]
Government activities	575.2	546.5	558.0	553.6	556.6	559.7	561.8
Central government	149.3	141.3	140.1	138.9	140.1	140.9	..
Local government	417.1	396.2	408.9	405.7	407.3	409.3	..
Social security funds	8.8	9.0	9.0	9.0	9.2	9.5	..
As a % of total employment	23.2	26.4	26.1	25.4	24.8	24.5	24.2

1. Estimate.

Source: Statistics Finland, *National Accounts* 1992-2000 and OECD.

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privatised later on. Furthermore, since 1993, municipalities have been allowed to purchase services from the private sector, although this has up to now had only a limited impact.[83]

The ageing of its personnel will pose a major challenge for the public sector in the coming years. Up to 2010, 50 000 persons will be needed to replace retiring personnel in the social and health care sector alone (Ministry of Social Affairs and Health, 2001*c*). On top of this, due to ageing and based on existing practices, 6 000 additional government employees will be required to provide care services for the elderly and 12 000 for other social and health care services. Labour shortages in the health and care sector may therefore arise. Without reform measures to increase efficiency in the public sector – an estimated 40 per cent of the current employees in the local government sector will retire during the current decade – private sector labour demand could be crowded out.

Scope for further action

Unemployment remains high and is currently increasing because of the cyclical downturn. At the same time, and despite the boost from the ICT sector, the productivity level continues to be below that of the leading OECD countries. Both features call for continuing structural reform measures (Table 17). Such measures are also needed in the light of the potential repercussions of the rapid ageing of the Finnish population. Priority should be given to measures that will raise the employability of the current long-term unemployed and their incentives to find work, the more so as this is the best way to reduce hardship and poverty. Lowering unemployment also requires changes to the social transfer system. Such changes would also mitigate the economic consequences of ageing, especially if they focus on reducing the attractiveness of the early retirement schemes. While productivity growth in the private sector may be subdued over the medium term if more of the low-skilled unemployed find a job, this could be offset by measures that will increase productivity in the public sector. Reforms should be comprehensive as this will reinforce the effectiveness of the various measures and thereby improve overall performance.

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Table 17. **Recommendations for further structural reform**

Based on previous and current *Surveys* and action taken since early 2000

Previous *Survey*	Action taken	Current *Survey*
LABOUR MARKET AND SOCIAL SECURITY SYSTEM		
A. Reduce incentives for early retirement and reform the pension system		
a) Increase further the minimum age for the unemployment pension; shorten "unemployment pipeline to pensions"; reduce incentives to retire early.	The minimum age of the individual early retirement scheme was raised from 58 to 60 years; unemployment pensions were lowered (early 2000). Proposals have been made[1] which are in line with the recommendation of the previous *Survey*.	The recent proposals should be implemented and issues left open should be resolved in a prudent manner so as to safeguard the sustainability of the pension system.
b) Reduce impediments for hiring older workers. Reduce, for instance, the contribution of the last employer to disability and unemployment pensions.	Financial disincentives for large employers to use the unemployment pension scheme were increased while those for the disability pension scheme were reduced (early 2000).	Same as in previous *Survey*.
c) Lift the pension ceiling of 60 per cent of the pensionable earnings in order to make work above the age of 60 attractive.	Lifting of the ceiling has been proposed.[1]	The proposed reform should be implemented.
d) Abolish old-age pension accrual during early retirement.		Same as in previous *Survey* but implementation of the recent proposals to allow early retirement only from the age of 62 years reduces the distortion significantly. A further welcome step would be to base pension accrual during periods of unemployment on the benefit received instead of the original wage as done in the current system.
e) Smooth the future impact of ageing by increasing funding of the pension system now.		Same as in previous *Survey*. The need for additional funding depends on how the issues left open are resolved.
f) Introduce a properly funded pension scheme for central government employees.		Same as in previous *Survey*.
g) Put early retirement schemes on an actuarially sound footing.	The proposed flexible retirement age goes in this direction.	More remains be done on this, especially concerning the unemployment "pipeline" to pension. A further welcome step would be to base pension accrual during periods of unemployment on the benefit received instead of the original wage as done in the current system.

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Table 17. **Recommendations for further structural reform** (*cont.*)
Based on previous and current *Surveys* and action taken since early 2000

Previous *Survey*	Action taken	Current *Survey*
h) Introduce personal pension accounts for older workers.		Same as in previous *Survey*. Implementation of the proposed lifting of the pension ceiling and the introduction of flexible retirement would have comparable effects.
B. Reform unemployment and related benefits		
a) Shorten maximum unemployment benefit duration to increase job search intensity. Phase down unemployment benefits during the first 500 days of unemployment.	Proposals have been made[1] to introduce a phasing down for some workers.	Same as in previous *Survey* as the recent proposals would only lead to some degressivity for a limited group.
b) Make eligibility criteria for social security benefits stricter. Enforce eligibility criteria for unemployment benefits.	Proposals have been made[1] to soften the eligibility criteria for unemployment benefits.	Implementation of the reform proposal would be a step in the wrong direction.
c) Increase regional mobility of the unemployed. Lift the condition that placement involving relocation is suitable only if the vacancy cannot be filled locally.	The regions were enlarged for which the job seeker has to accept a job offer or an ALMP measure (early 2000).	Same as in previous *Survey*.
d) Introduce medical re-examination of disability pension beneficiaries.	Proposals have been made[1] to soften the eligibility criteria for disability pensions and to abolish the individual early retirement scheme.	Implementation of the reform proposal to soften the eligibility criteria for disability pensions would be a step in the wrong direction. On the other hand, the proposed abolishment of the individual early retirement scheme is welcome.
C. Make active labour market programmes more effective		
a) Pursue better job counselling, for instance, reach the target of one contact per month with every unemployed person.	Impact of the 1998-99 reform of the PES was quickly evaluated, leading to proposals for a second wave of reforms in 2002.	Implement proposed changes to PES. Consider going further with the introduction of a general contestable placement market.
b) Reduce the number of subsidised jobs offered by local government.	Development in the right direction.	Continue with the reduction in the number of subsidised jobs offered by local government.
c) Step up ALMPs for older workers. Apply sanctions in case older unemployed refuse training or a suitable job.	In 2001, the Ministry of Social Affairs and Health underspent on the ALMPs for older unemployed due to lack of interest on their behalf.	Same as in previous *Survey*. Impact of ALMPs for older workers will remain minor without changes in the unemployment pension scheme and in the "pipeline" to unemployment pensions.
d) Evaluate the effectiveness of all active labour market programmes and end those with poor results.	Thorough evaluation was made of the 1998-99 reform of the Public Employment Service.	Given limited effects, an overhaul of some ALMPs is needed.

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Table 17. **Recommendations for further structural reform** (*cont.*)
Based on previous and current *Surveys* and action taken since early 2000

Previous *Survey*	Action taken	Current *Survey*
e) Expose the Public Employment Service to competition as successfully done in other OECD countries.	Step in the right direction: government has proposed limited outsourcing of placement services by the PES.	Further liberalisation of public employment services would be even better.
D. Increase employment and labour cost flexibility		
a) Reform employment protection and working time legislation to encourage job creation, especially by SMEs.	Slight development in wrong direction as the new Employment Contracts Act makes the legislation slightly more restrictive.	Same as in previous *Survey*.
b) Support greater wage differentiation in wage agreements, to promote the employability of low-skilled workers, while maintaining moderate average wage rises.	Development in wrong direction: the 2001-02 central wage agreement will lead to stronger wage rises for low paid.	Same as in previous *Survey*.
E. Improve labour force skills and competencies		
Ensure that education and training meet evolving needs of labour market.		Same as in previous *Survey*.
PRODUCT MARKETS		
a) Enhance product market competition.		Strengthen competitive forces by reforming the Finnish competition authorities. The Finnish Competition Authority should get the power to apply the EC rules on cartels and abuse of a dominant position.
b) Examine scope for completing privatisation of partially privatised state enterprises to increase efficiency.	Public stake in Sonera was reduced to 55 per cent in early 2000; also reduced in Patria Industries and Vapo. Proposal for reduction in Avena. Parliament broadened privatisation mandates in 2001.	Place full privatisation of most state-owned companies on the agenda and strengthen the impact of competition principles by organisationally separating the government's role as regulator from its role as owner.
c) Promote genuine level playing fields in the energy and telecommunication markets.		Stimulate competition by development of alternative networks such as cable television network for telecom services.
d) Promote genuine level playing field in the postal market.		Review the universal service obligation in the postal market.
e) Reduce agricultural subsidies.		Same as in previous *Survey*.

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Table 17. **Recommendations for further structural reform** (*cont.*)
Based on previous and current *Surveys* and action taken since early 2000

Previous *Survey*	Action taken	Current *Survey*
FINANCIAL MARKETS		
Enhance supervision.	An official working group is considering the need to merge the Financial Supervision Authority and the Insurance Supervision Authority.	Same as in previous *Survey*.
PUBLIC SECTOR		
a) Improve public sector efficiency.	The Finnish national road administration is split into a government office responsible for road planning and contracting, and a separate state-owned enterprise, engaged in road construction.	To improve efficiency, transform the public sector's role from that of a producer to that of a purchaser of public services.
b) Restrain outlays to make sizeable income tax cuts possible.	Development in the wrong direction is likely in 2002, with outlay increases above the target set in the Government Programme.	Outlay cuts may be needed to comply with the medium-term target for the central government surplus.
c) Increase economic efficiency of local government services.		Improve work and management practices in the public sector.
SUSTAINABLE DEVELOPMENT		
a) Systematic economic assessment of sustainable development issues is needed.		Same as in previous *Survey*.
b) Comply with the Kyoto Protocol target of stabilising greenhouse gas emissions relative to the 1990 outcomes.	To comply with the target, the government launched a National Climate Strategy in early 2001. Parliament is discussing the construction of a fifth nuclear power plant.	Same as in previous *Survey*.
c) Increase the cost-effectiveness of environmental measures by more use of economic instruments, such as taxes, subsidies and tradable permits.		Same as in previous *Survey*.
d) Consistency between sectoral and environmental policies should be improved.		Same as in previous *Survey*.

1. See Annex I for details.
Source: OECD.

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III. Options for reforming the Finnish tax system

Introduction

Finland is among of the most egalitarian countries in the OECD. Generous welfare services and large transfers aim at a high degree of income redistribution, but a high tax burden is required to finance the associated public spending. The tax system has also been designed to compress the already rather flat primary income distribution further. However, like the other Nordic countries, to stem tax base erosion, Finland radically reformed the taxation of the most mobile tax bases in the early 1990s. Capital and corporate income taxation has been streamlined, through significant rate cuts *cum* base broadening measures. However, high taxes, especially on labour income, still hamper growth potential, give rise to tax arbitrage and distort economic behaviour. In this respect, the poor performance of the Finnish labour market is revealing. The tax system, and its interaction with social transfers, has undermined work incentives and contributed to the emergence of serious labour shortages for highly qualified workers. At the same time, high non-wage labour costs have hindered employment creation. Pockets of very high unemployment still exist, even though activity has been very strong for several years, while some companies have moved part of their business to countries where costs are lower partly because of taxes. Addressing concerns about the increasing cross-border mobility of tax bases while keeping high quality public services and a fair amount of income redistribution will thus be key issues in reforming the Finnish tax system.

Against this background, the first section of this chapter reviews the economic and social context in which tax policy has been designed, and will need to evolve in the future. The second section discusses the impact of the tax system on labour and capital markets, income distribution, collection and compliance costs as well as on the sustainability of the municipalities' fiscal position. The third section outlines the main options for further tax reform.

Forces shaping tax policy

The scope of the welfare state has expanded rapidly

Government outlays are currently close to the EU average, while they were far above average during the deep recession of the early 1990s and clearly

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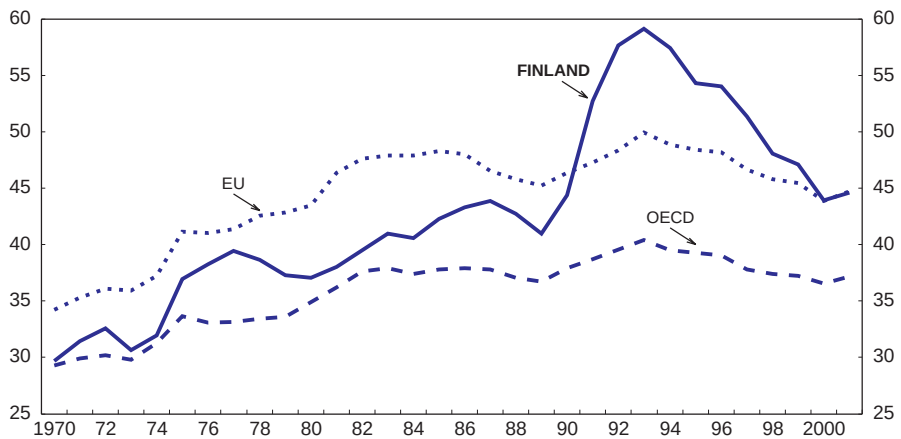
below average during the 1970s and 1980s (Figure 18). The rising scope of the welfare system during the 1980s and the steep downturn of the early 1990s undermined public finances, with net borrowing of the general government reaching a peak of more than 7 per cent of GDP in 1993. Public spending, as a share of GDP, peaked at 60 per cent of GDP in 1993 and stood at 55 per cent in 1995, 20 percentage points higher than in 1980 – the sharpest increase within the OECD area over this period after Greece and Portugal. The surge in spending over the 1980s was particularly strong for pensions, education and health, which are largely financed through wage-based taxes and contributions (Table 18). The wider coverage and increased generosity of welfare programmes also raised the sensitivity of public finances to the economic cycle. Reflecting the deep recession of the early 1990s, unemployment benefits as a share of GDP jumped by 3½ percentage points between 1990 and 1995, while old-age and disability pensions continued to rise rapidly since they were partly used as a substitute for unemployment insurance. In the early 1990s, the reform of the welfare system, which made most social benefits taxable while adjusting gross benefits upward, pushed taxes and public spending up further. Finally, with a ballooning public debt, interest payments also soared. Since the mid-1990s, the strong cyclical recovery and tight budgeting in the run-up to joining monetary union have brought government spending down to an estimated 45 per cent of GDP in 2001,

Figure 18. **Government outlays**[1]
As a per cent of GDP



1. General government total outlays. Estimate for 2001.
Source: OECD (2001), *Economic Outlook*, No. 70.

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Table 18. **Structure and changes in government outlays**

Per cent of GDP[1]

	Finland[2]			Other Nordic[2]			3 other EU countries[3]			United States and Japan		
	1980	1995	Change	1980	1995[4]	Change	1980	1995	Change	1980	1995	Change
Total expenditure	35.4	54.3	18.9	54.9	59.9	5.1	45.5	48.6	3.0	32.6	34.9	2.3
Public goods	3.3	3.3	0.0	6.5	5.8	–0.7	7.4	6.7	–0.8	8.8	7.8	–0.9
Defence	1.4	1.6	0.2	2.9	2.2	–0.7	3.2	2.4	–0.9	5.3	4.0	–1.3
General public services	1.8	1.6	–0.2	3.1	3.4	0.4	3.6	4.1	0.5	2.7	3.1	0.4
Other functions	0.1	0.1	0.0	0.5	0.2	–0.4	0.7	0.3	–0.4	0.7	0.7	0.0
Merit goods	11.5	15.2	3.7	17.7	17.3	–0.4	11.0	11.0	–0.1	9.8	11.4	1.6
Education	4.8	6.6	1.9	7.2	6.6	–0.6	4.9	4.6	–0.3	5.2	4.7	–0.5
Health	5.0	5.6	0.5	7.0	5.7	–1.2	5.4	5.6	0.3	4.2	6.3	2.1
Other social services	1.7	3.0	1.3	3.5	5.0	1.4	0.7	0.8	0.0	0.5	0.4	0.0
Income transfers	11.7	22.5	10.8	15.2	19.7	4.6	13.6	17.1	3.5	9.4	10.3	1.0
Pensions	5.5	8.9	3.3	6.3	7.7	1.3	8.0	10.1	2.1	5.6	6.5	0.8
Disability	2.9	3.9	1.0	2.0	2.5	0.5	1.7	2.5	0.8	0.8	0.9	0.1
Sickness	0.2	0.5	0.3	2.0	1.0	–1.0	0.7	0.4	–0.3	0.2	0.2	0.0
Family cash benefits	1.1	2.7	1.7	1.4	2.0	0.6	1.5	1.1	–0.4	0.4	0.3	–0.1
Unemployment	1.6	5.5	3.8	2.4	4.5	2.1	1.3	2.0	0.7	0.6	0.6	–0.1
Housing and other benefits	0.4	1.1	0.7	1.0	1.9	1.0	0.5	1.0	0.6	1.1	1.3	0.2
Economic services	0.9	1.1	0.2	7.4	5.1	–2.4	5.3	4.3	–1.1	4.3	3.6	–0.8
Public debt interest	1.0	4.0	3.5	3.7	5.7	2.0	4.8	7.5	2.7	3.2	4.5	1.4
Net lending	4.5	–3.7	–8.2	–1.3	–3.3	–2.0	–5.7	–6.4	–0.7	–3.1	–3.2	–0.1

1. Expenditure by function may not add up to total expenditure as these are derived from different sources. Weighted averages for all series except Finland.
2. In Finland and the other Nordic countries (Denmark, Norway and Sweden), public spending and taxes were pushed up by a welfare system reform in the early 1990s that made most social benefits taxable.
3. Italy, Netherlands and United Kingdom. Data on public outlays by function are not available for other EU countries.
4. 1993 for Norway.

Source: Atkinson and van den Noord (2001) and OECD, Social expenditure database (2000).

close to the EU average. With revenues little changed since the mid-1990s, the budget balance turned from a large deficit into a sizeable surplus, which stood at 6.9 per cent of GDP in 2000, falling back to an estimated 3.7 per cent of GDP in 2001.

The tax system was redesigned to cope better with increased openness

The degree of openness of the Finnish economy has increased steadily over the past two decades. The desire to attract foreign investors and to keep domestic companies in Finland was one of the reasons for an ambitious reform of the taxation of capital and corporate income. Statutory tax rates, which have an important signalling function for investors (Hines, 2001), were more than halved between the mid-1980s and 1993, while significant base-broadening measures have mitigated the impact on effective taxation. The decision to join the European Union in 1995 sped up the replacement of the turnover tax, which applied mainly to goods, by a broader valued added tax (VAT).

Despite these reforms, the erosion of tax bases is still a serious concern. Finland's specialisation in high-tech and fast-growing sectors – such as information and communication technologies – has intensified its reliance on foreign capital and highly qualified workers. Both tend to be more mobile internationally. In this context, the imputation system for distributed profits, which discriminates against foreign shareholders, is increasingly questioned. To attract foreign highly-skilled workers, Finland has recently lowered the tax burden on "foreign key persons", like a number of other EU countries (*e.g.* the Netherlands and Sweden).[84] However, the increasing mobility of highly-qualified Finns has also raised concerns as labour shortages in key sectors were intensifying during the late 1990s while some companies have moved or are considering moving to countries where costs are lower partly because of taxes.[85] To reduce such pressures, the government has cut taxes on labour since the mid-1990s. These tax cuts were also part of an incomes policy designed to forge wage agreements that do not threaten external competitiveness in a tightening labour market.

Consumption tax bases are also under increasing pressure. The commitment to abolish current restrictions on imports of alcohol and tobacco by 2004 will require a reduction of excise taxes on these products towards a lower level that prevails in other EU countries to avoid a significant increase in cross-border shopping and smuggling. The associated loss of tax revenues is estimated by the government to amount to almost EUR 0.55 billion by 2006 (*i.e.* about 1.7 per cent of total tax revenues in 2000).[86] Lowering the taxation of imported second-hand cars – which is currently being examined by the European Court of Justice since it potentially violates the principle of free movement of goods within the European Union – would induce a further loss estimated at EUR 0.2 billion. In addition, the development of e-commerce transactions, in particular for services delivered

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online, is expected to erode Finnish VAT revenues (by EUR 0.1 million according to the authorities).[87]

Upward pressures on public spending will re-emerge

While Finland has succeeded in bringing down total public spending from almost 60 per cent of GDP in 1993 to an estimated 45 per cent in 2001, upward pressures are expected to re-emerge in the medium term. After several years of thorough consolidation efforts, further expenditure restraint is difficult to achieve because there is pent-up demand for some public goods and services, while the most obvious and least painful cuts have already been implemented. In a longer-term perspective, the ageing of populations and related spending could put heavy pressure on public finances. Total old-age public pension spending as a share of GDP is projected to rise by 5 percentage points between 2000 and 2050 (see Box 3). In addition, while public spending associated with health care and long-term care, at 8 per cent of GDP, is already high by OECD standards, it is projected to rise further, by 4 percentage points.

Main features of the tax system

Overview

The tax burden rose steadily up to the mid-1990s and is very high by international comparison. Measured by the tax-to-GDP ratio, it rose from 36 per cent in 1980 to around 45 per cent in the early 1990s.[88] The increase in social security contributions, required to fund the upsurge in unemployment benefits and other expanding welfare programmes, was a key driving force. Since the mid-1990s, the tax-to-GDP ratio has remained broadly stable, the boom in corporate income tax revenues being largely offset by cuts in personal income taxes (Figure 19). However, while some caution is needed in measuring the incidence of the tax burden, there is little doubt that average effective tax rates on labour are still among the highest in the OECD.[89] Since 1997, the government has implemented a series of cuts in taxes on labour ("earned-income") which are estimated to amount to 1¾ per cent of GDP for the period 2000-02 alone. However, this has not boosted labour supply sufficiently to avoid labour shortages for highly qualified workers, while other population groups still suffer from a very high unemployment rate despite several years of steady growth. Highly progressive labour taxes lessen work incentives for highly-skilled workers while cuts in labour taxes at the lower end of the earnings scale have not led to equal cuts in labour costs because of the wage bargaining objective of reducing wage differentials. Revenues from the consumption, corporate and capital income taxes, as a share of GDP, are also high by international standards. However, with flat rates and a broad base, these taxes introduce fewer distortions. Strikingly for such an egalitarian

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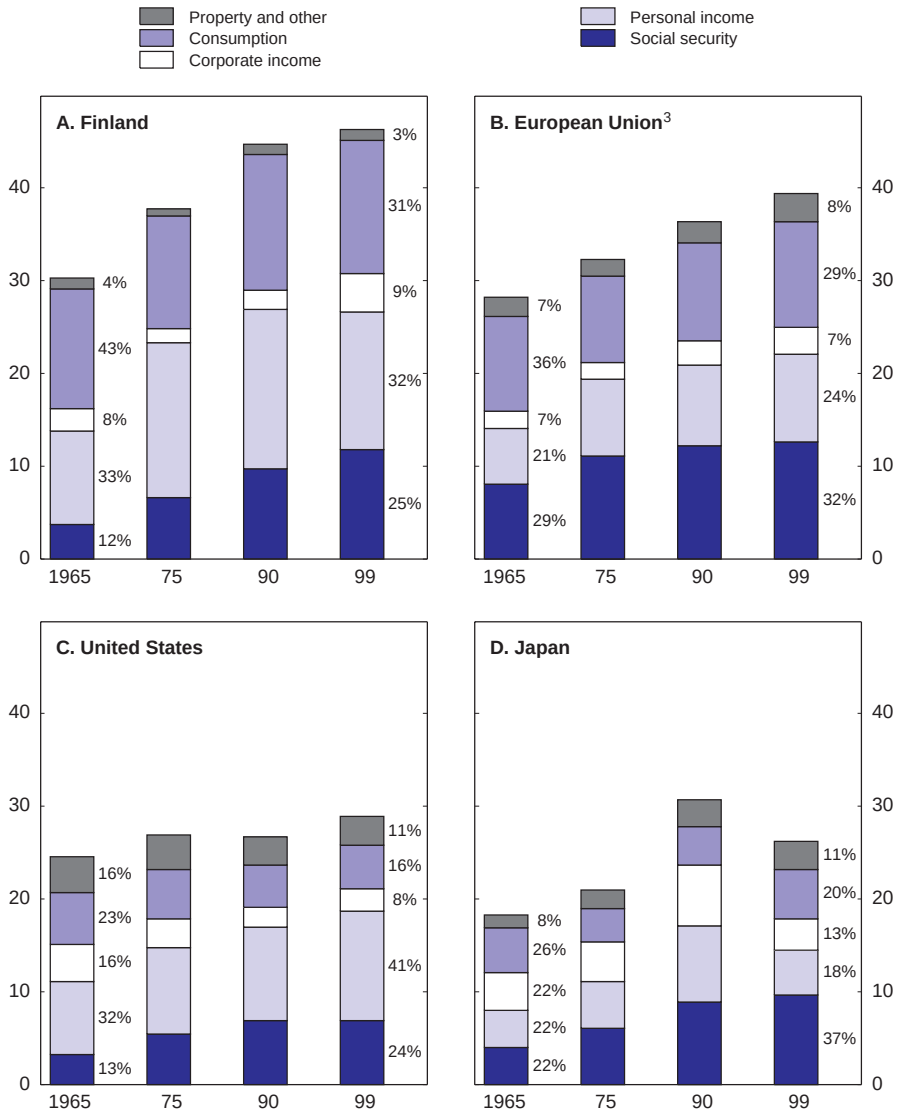
Figure 19. **The evolution of the tax mix**[1]
Per cent of GDP (per cent of total revenue)[2]



1. The breakdown of income tax into personal and corporate tax is not comparable across countries.
2. The bars show data as a per cent of GDP, the percentage figures show the share in total revenues.
3. Weighted average.

Source: OECD (2001), *Revenue Statistics.*

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country, property taxation is low by international comparison, while it could contribute to narrowing the wealth distribution and to a sound funding of sub-national governments without jeopardising the tax base.

Taxes on labour are high

Several measures have focused on raising labour force participation, in particular of low-paid workers…

Since the mid-1990s, several tax cuts on labour income have been implemented, with the main objective of improving incentives to enter the labour market. The standard allowances for work-related expenses and for commuting costs have been raised (Box 8). Taxes on labour income have been further lowered through cuts in statutory rates, by 2 percentage points between 1997 and 2001 (Table 19).[90] Most other initiatives have been targeted on the low-paid. The lowest tax bracket was abolished in 2001, effectively raising the threshold below which labour income is not taxable. As a result, over 42 per cent of income earners will likely be exempted from state income taxes in 2001, up from 35 per cent in 1999. The successive increases in the coverage and generosity of the earned-income tax allowance (EITA) in municipal income taxation have, however, been the most significant move (Figure 20, Panel A). To improve work incentives for the low-paid further, the EITA no longer applies to unemployment benefits since 1997, thus contributing to lower the reservation wage for the unemployed. These measures, combined with strong activity, have lifted the participation rate. It has not yet climbed back to its pre-recession level of the early 1990s, but is high by international comparison.

… but high marginal tax rates worsen work incentives…

The impact of the earned-income tax allowance on marginal effective tax rates (METRs) varies significantly along the income ladder. In the phase-in range, it contributes to a remarkable reduction in METRs (up to 5 percentage points in 2000) but in the phase-out range – which started at an income level of about one half of the APW (average production worker) wage in 2000 – it induces an increase in METRs (Figure 20, Panel B). To avoid a significant negative impact on work incentives for a specific income group, the earnings span over which the earned-income tax allowance is phased out has been gradually extended. Virtually every worker (both wage earners and self-employed) benefits from such an allowance since 1999, while it concerned only 28 per cent in 1991.[91] As a result, while the vast majority of workers are in the phase-out range, the induced increase in marginal tax rates is relatively small in most cases (less than 1 percentage point) though for some income groups it approaches 4 percentage points. As a consequence, the EITA entails large deadweight losses,[92] and the cost of financing,

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Box 8. Taxes on labour income at the state and municipal level*

The so-called "earned-income" (or labour income) consists of wages, fringe benefits, the estimated labour share of non-incorporated business income and social security benefits, and is taxed at both the state and municipal level. Municipalities tax labour income at a flat rate (of their choice) while a progressive schedule is applied at the state level. Another feature of the Finnish tax system is the separate treatment of the spouse's labour income (work incentives of a potential secondary earner are thus less affected by the spouse's labour market situation).

Main tax allowances

- A standard deduction for work-related expenses equal to 3 per cent of the wage, with a maximum amount of EUR 400 in 2000 (up from EUR 250 in 1996).
- Travel expenses from the place of residence to the place of employment in excess of EUR 500 up to a maximum of EUR 4 700 in 2000 (up from EUR 2 700 in 1996).
- Premiums paid by any taxpayer for a private pension insurance (own and spouse's), other than lump-sum payments, up to EUR 8 400.
- Membership fees paid to trade unions or employees' organisations.
- An allowance is granted for pensions below a threshold. The maximum allowance amounted to EUR 5 900 at the municipal level and to EUR 3 900 at the state level in 2000.
- The earned-income tax allowance (EITA) in municipal taxation. It amounted to 20 per cent of the income exceeding EUR 2 500 in 2000, up to a maximum of EUR 1 600. The allowance is gradually phased out, with a 3.5 per cent reduction on income exceeding EUR 12 600 in 2000. It vanishes at a taxable income of EUR 59 700.
- A basic allowance in municipal taxation, granted on the basis of taxable income after deducting all other allowances. The maximum allowance, EUR 1 500 in 2000, is reduced by 20 per cent of the taxable income exceeding this amount.

Rate schedule and rate cuts

- Municipal tax on labour income is levied at a flat rate, set by the municipalities without any limitation. In 2001, municipal rates varied between 15 and 19.75 per cent, with a 17.7 per cent average rate.
- At the central government level, a progressive schedule applies with the top rate set at 37 per cent in 2001. Table 19 provides further information on statutory rates and the distribution of taxpayers.

* In addition to state and municipal taxes, members of the Finnish state churches (about 85 per cent of Finnish taxpayers) are liable to a church tax on their labour income. It is levied at flat rates varying between 1 and 2.25 per cent, depending on the local ecclesiastical council. Moreover, churches receive 2 per cent of corporate tax revenues.

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Table 19. **Rates and brackets of the state tax on labour income**[1]

Per cent

Tax brackets (in EUR)[2]	Marginal tax rates	Number of income earners in each bracket[3]	Number of persons paying tax to the state[3]	Distribution of taxpayers
2001				
0 – 11 100	0.0	..	..	..
11 100 – 14 296	14.0	..	..	..
14 296 – 19 678	18.0	..	..	..
19 678 – 30 947	24.0	..	..	..
30 947 – 54 661	30.0	..	..	..
54 661 – ..	37.0	..	..	..
1999				
0 – 7 905	0.0	31.5	0.0	0.0
7 905 – 10 596	5.5	10.8	7.8	12.0
10 596 – 13 455	15.5	10.0	9.6	14.8
13 455 – 18 837	19.5	19.1	19.0	29.3
18 837 – 29 601	25.5	19.9	19.8	30.6
29 601 – 52 475	31.5	7.4	7.3	11.3
52 475 – ..	38.0	1.3	1.3	2.0
1991				
0 – 6 728	0.0	42.0	0.0	0.0
6 728 – 9 419	7.0		10.4	15.3
9 419 – 11 773	17.0	10.2	10.2	14.9
11 773 – 16 482	21.0	21.5	21.3	31.3
16 482 – 25 901	27.0	19.0	19.0	27.9
25 901 – 46 252	33.0	6.2	6.2	9.0
46 252 – ..	39.0	1.1	1.1	1.7

1. Rates and brackets apply to the individuals' labour income less the personal allowances they are entitled to as described in Box 8.
2. Annual taxable income.
3. As a per cent of total income earners.

Source: Ministry of Finance.

in terms of foregone revenues, is expected to amount to EUR 0.8 billion in 2002, *i.e.* about ½ per cent of GDP.

The marginal tax wedge on labour, which affects work incentives, has only slightly receded overall since the early 1990s and remains high by EU standards. In fact, while statutory rates on labour income have been cut somewhat, partial indexation of tax brackets for inflation in the early 1990s has pushed people into higher brackets.[93] At the wage level of an average production worker, the steepness of Finland's marginal tax wedge ranked third within the OECD area in 2000 (Figure 21, Panel C). The highly progressive rate schedule implies a heavy tax burden at higher wage levels (Figure 22, Panel B), while the Finnish industry specialisation requires a highly-qualified workforce which is quite mobile internationally.[94]

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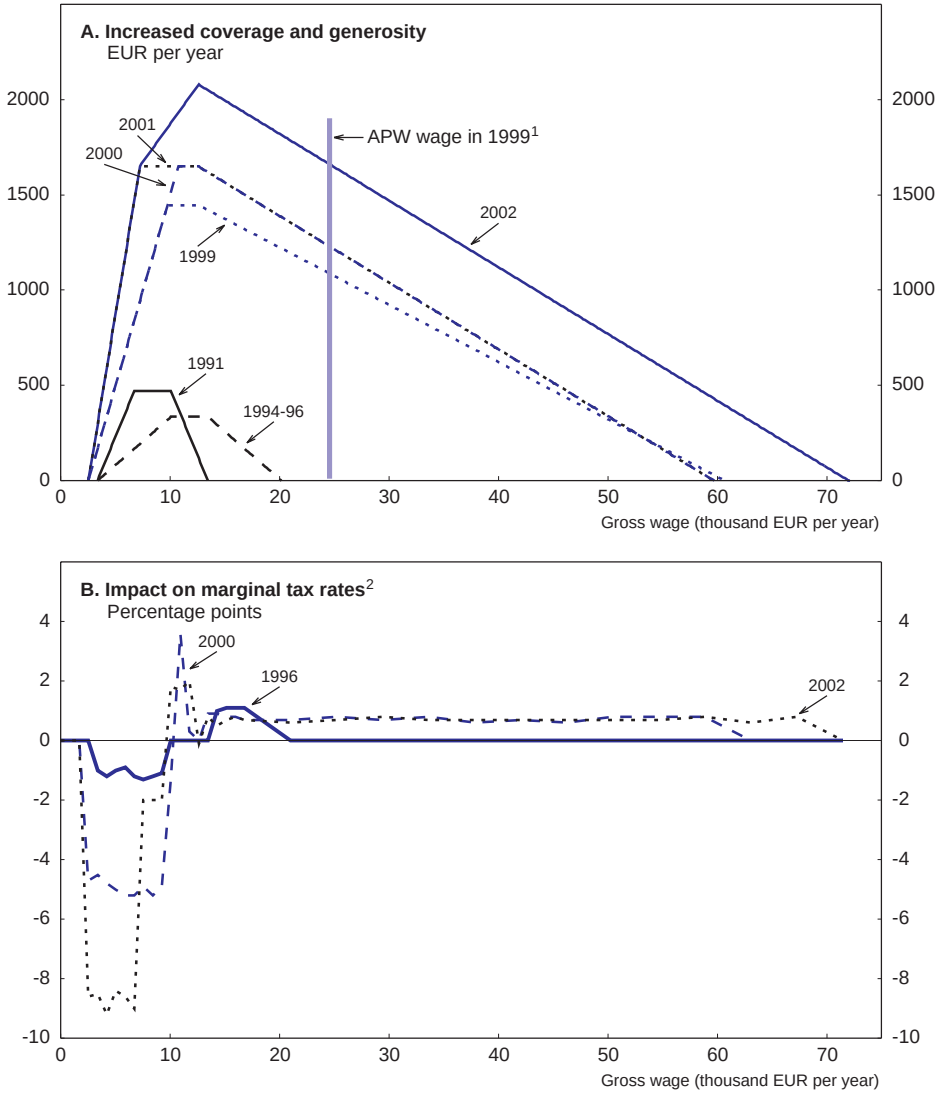
Figure 20. **The earned-income tax allowance**



1. The wage of an Average Production Worker (APW) was EUR 24 623 in 1999.
2. The impact of the earned-income tax allowance on marginal rates reflects the joint effects of the earned income allowance and the basic tax allowance.

Source: Ministry of Finance.

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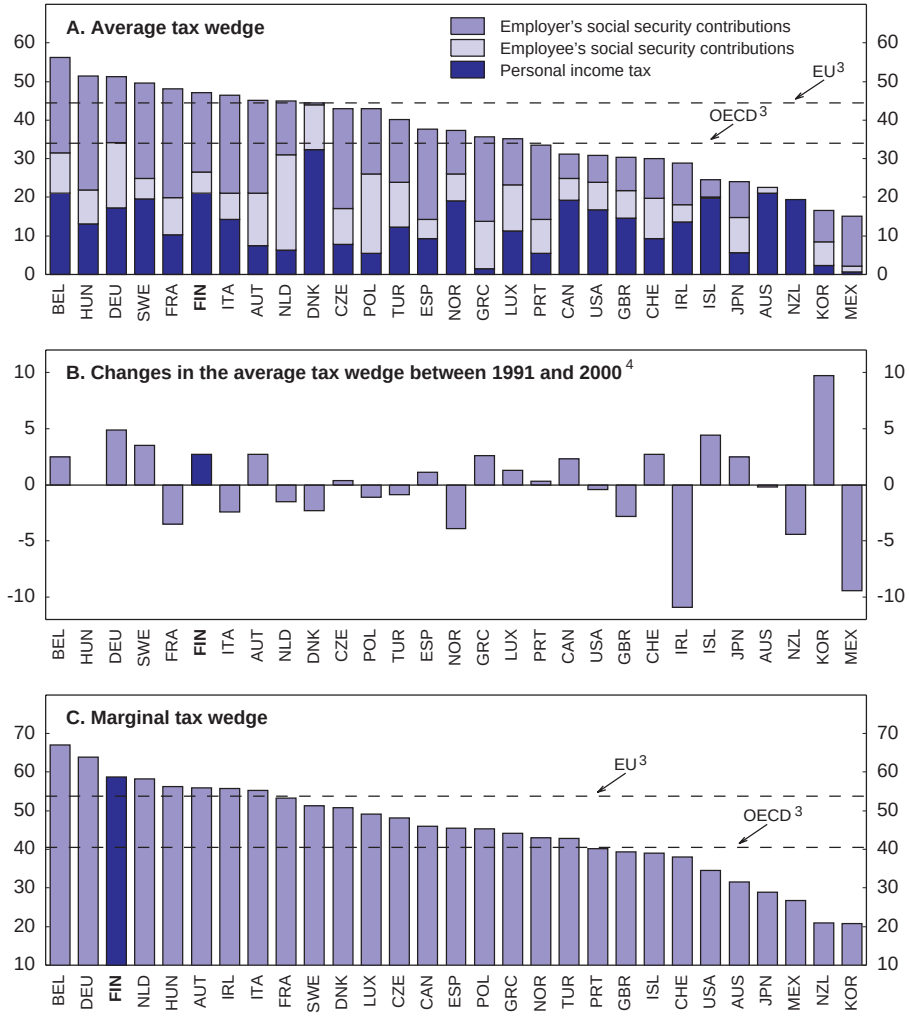
Figure 21. **Tax wedges on labour**[1]
As a per cent of gross labour costs, 2000[2]



1. For a single individual at the income level of the average production worker. Tax wedges are calculated as the sum of personal income tax, employee plus employer social security contributions together with any payroll taxes as a percentage of labour costs (gross wage plus employers' contributions).
2. Data for 2000 are based on estimated wage levels of the average production worker.
3. Weighted average using 1995 GDP and purchasing power parities.
4. The first year refers to 1991 or the earliest year available. To be consistent with the 1991 data, the 2000 data for Austria excludes payroll taxes.

Source: OECD (2000), *Taxing wages.*

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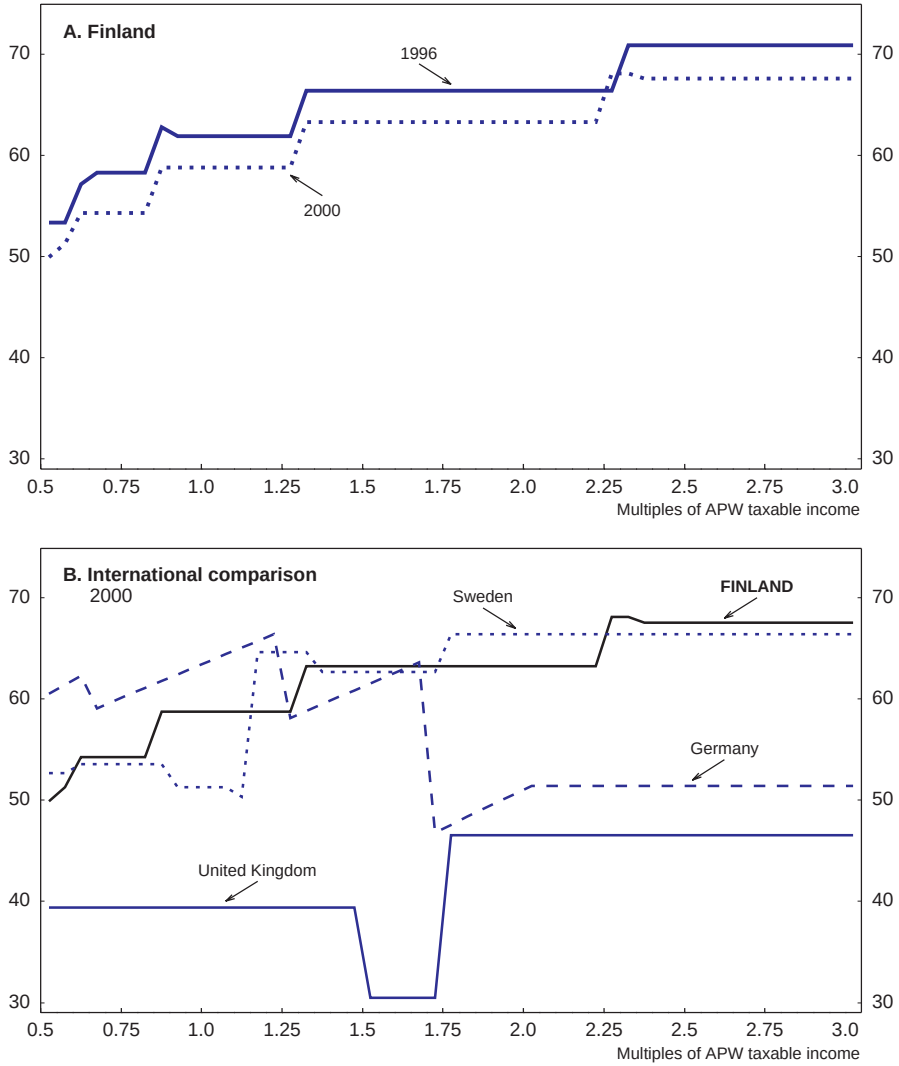
Figure 22. **Marginal tax wedge on labour:[1] recent change and international comparison**

For a single person with no children, per cent



1. Tax wedges – between labour costs to the employer and the corresponding net take-home pay of the employee – are calculated by expressing the sum of personal income tax, employee plus employer social security contributions together with any payroll tax, as a percentage of labour costs.

Source: OECD (2000), *Taxing Wages.*

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Combined with the strong compression of wages, the steep progressiveness of labour income taxes also reduces the return for an individual investing in education and may thus discourage human capital formation (Asplund, 2000 and OECD, 2001*i*). It may also create incentives to reduce work effort, in particular through shorter working time as evidenced in other Nordic countries (for Denmark, see OECD 2000*b*). The large and rising share of part-time jobs in total employment provides an illustration that incentives to take on a job have improved while those to reduce work effort are likely to have increased.

... with some adverse interaction with the social security system

The Finnish tax system applies separate taxation of married couples on their labour income, as well as on the investment income. This has the commendable effect of keeping METRs at a reasonable level for a family with a secondary earner working on a full or part-time basis. However, despite recent reforms, the tax system and its interaction with social transfers still create poverty and unemployment traps. The existence of means-tested social benefits based on the family income – such as the housing allowance and the childcare supplementary allowance – drives marginal effective tax rates to prohibitive levels for some groups (Table 20).[95] At low income levels, the combination of taxation and reduction in benefits results in extra effort being only little rewarded in terms of increased disposable income (a "poverty trap" arises). This may also discourage a potential secondary earner to take up a job (the "unemployment trap"). It was recently underlined that there is virtually no financial incentive for a spouse to accept a job with a monthly salary below EUR 2 500 (Bank of Finland, 2001), *i.e.* more than 20 per cent higher than the wage of an APW.[96] The decision to increase unemployment benefits in 2002 will further increase replacement rates (see Chapter II). For older workers also, work incentives are poor. Despite recent measures tightening eligibility conditions for early retirement (OECD, 2000*c*; see also Chapter II), at age 60 the unemployment pension guarantees an income level which is often higher than the unemployment compensation, which is very close to the wage of low-skilled workers. Furthermore, pensioners do not pay pension and unemployment contributions, and below a relatively high level (around EUR 1 200 per month in 2001), pension income is granted a favourable tax treatment compared to wages.[97] Overall, the tax system creates incentives for people to retire early.

Some tax measures have contributed to raising the demand for labour…

Several tax initiatives since the mid-1990s have aimed at lowering the cost of labour, and thus to stimulate job creation. Employers' contribution rates for the national pension scheme and the unemployment insurance scheme have been differentiated since the mid-1990s to favour job creation by giving some preferen-

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Table 20. **Marginal effective tax rates on additional income for different family types**[1]
1997

Principal earner	Full-time employed			Unemployed		Part-time employed
Secondary earner	Full-time employed	Part-time employed	Non-employed	Full-time employed	Part-time employed without benefit entitlements	Non-employed
Austria	30	21	76	32	43	135
Belgium	57	61	68	43	25	109
Canada	37	33	75	34	29	105
Denmark	50	48	84	55	61	84
Finland	**36**	**23**	**88**	**48**	**23**	**117**
France	28	38	76	29	30	69
Germany	51	50	80	31	19	115
Ireland	32	25	68	20	38	83
Italy	33	25	63	37	19	84
Japan	12	10	60	10	7	133
Netherlands	39	37	89	45	52	90
Spain	23	19	78	23	19	77
Sweden	37	42	88	43	42	79
United Kingdom	28	20	72	60	55	93
United States	19	11	68	20	0	102
Memorandum items						
OECD average	32	27	74	34	32	107
EU average	35	31	77	38	38	107

1. This table provides estimates of the incentives to increase working hours or to move from non-employment for the secondary earner of a family with two children, taking into account the labour market position of the principal earner. The marginal effective tax rate (METR) expresses the amount of earnings which are "taxed away", either via income taxes or means-testing procedures and lower benefits. METR = 1 – (net income in work – net income out of work)/change in gross income. Part-time employment corresponds to 16 hours or two days each week, and total earnings are 40 per cent of the average production worker level of earnings. Earnings from full-time employment correspond to an average production worker's earnings.

Source: OECD (1999), *Benefit system and work incentives.*

tial treatment to labour-intensive activities and small enterprises (Box 9). Further reducing the relative cost of labour, social security contributions have been gradually lowered, as the general government fiscal position improved and buffer funds approached their maximum.[98] By favouring wage moderation, recent tax cuts on labour income may also have been partly reflected in a higher demand for labour. In fact, announced tax cuts have been a key factor influencing recent collective agreements. However, wage bargaining in Finland is characterised by a high unionisation rate, a relatively high degree of centralisation, and aims to achieve a more egalitarian wage structure. For instance, recent wage settlements have granted low-income earners higher wage increases. A growing proportion of wage

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Box 9. The structure of social security contributions

The financing of the Finnish social security system displays a rather unique feature: social security contribution rates vary according to the size and capital intensity of the company, as well as its employees' age structure.

In 2001, for the national pension scheme, the employers' contribution rate was 2 per cent when the depreciation on investment was less than EUR 50 000 or less than 10 per cent of the payroll; 4 per cent if depreciation exceeded EUR 50 000 and represented between 10 and 30 per cent of the payroll; 4.9 per cent when depreciation exceeded EUR 50 000 and 30 per cent of the payroll (Ministry of Finance, 2001*e*).

For the earnings-related pension scheme, firms with 50 or fewer employees pay an overall rate of 22 per cent of gross wages. For firms with more than 50 employees, the rate can vary from 14.5 to 30.7 per cent depending on the age and gender of the insured employees. This reflects a substantial increase in the component covering disability and unemployment for workers aged 55 and over, because the associated risks increase.

Since 1995, employers' unemployment insurance contribution rates have also been differentiated: they were set at 2 per cent for small and medium-sized firms, *i.e.* with a payroll below EUR 0.8 million; and to 6.1 per cent for the remainder. Thereafter, these rates were gradually brought down to 0.8 and 3.1 per cent in 2001, respectively.

increases has also taken the form of negotiated, and highly centralised, pay adjustments as opposed to a market-driven wage drift, thus disconnecting pay adjustments from productivity gains at the firm and individual levels. As a result, tax cuts targeted on low-income earners have hardly been reflected in lower costs for those groups most affected by unemployment and for which the elasticity of labour demand tends to be high.

… but they are poorly targeted on those at the margins of the labour market

Overall, initiatives to enhance employment opportunities for those groups at the margins of the labour market have been sparse. The employment rates of the youth, older workers, and the low-qualified are very low, while labour costs are an important constraint on job creation. In fact, some labour-intensive companies have recently moved to low-wage countries and in some sectors a large proportion of workers are paid at the minimum wage level as set in collective agreements. However, in sharp contrast with many EU countries also plagued by a high level of unemployment, Finland has not introduced targeted cuts of social

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security contributions which have proved to be quite effective elsewhere in creating jobs for the low-qualified (*e.g.* in Belgium, France, the Netherlands and Spain).[99] Likewise, Finland has not opted for applying a reduced VAT rate on some labour intensive services as allowed by a 1999 European Commission (EC) Directive. Reduced rates are likely to stimulate the demand for these services, and hence employment, and bring part of the informal economy back to the surface. In Finland, the decision to make household employment deductible for individuals in 1997 may have similar effects. However, like the reduced VAT rates, it increases the complexity of the system.[100] Nevertheless, the tax system still introduces discrimination against less favoured groups. In particular, the way pensions are financed discourages firms from hiring older workers since employers' contribution rates for earnings-related pension schemes increase with the age of the insured employee (OECD, 2000*c* and Box 9).

An important role for consumption taxes

Consumption taxes account for almost one third of total tax revenues, broadly in line with the EU average. Such a strong reliance on indirect taxation has several advantages. Consumption taxes are relatively neutral towards saving and investment decisions and they do not discriminate between imports and locally-produced goods.[101] They also provide a symmetric treatment of labour and transfer income, thus creating fewer disincentives to work. In addition, the value added tax has commendable self-policing properties since in most cases companies have an interest to register in order to be reimbursed for their own VAT payments. This makes VAT relatively easy to administer as reflected by the low administration costs for indirect taxes – 0.6 per cent of associated tax revenues in Finland, compared with 0.7 per cent for the income and wealth taxes and more than 2 per cent for real estate, inheritance and gift taxes.

The large indirect tax take reflects both a standard VAT rate which, at 22 per cent, is among the highest in the EU, and high excise taxes such as that on purchases of cars and on goods which carry a potential health risk (*e.g.* alcohol). While some countries justify the use of reduced VAT rates by advocating their role in achieving social redistributive goals – a role which is subject to controversy (Van den Noord and Heady, 2001) – in Finland, the contribution of reduced VAT rates in achieving these goals is considered to be rather small. However, the use of reduced VAT rates and the existence of special tax regimes for some sectors and regions reduce the yield from indirect taxes, create tax-related distortions on product markets, and increase collection costs. In fact, a relatively large share of goods and services are taxed at reduced VAT rates, partly reflecting the replacement in 1994 of the turnover tax that applied only to goods.[102] Associated tax expenditures amount to 10-11 per cent of VAT revenues, and almost one per cent

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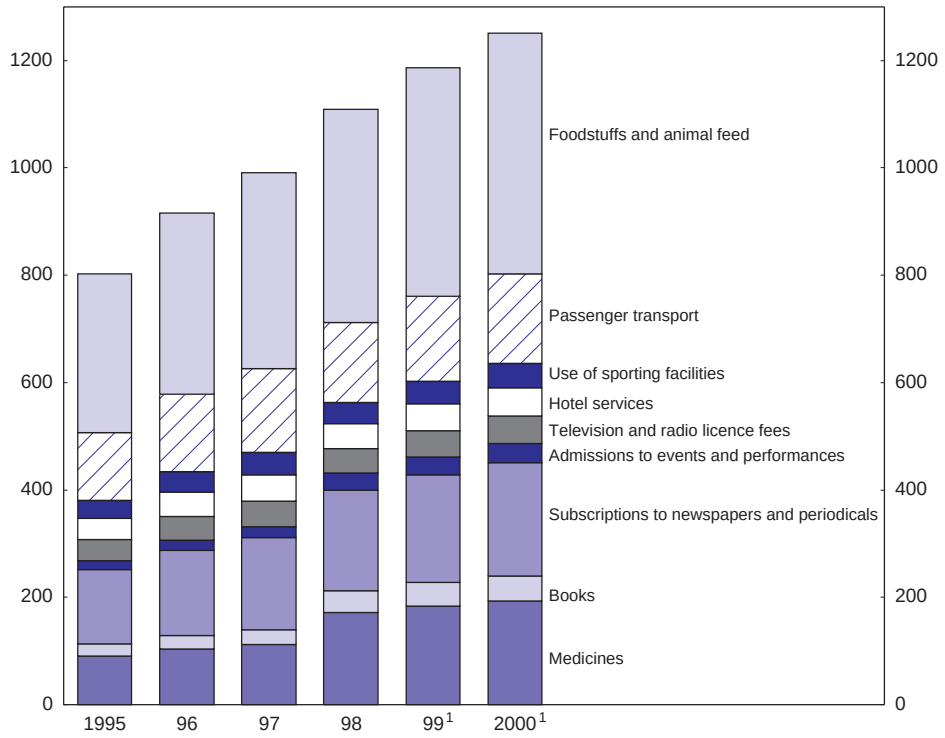
of GDP (Figure 23). In addition, the Åland islands' special regime for VAT and the excise duty legislation induce sizeable revenue losses and extra work for the tax administration (Box 10).

To mitigate the potential bias against the contracting out by municipalities resulting from the special VAT treatment for public bodies in place in most EU countries, Finland has introduced a special VAT refund scheme which applies to VAT paid on the inputs of municipalities (Aujean *et al.*, 1999). This increases neutrality concerning contracting out of taxable services to the private sector. However, for tax-exempt services including medical and social services, the refund scheme stimulates own production by municipalities as they are compensated for the VAT paid on inputs while private companies are not. In the draft 2002 budget,

Figure 23. **Tax expenditure resulting from reduced VAT rates**

Million EUR



1. Estimates.
Source: Government Institute for Economic Research (VATT).

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Box 10. Special taxation rights of the Province of Åland

Under the Finnish constitution, the Province of Åland enjoys greater autonomy than other Finnish provinces. In particular, it has exclusive rights to enact provincial legislation on matters concerning business taxes payable to the Province and its municipalities and has been granted some derogations in the application of consumption taxes.

Excise duty legislation

The Province of Åland is the only territory of the European Union, which was granted a derogation to the abolition, in 1999, of tax-free sales for people travelling within the EU area. Thus goods purchased on board of a ship passing by the islands are tax free, subject however to quantity limits. A custom duty system had thus to be set up. In 1997, the value of tax-free sales in the Åland islands was estimated at EUR 0.2 billion.

Value added tax

Finnish VAT law applies within the Province. However, for the transactions between the Province and EU countries, including mainland Finland, the Province is considered as a third country. This entails that goods travel tax free from the Province to other parts of the EU area. This increases opportunities for tax avoidance and has required the monitoring of cross-border trade flows, thus increasing the administrative burden.

Corporate income tax

The Province has a special tax regime for captive insurance companies which has been considered harmful by the EU Code of conduct group on business taxation and potentially harmful by the OECD since it offers a reduced municipal corporate income tax rate for these companies. To qualify for this special regime, a company has to meet two requirements: all shares of the captive company are owned by one single shareholder and only its shareholder or the shareholder's subsidiaries are entitled to take out an insurance with the company. This regime is however not yet active.

the government has proposed to mitigate this bias by widening the refund scheme of the municipalities by a new compensation that would cover purchase of tax-exempt medical and social services. As this compensation is based on a rough estimate of the non-deductible VAT paid by private service companies, this will, however, only approximately level the playing field.

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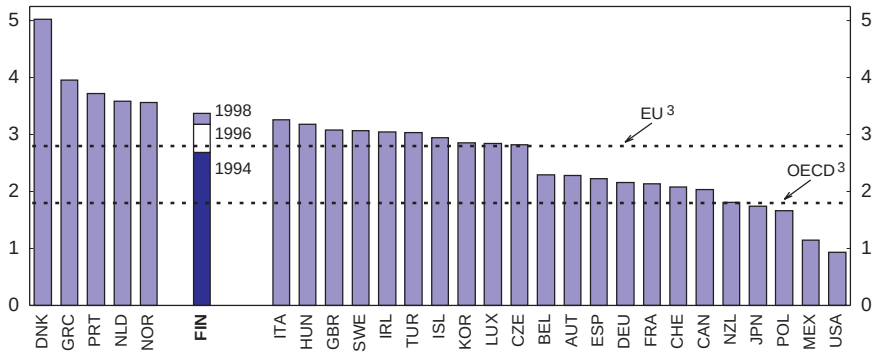
A *heavy use of environmentally related taxes*

Since the early 1990s, Finland has relied increasingly on environmentally related taxes. It introduced the world's first carbon tax in 1990 and implemented a green tax reform in 1997, raising taxes on carbon dioxide (CO_2) and introducing a tax on waste, while recycling part of the revenues through a cut in labour taxation (OECD, 1999; Vourc'h and Jimenez, 2000). It has also implemented taxes to reduce packaging and packaging waste.[103] In addition, Finland, like Denmark, Norway and Sweden, applies differentiated taxes on unleaded gasoline and on low-sulphur diesel, according to environmental criteria. This type of tax rate differentiation has contributed to the gradual reduction in the use of some of the most polluting automotive fuels.[104] At the municipal level, environmental services are largely covered by user fees, in accordance with the "polluter pays" principle (*e.g.* the tax on waste delivered to public landfills and the tax on dogs). Overall, revenues from environmentally related taxes have increased significantly over the 1990s and, at slightly less than 3.5 per cent of GDP in 1998, are high in international comparison (Figure 24).

Environmentally related taxes are not all well-geared towards minimising abatement costs

Finland applies a large number of exemptions, rebates and refund mechanisms for heavy polluters, in particular for carbon/energy taxes, to mitigate any

Figure 24. **Revenues from environmentally related taxes**[1]
1998,[2] per cent of GDP



1. These data do not reflect environment related provisions in other taxes, including personal and corporate income taxes, such as accelerated provisions or tax credits for energy-saving and pollution-reducing equipment.
2. 1997 for Greece and Italy, 1995 for Iceland and Mexico.
3. Weighted average.

Source: OECD, Environmentally related tax database, September 2001.

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negative impact on the competitive position of the domestic industry, especially the forest-related industries and the basic metal industry. Fuels used in industrial production as raw material or auxiliary material or consumed as immediate inputs in the manufacturing of goods are exempt from carbon/energy taxes. In addition, industrial enterprises are eligible for a 85 per cent refund on the amount of tax on energy that exceeds 3.7 per cent of its value added.[105] The electricity tax is also differentiated by use, with a lower rate for industries and professional greenhouse cultivators – manufacturing initially paid only 54 per cent of the electricity tax paid by other users, such as households, rising to 61 per cent in 1998. The low taxation of diesel compared with gasoline (Figure 25) – with diesel releasing more CO_2 per litre and having higher associated other environmental costs – is another illustration of the failure of taxes to reflect in an appropriate manner the pollution content of, products or activities. An annual tax is levied on diesel vehicles but does not reflect appropriately the use of, and thus the emission of, pollutants generated by diesel vehicles.[106] These tax reliefs mean that a significant proportion of emissions is untaxed and excessive costs will be incurred in meeting environmental targets. Too much abatement is carried out, and too much output therefore lost, in sectors with relatively high marginal abatement costs, whereas too little advantage is taken of opportunities for abatement in sectors with low marginal abatement costs.[107] In addition, existing rebates for the carbon/energy taxes usually benefit the most capital-intensive firms (*e.g.* heavy metal and paper industries).

The taxation of income from savings has become much more neutral

The dual income tax has removed many distortions in the taxation of income from saving…

The dual income tax system introduced in 1993 significantly improved the neutrality of the tax system towards different savings vehicles by imposing, at the personal level, a flat and unique tax rate on dividends, interest income as well as capital gains (Box 11).[108] The cut in marginal rates on income from savings (from the old top marginal rate of 64 per cent to the flat 25 per cent rate) was accompanied by a broadening of the tax base, through the abolition of the generous capital income allowances. Initially set at 25 per cent, the capital income tax rate has gradually been increased. The last hike took place in 2000, when the tax rate on capital and corporate income was raised from 28 to 29 per cent, and political pressures to raise it further are strong.

… but retirement savings and home-ownership still benefit from an overly generous tax treatment…

Though the adoption of the dual income tax system has certainly made the tax system more neutral towards saving vehicles in Finland than in many other

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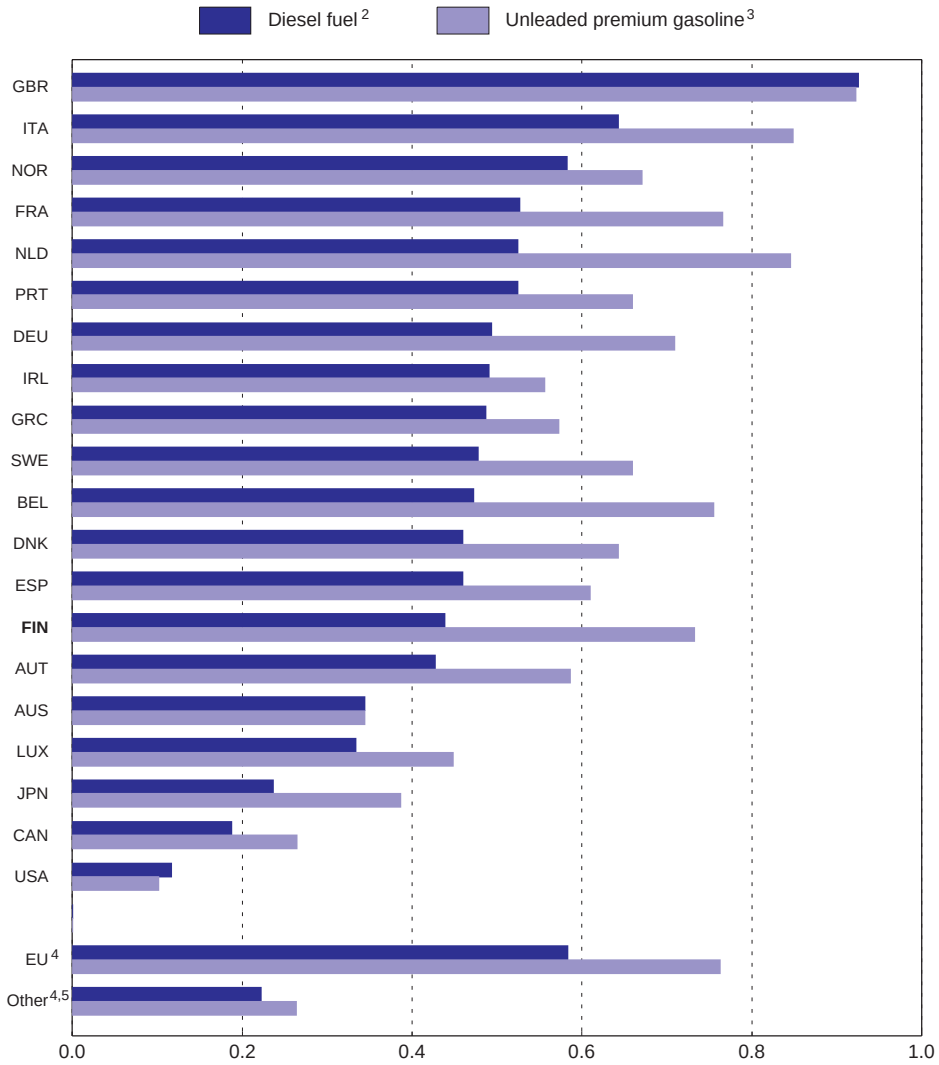
Figure 25. **Petrol taxes in international comparison: unleaded gasoline versus diesel**

Total taxes levied in 2000, USD per litre [1]



1. Using purchasing power parities (PPP).
2. Diesel fuel for commercial use for Canada; non-commercial use for all other countries.
3. 95 RON (research octane number) for all countries except: 91 RON for Australia and Japan, 97 RON for Canada and 98 RON for Denmark.
4. Weighted average using weights based on 1995 GDP and PPP.
5. Other non-EU OECD countries (excluding Iceland and Korea).

Source: IEA, *Energy Prices and Taxes* and OECD, *Main Economic Indicators.*

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Box 11. The Finnish dual income tax system

Finland introduced a Dual Income Tax (DIT) system in 1993.[1] The main objectives of this radical reform were to improve the neutrality of the tax system towards different forms of financial resources and to enhance its competitiveness after the removal of the remaining barriers to international capital movements. The move to a DIT has entailed significant cuts in statutory rates on capital and corporate income, accompanied by base broadening measures.

Under a DIT system, all household income is divided into two components: capital income which includes dividends, interest income, capital gains, and rents; and labour income which includes wages, fringe benefits, pensions and social security benefits.

Taxing income from capital

Income from capital is taxed at a single proportional rate, equal to the corporate income tax rate, of 29 per cent in 2001. This feature ensures that there can be no arbitrage gains from accumulating the return on debt-financed assets within a lightly taxed corporation while deducting the interest payments against a higher personal income tax rate.

Interest payments and capital losses are normally deductible only against the low capital income tax rate, in sharp contrast with the comprehensive income tax model where they are deductible against the highly progressive marginal rate. However, when "income from capital" is negative, which is generally due to deductible interest expenses, such losses may be partially credited against tax payable on earned-income (an amount equal to 29 per cent of the loss – 30 per cent for the first dwelling – is credited against taxes payable on earned-income up to EUR 1 350 per taxpayer, plus EUR 350 per child). The maximum loss deductible, through the earned-income tax, is thus EUR 3 400 for a married couple with two children. In 1999, gross capital income amounted to EUR 6.5 billion while tax revenues on net capital income stood at EUR 1.2 billion. Capital expenses would thus amount to about EUR 2.2 billion (based on the flat capital income tax rate in 1999 of 28 per cent; the capital expense has risen thereafter due to the rate increase to 29 per cent). However, this may underestimate the true cost of capital expense deductions since interest payments can be deducted both from the capital income and from the earned-income component in Finland.

Another salient feature of the taxation of capital income is the use of imputation credits to remove the double taxation of distributed profits (first at the corporate level and then at the shareholder level) so as to ensure full neutrality across all sources of capital income at the domestic level.

Taxing labour income

Labour income (or earned-income) is subject to higher and progressive statutory rates, though generous allowances contribute to reduce average tax rates (see Box 8).

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Box 11. **The Finnish dual income tax system** (*cont.*)

The split model for small businesses

Dividing household income into a labour and capital component requires a split model for income of those businesses where the owner also works in the enterprise. In Finland, the capital component derived from the activity of a self-employed or a partnership is calculated by applying a fixed rate of return (18 per cent) to the company's net assets, the labour component being the residual.[2] The progressive tax structure then applies to the labour component. However, it is important to note that in Finland, large tax allowances apply to the labour component only, and may introduce vertical inequities. For instance, income of companies with a low effective rate of return will be taxed at the 29 per cent flat rate (if the labour component derived from the split model is nil), while for more profitable companies, a large part of their labour income will be tax exempt, thus bringing down their overall effective tax rate. Higher progressive tax rates on the earned-income component will only phase in later, and gradually. As a result, and contrasting with other Nordic dual systems, the Finnish tax system creates an incentive to have income recorded as labour income for low to middle-income self-employed. To reduce these vertical inequities, from 2001 onwards the self-employed have the option to adopt a lower (10 per cent) rate of return thus giving the less profitable enterprises the opportunity to benefit from the generous tax allowances on the labour income component.

1. Denmark, Iceland, Norway and Sweden also introduced a DIT in the late 1980s and early 1990s. However, although Denmark was one of the first countries to introduce a DIT, subsequent modifications have introduced elements of progressivity in the taxation of capital income, as well as horizontal asymmetries in the treatment of positive and negative capital income.
2. Alternatively, the split of income can be implemented by imputing a wage income to the self-employed or the managers and considering the remaining income as capital income. Iceland has implemented such an income-split model. In this case however, the marginal tax rate of the self-employed equals the low rate on capital income, and the average tax rate falls with rising business income. The system thus tends to be regressive.

OECD countries, the tax system still creates strong incentives to invest in retirement saving and housing.[109] As in many other OECD countries, several tax incentives to promote private pension savings (the third pillar) are provided. *First*, the effective tax rate is reduced by the deduction of premiums while pensions are taxed much later.[110] *Second*, returns on pension fund assets are tax exempt. *Third*, an annuity based on a private insurance policy is taxable in proportions varying between 60 and 10 per cent depending on the age of the policyholder (60 per cent below 44, 10 per cent at 92 or more). This has contributed to the steady increase in

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voluntary retirement savings since the early 1990s, though probably at the expense of other saving vehicles. As a share of total households' financial assets, saving in voluntary retirement schemes almost doubled between 1995 and 2000 to reach about 12 per cent in 2000.

Housing investment is also granted significant tax advantages. *First*, while imputed rents of owner-occupied housing are tax free, mortgage interest costs are deductible from the capital income tax base. This privileges housing investment over business investment. To be symmetric, tax deductibility of home ownership costs should only apply if housing were consistently treated as an investment good, with associated services (*i.e.* imputed rents) being taxed. However, the move to a dual income taxation system in 1993 has reduced the generosity of the tax treatment of debt-funded owner-occupied housing.[111] This reflects the fact that interest paid is deductible from the capital income component of individuals, which is taxed at a relatively low flat tax rate compared to the individual's marginal rate on labour. However, successive hikes in the capital income tax rates have also increased the tax value of the deductibility of mortgage interest payments. *Second*, capital gains from selling a dwelling are tax exempt if the dwelling has been used as a permanent residence by the taxpayer for at least two years. The tax expenditure resulting from the exemption of capital gains on owner-occupied housing was EUR 0.5 billion in 1999 (0.4 per cent of GDP), while that of the exemption from taxation of imputed rents amounted to EUR 0.8 billion in 1999 (0.6 per cent of GDP).[112] In addition, interest on home saving deposit accounts is still tax exempt. As a consequence, owner-occupied housing accounts for about two thirds of the residential housing stock and the rental market is underdeveloped in some parts of the country (*e.g.* in the capital area), which reduces labour mobility.

… while low property taxes do not lessen the favoured tax treatment for house-ownership

While income taxation is already favourable for housing investment, property taxation is also fairly lenient. This partly reflects an underestimation of real estate values – the assessed value of real estates for tax purposes is about 70 per cent of their market price on average, though with significant variations across the country. Rates of the real estate tax are also relatively low, despite some hikes since its introduction in 1993: they may vary within a range of 0.22 and 0.5 per cent, set by the central government, *i.e.* well below those in place in many other OECD countries.[113] Likewise, inheritance and gift taxes are low by international standards. Finland also levies a net wealth tax on financial and real assets of individuals, after deducting financial liabilities. However, bonds and savings deposits are largely tax exempt, creating non-neutralities across saving vehicles, over and above those associated with investing in housing and retirement vehicles. This tax also generates incentives for taxpayers to inflate liabilities, *i.e.* to take out loans in order to invest in tax-favoured or under-assessed assets such as real estate. The

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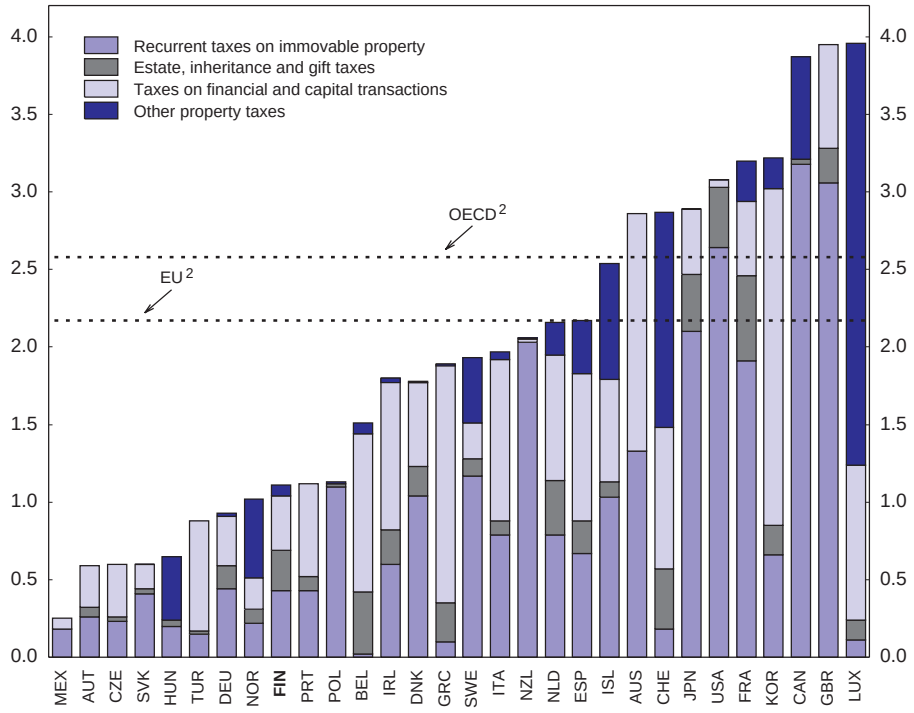
net wealth tax thus accounted for only 0.1 per cent of total tax revenues in 1998. Overall, property taxes, as a share of GDP, are significantly below the EU and OECD average (Figure 26).

Corporate financing: double taxation issues

The dual income tax combined with an imputation system for dividends has improved the neutrality of the tax system towards corporate financing decisions when the investors are resident individuals. In an imputation system, distributed profits are taxed at the corporate level, while at the personal level,

Figure 26. **Property taxation: an international perspective**

Tax revenues as a per cent of GDP, 1999[1]



1. 1998 for Mexico.
2. Total property taxes; weighted average using 1995 GDP and purchasing power parities.

Source: OECD (2001), *Revenue Statistics.*

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dividend recipients are granted a tax credit corresponding to the corporate tax already paid. It brings the overall tax wedge on financing through new equity into line with that through debt for domestic investors.[114] However, such imputation credits do not benefit most foreigners investing in a Finnish corporation – since few bilateral treaties accommodate them – and may thus discourage foreign investment.[115] This may give rise to tax-planning activities such as dividend stripping.[116] Imputation credits also discriminate against resident shareholders of foreign companies by not granting them a tax credit for the corporate tax paid in another country. For this reason, the Finnish imputation system may become questionable under the European Community tax rules which guarantee the free movement of capital and the freedom of establishment (Helminen, 2001). On the other hand, the Finnish tax system discriminates against retained earnings for a resident investor since they are taxed first at the corporate level and then as capital gains at the shareholder level.[117]

A *more neutral taxation of entrepreneurial activities*

In addition to the move towards a DIT system, measures were taken to improve the taxation of entrepreneurial income from the mid-1980s to the mid-1990s. They involved a gradual broadening of the corporate income tax base, combined with a significant cut of the statutory rate, from 60 per cent in 1985 to 25 per cent in 1993 (raised gradually to 29 per cent in 2000). Though reforming the taxation of entrepreneurial activities involved a large number of tax measures, a few salient features are worth mentioning.[118] The generosity of the depreciation rules for fixed assets was reduced, thus reducing the tax advantage for capital intensive activities, while capital gains from fixed assets (*e.g.* real estate) and securities became taxable regardless of the holding period. Specific tax incentives for heavy metal industries, the construction sector, shipping and for regional, cyclical and research activities were largely removed (Tikka, 1989). The broadening of the tax base also involved the elimination of the EUR 17 000 basic tax allowance, and the introduction of limits on the use of reserve provisions and deductions for entertainment expenses. The presumptive municipal income tax was abolished in 1991. The most decisive step however was the replacement of the dividend deduction system in 1990 – which allowed companies to adjust their taxable income through their profit distribution policy – by the imputation system for distributed dividends.[119] Overall, the average effective tax rate on entrepreneurial activities has not changed significantly as a result of the reforms and, though the statutory rate is rather low by international standards, corporate income tax revenue as a share of GDP is relatively high. The most commendable result of these reforms however was to make the effective taxation more uniform across companies involved in different economic sectors, and with different capital intensity and financing sources.

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However, a few sectoral and locational non-neutralities persist…

In international comparison, the tax code contains only a few special tax reliefs that favour certain activities and locations. One illustration is the absence of any specific tax incentive granted to R&D activities while many other countries have recently introduced or increased such schemes.[120] However, some special regimes do exist. One of them is the Åland captive insurance regime, which allows for a reduced corporate income tax rate. This scheme is not yet active (see Box 10). In addition, some accelerated depreciation schemes for small companies investing in the so-called developing regions and the investment allowance in the shipping sector have been considered as potentially harmful by the EU Code of Conduct on business taxation. Though tax expenditure associated with these two schemes is rather limited (EUR 5 million and EUR 0.3 million, respectively, in 1997), their existence has induced some lobbying by other sectors or regions to get specific tax reliefs. Recent tax demands from, and concessions to, the shipping industry provide an illustration.[121] Agriculture and forestry are also granted several tax privileges through the income tax system. In addition, forests and agricultural land are exempt from property tax and capital gains, resulting from the sale of agricultural or forestry property, are also tax free.

… and specific tax issues concern the taxation of small firms

In Finland, as in most OECD countries, the tax treatment of the self-employed is the Achilles heel of the income tax system (Van den Noord and Heady, 2001). However, while in most countries the self-employed face low effective tax rates – in particular because they benefit from more tax reliefs – some small Finnish enterprises may end up paying relatively more income tax than both the largest ones and the wage-earners. Like in Denmark, Norway, and Sweden the splitting of self-employment income requires imputing a return to the capital invested in the firm, the residual business income being regarded as earned-income (see Box 11). However, the imputed rate of return on business assets in Finland up to 2001 (18 per cent on the company's net wealth) seems high and the capital income share could be overestimated.[122] As a result, most of the income from the less profitable and/or newly created businesses has been categorised as capital income, and then taxed at a 29 per cent flat rate, impeding these businesses from benefiting from the existing generous tax allowances which apply only to the earned-income component. To reduce these horizontal inequities between self-employed and wage earners which may discourage start-ups and hinder entrepreneurship, a reform is being introduced (see Box 11).

Municipalities rely heavily on tax revenues to fund spending

The share of tax revenues in municipalities' financial resources has risen significantly since the mid-1990s, to reach 52 per cent in 2000, and the gap

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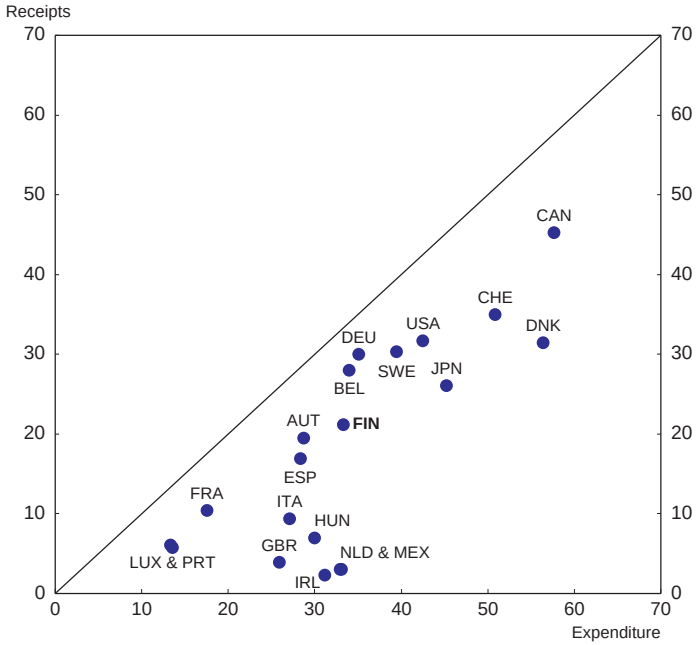
between their tax revenues and their spending is narrow by OECD standards (Figure 27). Concerning fiscal autonomy, municipalities have relatively large spending and taxing responsibilities (Box 12; OECD, 1999*b*). A salient feature of the Finnish tax system is the municipalities' unrestricted responsibility in setting municipal rates on labour income. In 2000, revenues from the local tax on labour income amounted to EUR 9 billion, while total direct taxes on households amounted to about EUR 20 billion. While tax rates vary across the country, tax bases are uniform and local taxes are collected by the central tax administration; both features contribute to keep collection costs at a rather low level in international

Figure 27. **Tax receipts and expenditure by regional and local governments**[1]

Percentage share in non-transfer receipts and expenditure, 1999[2]



1. Receipts include direct and indirect taxes received by regional and local governments and are expressed as a share of taxes received by the general government. Fees and charges are not included. Expenditure corresponds to total expenditure by regional and local governments expressed as a share of general government expenditure (excluding capital transfers). The country ranking in this figure does not necessarily correspond to the comparative fiscal autonomy of lower governments
2. 2000 for Finland, Luxembourg and United Kingdom; 1998 for Mexico and Portugal; 1997 for Canada, France and United States; 1996 for Ireland and Switzerland.

Source: OECD, *National Accounts*; OECD (2001), *Revenue Statistics* and the Hungarian Ministry of Finance.

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Box 12. Municipalities' spending and tax responsibilities

The Finnish government effectively relies on a two-tier system – the state and the municipalities – as provinces play a very minor role.

High decentralisation of the provision of public services

Municipalities are responsible for the provision of most basic services to citizens, including primary and secondary education, social welfare, health and specialised care, though national laws define minimum quality standards in most of these areas. They also supervise land use and building activities within their jurisdiction and are responsible for street maintenance, water supply and sewerage, co-ordinating waste disposal and energy supply, and protecting the local environment. Municipalities employed 410 000 persons in 2000 (*i.e.* about 74 per cent of public employment and 18 per cent of total employment). As in other Nordic countries (Lotz, 1999), the process of decentralisation has, however, posed some problems, such as the difficulty to provide high quality specialised services in small municipalities (about 60 per cent of the municipalities had less than 6 000 inhabitants in 1999). Thus, to reap economies of scale, municipalities often co-operate in the provision of key services, by establishing joint municipal services, *e.g.* for hospital care, and some mergers of municipalities have taken place. The government is encouraging the merger of municipalities by subsidies for preparatory work.

Municipalities' financial resources: a strong and increasing reliance on local tax bases

Tax revenues accounted for more than half of the municipalities' budget in 2000 (Figure 28), though with significant differences across municipalities (from 20 to 80 per cent). They consist of:

- *The local earned-income tax on individuals.* Municipalities have no power to set the base but they can set a flat rate without any limitation. In 2001, municipal tax rates ranged between 15 and 19.75 per cent.
- *The municipalities' corporate income tax share.* Municipalities receive a share of the corporate income tax paid by companies operating within their jurisdiction (the share apportioned to municipalities was set at 36.39 per cent in 2000; in the draft 2002 budget, the government proposes to cut the share to 23.33 per cent in 2002). When a company operates in several jurisdictions, the key criteria used by the tax administration to share the tax component which accrues to each municipality is the number of persons employed.
- *Real estate taxes*, as well as other minor taxes (mainly a tax on dogs). Real estate tax revenues accrue fully to municipalities but they do not have complete freedom to set the rates. The central government sets a range for real estate tax rates, which varies according to the use of land. Rates are lower for primary than for secondary residences, even though permanent

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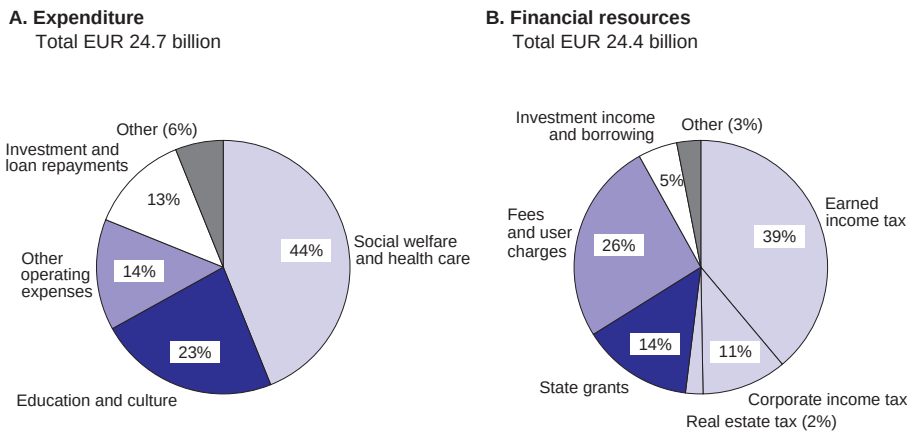
Box 12. **Municipalities' spending and tax responsibilities** (*cont.*)

residents are likely to use local services and the infrastructure more intensively. In 2000, for instance, rates were allowed to vary between 0.2 and 0.5 per cent of the taxable value for primary residences, and between 0.5 and 1.0 per cent for secondary residences and most other immovable properties. Power plants are imposed at higher rate (up to 2.2 per cent for nuclear power plants).

– *User charges and fees.* The largest part is charged on the provision of energy, water and sewerage services. Municipalities may also levy charges for social, health care and cultural services, within the limits set by law while education is free (Antolin *et al.*, 2001). However, these charges are of minor importance in funding these services (EUR 1.3 billion in 2000).

Figure 28. **Financing municipalities' spending**
Estimate for 2000



Source: Association of Finnish Local and Regional Authorities.

comparison. Another commendable feature is the design of the tax equalisation scheme from the rich to the poor municipalities which is based on the capacity to raise tax, rather than on actual taxes collected, and thus does not invalidate incentives to adjust local tax rates to citizens/taxpayers' preferences. On the spending

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side, the reforms during the 1990s of the grant system have also increased the incentives for an effective use of municipalities' financial resources by replacing earmarked state grants by block grants.[123]

Uncertain revenues at the municipal level

The heavy reliance of municipalities on rather volatile tax revenues makes it difficult to plan expenditure programmes. During the second half of the 1990s, revenues from the corporate and labour income taxes, which are highly sensitive to economic cycles, have grown substantially (Table 21). They accounted for one half of their financial resources in 2000. The maturing of stock option programmes also gave a boost to municipalities' receipts from the labour income tax. This has occurred despite the introduction of measures at central government level, which have resulted in lower tax revenues apportioned to municipalities. Recent increases in several tax allowances to the earned-income tax have narrowed the tax base while the municipalities' share of corporate tax revenues has been cut. The central government has also offset the rise in municipalities' tax revenues by reducing state grants, after already severe cuts in the first half of the 1990s during the deep recession (Box 13). Overall, financial resources of municipalities in volume terms have not changed significantly since the mid-1990s while their mix has shifted towards tax revenues (Figure 29).

An increase in financial disparities across municipalities

The increasing reliance on local taxes, as opposed to state grants, has also increased financial disparities across municipalities. While all municipalities have

Table 21. **Volatility of tax revenues**

	Tax revenues as a share of GDP (%)					Volatility over the period 1990-2000[1]
	1980	1990	1995	1999	2000	
Personal income tax	14.0	17.2	16.3	14.7	15.1	0.07
Corporate income tax	1.4	2.0	1.8	4.2	5.4	0.60
Social security contributions	7.0	9.7	12.4	11.8	11.1	0.07
Property taxes	0.7	1.1	1.0	1.1	1.1	0.06
Taxes on goods and services	12.9	14.6	13.3	14.3	13.6	0.03
Memorandum items						
Total tax revenues	36.2	44.7	44.9	46.3	46.5	0.02
Municipal personal income tax	7.2	8.8	8.5	7.8	7.3	0.07
Municipal corporate income tax	0.7	0.8	0.8	1.7	2.1	0.56

1. Volatility measured by the coefficient of variation for the tax revenue to GDP ratio.
Source: OECD (2001), *Revenue Statistics*.

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Box 13. The state grant and tax equalisation scheme

Since municipalities are responsible for many functions that involve redistribution (from the rich to the poor but also from the working-age population to the young and the old), some equalisation of resources is necessary. The tax equalisation scheme aims to reduce disparities among municipalities in their capacity to raise revenues while the state grant scheme contributes to the funding for the local provision of statutory services.

The tax equalisation system is based on a comparison between every municipality's potential tax revenues per inhabitant and the country average (potential tax revenues are defined as those that the municipality would get if it adopted the average tax rate applied in the country). If the potential tax revenues of a municipality fall below 90 per cent of the country's average, then the tax equalisation scheme raises this municipality's financial resources by redistributing tax revenues collected from wealthier municipalities (in 2000, three fourths of the municipalities were below this threshold). If it exceeds the 90 per cent threshold, the municipality contributes to the tax redistribution scheme (40 per cent of its tax revenues, starting from the 90 per cent threshold). Up to 2001, revenue equalisation across municipalities has, however, been capped. By law, a rich municipality's contribution to the tax equalisation scheme cannot exceed 15 per cent of the municipality's tax revenue. As a result, when a municipality's tax revenues exceed 144 per cent of the country average, its contribution to the equalisation scheme is brought down to 15 per cent of its total tax revenues, which is low by Nordic standards. This capping limit will, however, be removed in 2002.

Municipalities also receive block grants, based on notional expenditure needs, from the state. Notional spending on social welfare and health care is based on the age structure of the municipalities' population and some geographical criteria (*e.g.* size and density of the population). Social welfare grants also take into account the level of unemployment and health grants take into account a morbidity factor. State transfers for education are based on the number of students. Every year, state transfers are adjusted to reflect price and public sector wage developments. In spite of these rules, state grants have been cut significantly since the early 1990s, while municipalities' responsibilities have been extended, to compensate for the boom in tax revenues at the municipal level. As a result, the share of grants in total local revenues has declined substantially, from 30 per cent in 1990 to below 15 per cent in 2000.

No formal relationship exists between grants and taxes, creating uncertainties over the availability of municipalities' financial resources. In the second half of the 1990s, booming corporate income tax revenues led to cuts in state grants, *de facto* preventing excessive spending. However, there is no automatic mechanism leading to higher grants in periods of falling tax revenues. Furthermore, despite the recent reduction to two years, the delay in redistributing tax revenues collected across municipalities through the tax equalisation scheme creates additional uncertainty on the amount of resources that will finally accrue to them.

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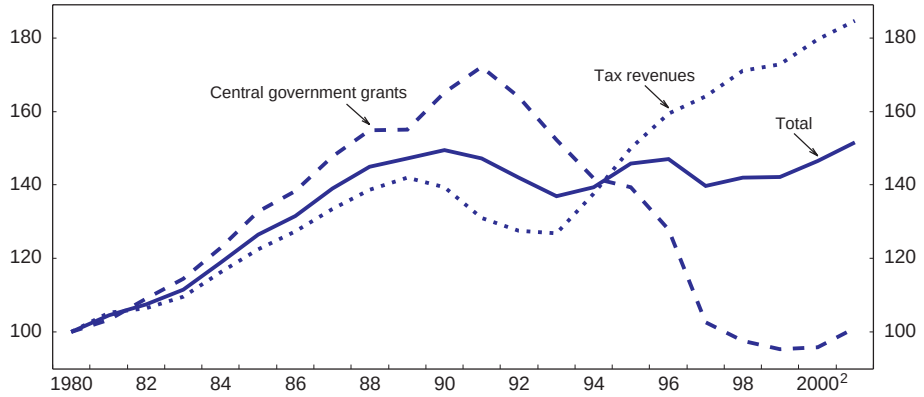
Figure 29. **Finance resources of municipalities: tax revenues and central government grants**

Volume indices, 1980 = 100 [1]



1. 1990 constant prices using the deflator for government final consumption expenditure.
2. Estimates for 2000 and projections for 2001.

Source: Association of Finnish Local and Regional Authorities.

been affected by a cut in state grants (on a per capita basis), not all of them have benefited equally from the boom in tax revenues.[124] As a result, the system may fail to provide enough resources to the poorest municipalities. The growing number of municipalities running a deficit could indicate financial stress.[125] On the other hand, for the rich municipalities, there is a risk that the boom in tax revenues has given rise to spending that may be difficult to prune in more lenient times, which could lead to a deterioration in the local finances during a downturn.

Pressures to increase public spending

The rules governing the devolution of tax revenues to municipalities also create more pressures to increase public spending than to reduce the tax burden. While municipalities receive a share of the taxes paid by companies within their jurisdiction, they have no power to adjust the corporate tax rate. As a result, they reportedly compete to attract companies by building modern business centres and/or by offering business premises, low-priced public services (*e.g.* waste treatment) and logistic services. Limits on property tax rates imposed at the state level further hinder the municipalities' ability to achieve the right balance between a high quality of publicly provided goods and services and a higher tax. On the other hand, while municipalities do have unlimited power to set the (flat) munici-

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pal earned-income tax rate, recent surveys have indicated that the quality and price of public services, in particular in the health sector, are more important factors than tax rates in influencing citizens' location choices.[126]

Until recently, annual negotiations between the state and the municipalities have been practically the only instrument to ensure that municipalities' tax and spending decisions do not contradict the central government's fiscal programme. In addition, a law requiring municipalities to balance their budget over a three-year period has been introduced in 2001. However, the volatility of municipalities' tax revenues, combined with the two-year delay in redistributing these revenues across municipalities may make this rule difficult to implement. Furthermore, the law does not include sanctions in case of deviations from the rule.[127]

Main options for reforms

Though the Finnish tax system performs relatively well in balancing considerations of economic efficiency, equity and enforceability, there is scope for improvement (Box 14).[128] Profound reforms of the consumption, corporate and capital income taxation in the early 1990s have played a key role in reducing distortions in domestic markets while promoting international competitiveness. However, the taxation of labour has been reformed in a more piecemeal way and gives rise to important equity/efficiency trade-offs. Though the scope is limited, re-balancing the tax burden from labour to property and consumption tax bases would help to address some of these concerns. Tax cuts should be targeted first towards enhancing the performance of the labour market. Reducing the unemployment rate would also serve to reduce the pre-tax dispersion in income and to attenuate future economic and budgetary effects of ageing. Creating the right conditions for a sound management of public finance at the municipal level could also reduce existing pressures on public spending and thus provide more scope for tax cuts.

Reduce and rebalance the taxation of labour

Since the mid-1990s, the main tax initiatives to raise the employment rate have aimed at increasing work incentives for workers with a low earnings potential. A rise in tax allowances was the key instrument. To avoid harming work incentives too much for a specific income group, these tax allowances have progressively been extended to a wide earning span, thus raising significantly the financing cost. This has helped to raise the participation rate since the mid-1990s, from an already high level by international standards – though this partly also reflects the economic upturn. However, unemployment for groups at the margins of the labour market has remained very high (in particular for the less-educated, young, and older workers) and some high-technology companies have faced difficulties to attract and retain highly-skilled workers and could do so again in the near future. Such imbalances in the labour market would argue in favour of redesigning the tax

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Box 14. Synopsis of options for reforming the tax system

Personal income tax

- Broaden the tax base on personal income (earned-income) and reduce statutory rates.
- Reduce the use of tax incentives to boost labour force participation and give more emphasis to tax measures to lower the cost of labour (*e.g.* cuts in social security contributions).
- Reduce tax incentives for people to retire early.
- Reconsider the pros and cons for granting generous tax incentives for pension saving. One option to reduce their generosity and increase their fairness would be to replace the existing tax allowance by a tax credit.
- Inflation-adjust tax brackets annually.

Social security contributions and benefits

- Remove existing disincentives to retain or hire older workers (in particular, the age dependency of social insurance contributions).
- Reconsider the differentiation of social security contributions by size and capital intensity of the company and introduce instead targeted cuts for low-paid workers.

Consumption taxes

- Raise the revenue-efficiency of the VAT by considering the elimination of reduced VAT rates.
- Reduce the distortions in competition between public bodies and private companies by changing the tax-exempt status of social services, requiring modifications at the EU level.

Environmentally related taxation

- Improve incentives to abate emissions by reconsidering tax reliefs granted to heavy polluters (in particular for the energy/carbon tax) while introducing well-targeted compensation schemes when competitiveness or income distribution are of concern.
- Reduce the tax advantage granted to diesel compared with gasoline.

Capital and corporate income taxes

- Reduce the generosity of the tax advantages granted to owner-occupied housing by phasing out, or at least capping mortgage interest deductions more stringently and by tightening the taxation of capital gains on house ownership. Interest received on home saving deposit accounts should be taxable as any other capital income.

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Box 14. **Synopsis of options for reforming the tax system** (*cont.*)

– Keep the capital/corporate income tax rate competitive. In case of strong pressures due to distributional considerations, consider reducing the imputation credit for dividends, which discriminates against foreign investment.

– Abolish the tax-sharing arrangement, which assigns part of the corporate income tax revenues to the municipality where the company is located. Several options for compensating the income loss for municipalities could be envisaged.

Property taxes

– Consider raising real estate taxes, as well as gift and inheritance taxes, which are low by international standards. Abolish the current exemption from property taxes granted to forest and agriculture lands.

– Abolish the net wealth tax.

measures targeted at improving labour market performance, towards reducing employer costs for hiring the low-qualified, and better work incentives along the whole spectrum of the earnings ladder.

Reassess the impact of the earned-income tax allowance…

An assessment of the EITA scheme partly depends on the weight given to distributional aspects, since this scheme is specifically targeted at raising the post-tax income of the working poor. Means-tested benefits act as a strong deterrent to labour market entry for some population groups. The EITA partly redresses these disincentives to take up a job for low-qualified earners. The EITA has probably helped to raise participation amongst the low-paid and contributed to wage moderation (Laine and Uusitalo, 2001). However, increasing the incentives for people with low earnings potential to enter the labour market will only help if firms have adequate incentives to hire. This requires that labour costs for such workers are sufficiently low to make it profitable for employers to hire them. But the objective of achieving a more egalitarian wage structure embodied in the collective bargaining system, with higher wage increases granted to low-income earners, has mitigated the EITA impact on labour costs for the low-qualified. In this context, the EITA may not be the most cost-effective scheme to raise the employment rate. In a country like Finland, the narrow income distribution, the high pro-

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gressivity of labour taxes and already high participation rates also contribute to reduce the impact of employment-conditional schemes on the labour market (Bassanini *et al.*, 1999).[129] Furthermore, as the cost of this scheme is shouldered by a higher tax burden by those higher up in the earnings distribution, the impact on aggregate labour supply is uncertain because the majority of workers is in the phase-out range.

… versus cuts in statutory rates

Increasing the generosity of earned-income tax allowances, by narrowing the tax base, has limited the opportunities to cut statutory rates which are high by international standards. Statutory rates have an important "face-value" while the impact of the various tax allowances on the effective tax burden is less transparent. The introduction of a special scheme for foreign experts (a lower flat tax rate on their labour income) reflects the need to attract highly-qualified workers. However, it discriminates against the local workforce and cannot serve to retain highly-qualified domestic employees, nor does it provide better incentives to increase work effort. Thus, enhancing work incentives, in a context of a growing international mobility of skilled workers, would argue for giving priority to streamlining tax allowances while introducing more ambitious cuts in statutory rates. Though this may increase after-tax inequality, narrowing the gap between statutory rates on capital and labour would work in the opposite direction. It would also lessen tax planning activities and attenuate difficult tax issues arising for the taxation of small businesses.

Make social security contributions more employment-friendly

A significant improvement in the employment rate among the less educated, young and older workers will likely require a reduction in non-wage labour costs targeted at the lower end of the income scale. Redesigning the social insurance contribution system to remove the existing discrimination against older workers has already been recommended in the previous OECD *Survey* (OECD, 2000*c*). To raise the incentives for enterprises to hire older workers, higher pension contributions, reflecting disability and unemployment risks, could be spread over the entire employed population, thus eliminating the current age-dependency of non-wage labour costs. More ambitious would be the introduction of targeted cuts in social security contributions for the low-paid, low-qualified workers. Such measures have been introduced in several EU countries (Joumard, 2001). In many cases, and in particular if coupled with measures to tackle labour market rigidities, they have had promising results, as evidenced by the strong response of employment to output growth (*e.g.* in Belgium, France, Netherlands and Spain). In Finland, given the centralised bargaining system resulting in a compressed wage structure, it can only be introduced if an agree-

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ment with social partners ensures that cuts in contributions for the low paid actually reduce total labour cost rather than feed into higher wages.

In principle, targeted cuts in contributions should be limited to the non-insurance components of the social security system (minimum pension, unemployment assistance, etc.). However, the central government already contributes to the financing of some of the existing unemployment and pension schemes.[130] Another common argument against such targeted schemes is that they increase the complexity of the tax system. However, a differentiation in social security contributions already exists – by size and capital intensity of companies (see Box 9) – and may lead to harmful distortions (*e.g.* by creating threshold effects). This differentiation, partly based on the capital intensity of the company, has reportedly induced companies to use leasing arrangements, instead of buying directly their equipment, so as to pay lower social security contributions. Replacing such a system by better-targeted cuts in social security contributions may thus help to improve labour market performance without increasing significantly the complexity of the system.

Improve the efficiency of consumption taxes

There is scope for shifting taxation from labour to consumption, although more limited than in many other OECD countries. Higher tax rates on consumption may increase tax avoidance and evasion as evidenced by the sizeable amount of smuggling and cross-border shopping of alcoholic beverages and tobacco. Likewise, though the loss in tax revenues resulting from the use of e-commerce is perceived to be rather limited, higher VAT rates would exacerbate the potential erosion of the tax base, especially for online deliveries from businesses to consumers. Nevertheless, there is still room to raise the yield from indirect taxes. Widening the range of goods and services taxed at the normal VAT rate should be a priority. Since reduced rates reportedly do not contribute much to enhance redistributive objectives, such a move would not lead to a significant trade-off between equity and efficiency. Reconsidering the Åland islands' special tax regime (both for the VAT and tax-free sales), might also contribute to raising the efficiency of consumption taxes, even though this could raise constitutional problems. The reduction in excise taxes by 2004 to comply with EU rules will entail losses of tax revenues but it will also contribute to reducing cross-border shopping and smuggling.

Strengthen the cost-effectiveness of environmentally related taxes

Despite the rising importance of environmentally related taxes, Finland has not succeeded in reducing emission to GDP ratios, in particular of CO_2.[131] To contain greenhouse gas emissions, the government plans to implement a package of measures which will probably include a hike in energy taxation, though no

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major changes in the current structure of energy taxes is expected.[132] However, it would be important to gradually remove existing rebates for heavy polluters so as to provide the right incentives to shift to less polluting production and consumption patterns and to reduce abatement costs. If competitiveness is an issue, one option to consider would be to channel part of the environmental tax revenues back to the industry in such a way that marginal abatement incentives are not reduced.[133] The compensation scheme should then be phased out once other countries have followed suit. Alternatively, the competitiveness concern of raising green taxes may be mitigated in some sectors if green tax revenues are recycled via lower labour taxes (Honkatukia, 2000).[134] Ensuring that changes in energy taxation are announced well in advance would also help producers and consumers to plan abatement measures more efficiently.

Removing the tax advantage for diesel – which is large by international standards – and more generally shifting from vehicle to fuel taxation should also be envisaged. This would give better price signals to users. Reducing the tax on the purchase of new cars while taxing more heavily the use of cars would also contribute to speeding up the modernisation of the car fleet, and thus improve environmental performance. An important concern associated with the rise in fuel taxes is the potential impact on income distribution (Economic Council, 2000), in particular since poor households are concentrated in cold and remote areas (*e.g.* eastern and northern parts of Finland). However, targeted lump-sum transfers (*e.g.* on the basis of the place of residence and/or the number of children) could be implemented instead. Such compensation schemes would maintain the price signals of the tax whilst reducing the impact of the tax on household income, without creating poverty traps.

Reconsider the tax privileges granted to pension saving and home ownership

While empirical evidence suggests that the composition of household saving is quite sensitive to tax policy, there is little evidence that taxation has a significant impact on aggregate saving. Furthermore, existing tax advantages towards home ownership, as well as towards private pension plans, have several drawbacks. First and foremost, they hinder an efficient allocation of resources and are likely to benefit more the relatively well-off since their "tax value" is largest for high-income groups.[135] In addition, such tax reliefs may have other indirect adverse effects. In particular, a high rate of home-ownership, combined with a tight housing rental market, may reduce the geographic mobility of labour. Home-owners are less likely to move than renters due to high transaction costs, including a tax on real estate transactions, while rents have increased rapidly especially in the southern part of Finland. Tax privileges towards specific saving vehicles may also distort competition in the financial sector by favouring particular categories of providers, and they affect relative prices. In addition, tax privileges on pension

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saving often act as a barrier to the creation of a single European financial market since contributions to foreign pension insurance institutions are not treated the same way (Juusela, 2000).[136] One solution to increase the fairness of tax incentives towards retirement saving could be to replace the existing tax allowance associated with contributions paid by a tax credit which has the same value for all taxpayers. To reduce their generosity, and thus the distortions across saving vehicles, the value of this tax credit should be set at a lower level than the average tax value of the existing allowance.

To improve the neutrality of the tax system towards housing investment, mortgage interest payments could remain deductible but the income from the investment (imputed rents and capital gains) should be taxed. However, there are strong political and administrative constraints. The taxation of imputed rents is difficult to administer and unlikely to be well understood by the population. Moreover, since a large proportion of the voters also own their dwelling, getting such a change approved in Parliament would certainly be difficult.[137] In addition, introducing an effective tax on imputed rents requires a proper valuation of real estate, which is costly to update annually.[138] To reduce the tax advantages towards home-ownership, Finland could follow measures taken in several EU countries which have left imputed rents tax-exempt but have capped the amount of mortgage interest which can be deducted (*e.g.* Ireland and Spain) while France and the United Kingdom are fully phasing out mortgage interest relief.[139] As an alternative, property taxes – equivalent to taxation of imputed rents given the flat-rate capital income tax – could be raised significantly. This should however be accompanied by the abolition of the net wealth tax, which generates incentives for taxpayers to inflate their liabilities and to invest in low-taxed assets (in particular housing).

Reassess the merits of the imputation system for dividends…

As political pressures to raise the corporate/capital income tax rate further are high, reassessing the current Finnish imputation model, in the light of recent developments in some EU countries, should be useful. Germany and Sweden for instance have recently reintroduced the taxation of dividends while cutting the corporate income tax rate, which has an important signalling function, particularly for foreign investors. Norway has also introduced an 11 per cent flat tax on dividends in 2001 – by reducing the imputation credit from 28 to 17 per cent – and intends to replace it in 2002 by a new system of corporate taxation (OECD, 2001*j*). Such moves away from the imputation system are mainly dictated by the need to make the tax system more attractive for foreign investors, while recognising that, in a world with relatively free capital movements and for a small, open economy, the imputation system is not a perfect solution for reducing the bias towards debt funding.[140] To reduce the discrimination against foreign investment and investors, Finland's imputation system has already been amended several times

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(Helminen, 2001). However, the amendments have raised the complexity of the system. A more radical approach, the reintroduction of the taxation of dividends at the shareholder level, could thus be envisaged. In the current Finnish context, it could offset the existing pressures towards new hikes in the capital and corporate income tax rate and address the redistributive concerns of the Finnish society since it would raise tax revenues mainly from the highest income groups. Meanwhile, the capital and corporate tax rates should not be raised further.

... and remove the non-neutralities concerning entrepreneurial activities

A fair and enforceable income tax for small businesses promotes start-ups, entrepreneurship and risk-taking. This may in turn help to create employment, which is one of the key priorities of the Finnish government. The recent change in the split model for the self-employed is an improvement in this respect as it is more favourable for start-ups and other self-employed with low earnings. However, creating an optional, and reduced, imputed rate to determine the income component to be taxed at the flat rate introduces a new threshold, leading to erratic movements in METRs and thus potential adverse effects on incentives. An alternative solution – giving sole entrepreneurs and partners the possibility to opt for the taxation of their whole income under the earned-income code, as in Sweden – may have been preferable in this regard. This would allow them to bring their tax liabilities in line with wage earners, which would reduce horizontal inequities. On the other hand, the Finnish authorities should resist demands for a special corporate tax treatment by some industries and regions which may prompt tax planning, lead to a serious distortion of competition and make the tax system more complex. While recognising that specific regional taxing powers (*e.g.* for the Åland islands) are rooted in the Constitution, and that tax privileges to some regions or industries are driven by regional development and competitiveness considerations, reassessing their relative merits would be desirable.

Assign municipalities less volatile resources to make their finances more predictable

Providing municipalities with more predictable revenues would help municipalities to plan their spending in a medium-term framework. This would involve reducing the volatility of municipalities' revenues by removing the share of the corporate tax devolved to them as was done in Norway in 1998.[141] This would also prevent municipalities from over-investing in business infrastructure and services to attract companies.

Several options to compensate for the loss of resources affecting municipalities could be envisaged. Municipalities could be given a larger autonomy in setting property tax rates, which are low by international standards and do often not reflect the use of local services and infrastructure by the property owners. Increasing real estate taxes would also serve to mitigate the tax incentives to

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invest in housing and enhance the redistributive role of the tax system. The removal of the exemption of forest and agricultural land from property tax would improve the financial position of rural jurisdictions. Providing room for municipalities to exploit a larger share of the earned-income tax base, which is less volatile than the corporate income tax, could also be envisaged. The taxable units (resident individuals) would then correspond better to the ultimate beneficiaries of the municipalities' core responsibilities, *i.e.* the provision of education, social welfare, and health care services to residents. Such a move would result in important changes in the distribution of tax revenues across municipalities – in particular from business centres to residential areas – and would need to be implemented gradually. Municipalities could also be compensated through higher state grants. Finally, the impact of the tax measures adopted by the central government on municipalities' financial resources, both at an aggregate level and at an individual level, should be made more transparent and commitments on financial compensation, if necessary, should be taken more rapidly.

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Notes

1. In the second quarter, real GDP dropped 1.7 per cent from the previous quarter, the sharpest contraction in the OECD area after Turkey. GDP fell by 0.1 per cent in the first quarter. Based on monthly output statistics, GDP was unchanged in the third quarter.
2. For 2000, there is a major difference in exports of goods on a national accounts basis (a volume growth of 20.6 per cent) and on a customs basis (6.6 per cent). The main reason is the treatment of quality improvements in mobile handsets. In the national accounts, prices are adjusted for quality improvements, leading to a much bigger volume rise.
3. Product cycles are short and innovation is rapid in mobile telephony. In 2001, GPRS (General packet radio service) telephones were introduced, an upgrade of WAP (Wireless application protocol) telephones launched a year earlier. The impact of WAP telephones on sales has been disappointing and GPRS telephones are likely to be only used by a narrow group of business customers in the short term. These innovations are, however, minor compared to the coming leap forward from 2G (second generation) to 3G (third generation) mobile telephony. 3G networks will be much faster, allowing Internet, video and other services to be accessed by mobile telephones. GPRS telephones allow access to a limited extent to the Internet and are therefore often referred to as 2.5G telephones. In October 2001, Japan became the first country to roll-out a 3G system but at a limited scale and without some major services available. The start of the roll-out in European countries is scheduled for the end of 2002 but usage is not likely to reach great scale before 2004. The system to be used in Europe is more complex than the Japanese one as the handset will be able to fall back on the slower second-generation network when the telephone moves out of 3G coverage areas, which will be limited to large cities in the short run.
4. Output of the electronic equipment industry, which is almost completely exported, dropped by 5 and 16 per cent in the first and second quarter of 2001 from the previous quarter, respectively, after increasing by 10 per cent on average in the four preceding quarters. However, production in the third quarter rose 15 per cent from the second quarter.
5. Worldwide sales of mobile handsets are estimated to have dropped by around 5 per cent in 2001, after increasing by almost 50 per cent to 410 million in the previous year. As the retail sector substantially cut its inventory, production dropped even sharper than sales in 2001.
6. However, total exports of goods and services lost market share due to the overexposure to ICT and paper products.
7. With capital gains and income received from stock options included in disposable income, the saving ratio is less volatile, declining from 9.7 per cent of households' disposable income in 1999 to 8.7 per cent in 2000 and to an estimated 8.5 per cent in 2001.

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8. The 60 per cent rise is partly a correction to the fall of 40 per cent between 1989 and 1995.

9. In 1999, measured by the rate of return, Finnish profitability, was the highest in the OECD (National Statistics of the United Kingdom, 2000). In its report, the statistical agency stressed problems of international comparability.

10. Government investment already dropped in 2000 as a major infrastructure project was finalised.

11. On a twelve month basis, inflation peaked at 3.4 per cent in October 2000 and came down to 2.4 per cent in October 2001. Measured by the national consumer price index, which unlike the HICP includes the capital costs of owner-occupied housing and is therefore influenced by changes in mortgage rates, inflation was 3.4 per cent in 2000, 0.4 percentage point higher than measured by the HICP. In October 2001, however, inflation based on the national index was 0.5 percentage point lower than measured by the HICP and at 1.9 per cent at the lowest pace in two years.

12. In both years, the oil price hike was partly offset by electricity prices. In 2000, high reservoir levels in Sweden and Norway due to wet weather led to cheap hydro-electricity imports. In 2001, low precipitation led to a steep rise in electricity prices in the Nordic countries.

13. This number refers to wage rises excluding carry-over effects. As it failed to get an additional wage increase for highly-skilled but low-paid public sector employees, the Confederation of Unions for Academic Professionals (AKAVA) did not sign the central wage agreement but many of its unions signed collective agreements in line with the agreement. As a consequence, the *de facto* coverage of the central wage agreement was 95 per cent. For 2001, the general wage rise was 2.1 per cent with a minimum of EUR 0.2 per hour (Social partners, 2000). Moreover, the social partners agreed to an 0.5 per cent rise to be decided at the sectoral level and an overall wage rise of 0.4 per cent to improve the position of women and lower-paid workers. For 2002, a general wage rise of 1.9 per cent was agreed, with a minimum of EUR 0.18 per hour. On top of this, there will be an overall wage rise of 0.3 per cent for sector-level distribution. The settlement contains an indexation clause: consumer price inflation exceeding 3 per cent over the period January-December 2001 will be fully compensated in 2002 unless contract partners decide otherwise. Based on the estimated inflation in 2001, this indexation clause will not be triggered. To facilitate agreement on a central wage settlement, the government decided to cut income taxes by EUR 1 billion and EUR 0.7 billion in 2001 and 2002, respectively. Moreover, it agreed to raise the earnings-related part of unemployment benefits by 3 percentage points in March 2002 and to prolong the "job rotation" sabbatical leave scheme for two years.

14. Volume is calculated by deflating the various outlay items by their individual deflator.

15. Taxes and proceeds from stock options and capital gains paid by households (accrual basis) have risen from EUR 0.6 billion in 1998 to EUR 1.7 billion in 2000 (9 per cent of the total direct taxes paid by households). Taxes on capital gains (EUR 1.1 billion) were more important than on stock options (EUR 0.6 billion). In September 2001, the Ministry of Finance projected a drop to EUR 1.2 billion in 2001 and EUR 1.0 billion in 2002.

16. Property income received by general government increased by EUR 1.7 billion to EUR 4.9 billion. This was partly due to the EUR 0.4 billion extraordinary dividend of the fully state-owned bank Leonia on the eve of its merger with the private insurance company Sampo.

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17. The debt target was later strengthened by correcting for privatisation proceeds. Corrected for these revenues, the central government debt fell below 50 per cent of GDP only one year later. Uncorrected, the central government debt is estimated at 44 per cent of GDP in 2001 compared to 57 per cent in 1998 and a peak of 68 per cent in 1996.
18. Central government interest expenditure is estimated to have come down by 12 per cent between 1999 and 2001. As a consequence, total expenditure rose only by ¾ per cent despite the increase in non-interest expenditure of 2.8 per cent. Moreover, the government amended the spending target of the Government Programme somewhat in its decision of May 2000 on the use of privatisation proceeds. It increased spending by around EUR 0.2 billion over 2000-03, mostly by increased spending on universities.
19. The OECD's cyclically-adjusted budget balance is falling substantially in 2001 and 2002. Part of this fall is however due to less one-off revenues, and fiscal easing is therefore less than indicated by the OECD's indicator.
20. This projection is the same as the OECD *Economic Outlook* No. 70 projection (December 2001). The cut-off date for information used in the projection was 8 November 2001.
21. The projections are based on the technical assumption of currencies remaining at their level of 2 November, implying an exchange rate of USD 0.90 per euro. For Finland, this means a year-on-year effective nominal appreciation of 0.8 per cent in 2002, following an appreciation of 2.1 per cent in 2001.
22. The OECD's estimates of the size of automatic stabilisers (Van den Noord, 2000) can be used to derive a rule-of-thumb. It is estimated that the government balance improves by 0.6 per cent of GDP for a 1 per cent acceleration in GDP growth. An acceleration of GDP growth from the projected 1¼ per cent in 2002 to the OECD's estimate of potential output growth of 3¼ per cent is therefore estimated to improve the central government balance from a deficit of ¼ per cent of GDP in 2002 to around 1 per cent of GDP when growth is back at potential (assuming that the improvement in the general government balance shows up completely in the central government budget).
23. GDP dropped by 13 per cent between the first quarters of 1990 and 1993, the deepest post-war recession in any OECD country. The slump was caused by over-expansionary macroeconomic policy in the second half of the 1980s, excessive capital inflows and rapid credit expansion related to financial market deregulation and the implosion of trade with the Soviet Union (Honkapohja and Koskela, 1999).
24. Around a fifth of multifactor productivity growth was directly due to the ICT-producing sector in the second half of the 1990s (Pilat and Lee, 2001).
25. The contribution of 0.7 percentage point per year in the second half of the 1990s was slightly higher than the G7 average, but on par with the United States. Due to spillover effects, the total impact on productivity is likely to be larger than these direct effects.
26. Recent OECD research (Guellec and van Pottelsberghe de la Potterie, 2001) reported that a rise of 1 per cent in public R&D increases multifactor productivity by 0.2 per cent on average in 16 OECD countries including Finland, outweighing the cost of public research. The effect is more positive in countries with high business R&D expenditure as this increases the possibility to seize opportunities created by public research. Proper design of public R&D projects is however crucial to reduce crowding out of private R&D. A recent Finnish evaluation also found a positive impact of public R&D outlays on private ones (Prihti *et al.*, 2000).
27. In the early 1990s, Nokia made the strategic decision to concentrate on telecommunication by divesting its other operations (rubber, forest products, cables and television).

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Thereafter, it made the important decision to focus not only on engineering handsets but also on user-friendly design, strong branding, services and consumer-oriented marketing.

28. As for private services, there are substantial problems in measuring productivity in the government sector that are likely to lead to an underestimate. On the basis of national accounts data (where public sector output is based on factor inputs), annual labour productivity growth – measured by output per hour worked – in the non-market and the government sector amounted to 0.3 and 0.7 per cent in 1996-99, respectively. Research by Statistics Finland using output indicators (*e.g.* the number of prisoner-days for the prison system) to measure public sector output implies, however, much higher productivity increases in the public sector (Niemi, 2001). For the central government sector, it found annual labour productivity growth of 2.1 per cent in 1996-99. In 2000, productivity in the government sector – based on the national accounts data and measured by GDP per hour worked – was around a quarter lower than in the market sector.

29. Given the economic developments after 1999, GDP per capita is probably slightly above the euro area average at the moment. Living standards, measured by total consumption per capita, nevertheless, remain below average, reflecting strong net exports.

30. It is however a downward revision of around ½ percentage point.

31. Private sector R&D expenditure more than tripled from EUR 1 billion (1.2 per cent of GDP) in 1991 to an estimated EUR 3 billion (2.4 per cent of GDP) in 2000, with two-thirds of the increase coming from the ICT sector. Over the same period, the government's R&D spending increased by a half from just over EUR 0.3 billion to almost EUR 0.5 billion, while universities doubled their outlays from EUR 0.4 billion to around EUR 0.8 billion.

32. The increase in private R&D expenditure has taken place almost exclusively in the ICT sector, with its R&D spending rising about five-fold in real terms between 1991 and 1999, while in the other industries the increase was one-and-a-half times over the same period.

33. The 0.4 per cent of GDP spending figure refers to R&D carried out directly by governmental bodies. In addition, government funds R&D activities performed mainly by universities and businesses. This funding will amount to around 1 per cent of GDP in 2002.

34. Concentration has probably increased further in 2000. Nokia is estimated to have accounted for about 45 per cent of total private R&D expenditure, compared to a third in 1999 (Ali-Yrkkö, 2001).

35. The government influence on the choice of specific projects is limited as its support to companies as well as to universities is channelled mainly through research councils of the Academy of Finland and through the technology development centres (TEKES) of the Ministry of Trade and Industry. The evaluations have occasionally led to major organisational restructuring in government R&D funding and to suspension of support programmes (Oksanen, 2000).

36. Broad unemployment is defined as unemployed persons, people participating in active labour market programmes and people on unemployment pensions (Ministry of Labour, 2001).

37. Based on information received from the Ministry of Labour. See also Ministry of Labour (2000).

38. Of the long-term unemployed ending their unemployment spell, almost 30 per cent left the labour force, of which almost half moved to the unemployment pension system.

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Of those ending their participation in an ALMP, less than a quarter was employed three months later and 15 per cent had enrolled in another ALMP (Ministry of Labour, 2001).

39. In 1997, the number of months of work or participation in an ALMP needed to requalify for unemployment insurance benefits was increased from six to ten months while the benefit became related to the average earnings in this ten month period rather than to the pre-unemployment earnings. As participation in an ALMP remained limited to six months, the reform may have had some positive effects as it increased incentives to find a (temporary) job after participating in an ALMP.

40. The rate for the high-income bracket will remain at 20 per cent.

41. Financial incentives were also improved by the increases in the standard deduction for work-related expenses, the lowering of social security contributions, the 1998 reform in housing allowances (introduction of an own contribution of 7 per cent of the housing costs for long-term unemployed), and changes in the unemployment benefit system such as the 1998 increase in waiting days from five to seven days, the 1998 scaling down of the benefit indexation from wages to consumer prices and the 1998 lengthening of the compensation suspension period in case of refusal to accept a suitable job. In 1998, incentives for under 25 year-olds without vocational education to seek work were increased by making their labour market support conditional on participation in labour market training. In 2000, financial incentives were weakened somewhat by the reduction in means testing for spouse income.

42. One reason for supplementary measures is that more than half of the unemployed receive the flat-rate labour market support.

43. The inadequate results occurred despite a rise in PES outlays by almost a quarter. The additional resources were required to intensify employment services and to increase the number of counsellors at the employment offices. After this steep rise, these outlays were, however, still slightly below the average of the Nordic countries (OECD, 2001*f*).

44. Job-search activity of registered unemployed is low in Finland. In 1999, almost 40 per cent had not contacted an employer in the last six months; two-thirds did not have a contact in the last month while only 15 per cent made one contact and 23 per cent had two contacts or more (Aho *et al.*, 2000).

45. The job-search plan, which is drawn up before a person has been unemployed for five months, is an agreement between the unemployed and the local employment office on the actions to be taken in order to find work. It sets out the sectors, geographical areas and methods the job-seeker's search for work will centre on and it outlines the required training. Skill mapping (the evaluation of the job-seeker's vocational qualifications, educational background, skills and individual problems in returning to work) is carried out jointly by the employment office and the job-seeker soon after the unemployment spell starts.

46. In order to increase efficiency, far-reaching changes in the organisational structure of employment services are also proposed, with the number of independent employment offices to be cut back from the current 175 to around 110 by 2005, while the number of small branch offices, relying largely on an extensive use of the Internet and telecommunications technology by the customers themselves, will be increased to provide an adequate level of services. Moreover, the Public Employment Service will set up joint services outlets with local governments and the Social Insurance Institution of Finland (KELA).

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47. The introduction of limited competition in the publicly-financed provision of reintegration services will be a three-year experiment at a cost of around EUR 17 million per year.

48. For details of the Australian reform see Box 5 of OECD (2001*k*) and (2001*l*).

49. The government has proposed to Parliament changes in the Unemployment Security Act and the Act on Labour Market Support that will oblige job-seekers to follow their plan in order to be eligible for an unemployment benefit. The change in legislation is planned to come into force at the beginning of 2002.

50. The drop in public sector ALMPs was, however, smaller than the drop in public sector jobs indicate as 3 500 persons in the public sector were in the "combined subsidy" programme.

51. See also Antolin *et al.* (2001).

52. The main measures were: new pensioners will no longer accrue unemployment pension rights during the years they receive an unemployment pension, lowering the unemployment pensions by 7 per cent; increased disincentives for large employers to use the unemployment pension scheme; the increase of the age limit of the individual early retirement pension from 58 to 60 years in 2003; and the introduction of labour market measures and job-search assistance for those 55 to 59 years-old. Concerning this latter measure, the Ministry of Social Affairs and Health underspent in 2001 on ALMPs for older unemployed due to lack of interest on their behalf.

53. The only privatisation was the sale of slightly more than a quarter of its shares in Patria Industries to EADS (European Aeronautic Defence and Space company). Moreover, the sale of one-third of its shares in Vapo to the Metsäliitto Group (pulp and paper, mechanical wood processing) was envisaged. In August 2001, the state agreed in principle to merge Kemira (chemical industry) with chemical companies owned by the Swedish private equity company Industri Kapital but in December 2001, it withdrew its proposal after resistance in Parliament. In October 2001, the government requested permission from Parliament to give up ownership of Avena Ltd. (grain trade and storage). On the other hand, in November 2001, the government got an approval from Parliament for a capital injection of EUR 0.5 billion in Sonera to fully subscribe to the Sonera rights issue.

54. In 2000, privatisation measures were already limited but proceeds were nevertheless substantial as 3½ per cent of the shares in Sonera were sold at EUR 92 per share, close to the all-time high of EUR 97 of March 2000 and 12 times the initial placement price in 1998. At the end of November 2001, the share price was EUR 5.8, clearly above its trough of EUR 2.75 reached in September.

55. Estimate based on share prices at the end of November. A complete privatisation of all listed public enterprises would generate EUR 11 billion. In early 2000, the total value of non-listed state companies (for instance Alko, Posti and VR Group) was estimated at EUR 8 billion.

56. According to a study conducted in 2000 by the Finnish consulting company Balance Consulting, Finnish state-owned companies have poor profitability. In 1998 and 1999, they had half of the return on equity of all listed Finnish companies and a quarter of that of foreign-owned companies operating in Finland.

57. Some OECD countries have recently increased the distance between the government's role as regulator and owner. For instance, in Norway, the responsibility for managing the state's shareholding in the partially state-owned telecommunications company was

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transferred from the Ministry of Transport and Communications to the Ministry of Trade and Industry.

58. In February 2001, the Ministry of Transport and Communications approved a new option scheme for Sonera as existing options had become worthless due to the sharp fall in the share price. This led to a strong public reaction and the government cancelled the new options scheme. Under a centralised approach to state ownership, such a mishap may have been prevented.
59. For a detailed description, see Box 1 of the previous *Survey* (OECD, 2000*c*). The Finnish electricity market is considered a best practice example in IEA (2001).
60. In June 2000, Suomen Suoramainonta Ltd. was granted a license to provide restricted services in main population centres but did not enter the market as in their view the 20 per cent universal service charge would make the services unprofitable.
61. Shops with less than 400 square metres of floor space are now allowed to be open every Sunday instead of a limited number of Sundays.
62. Previously, it was already possible to get Internet services from another Internet service provider (ISP). The amendment now allows total unbundling including full access to the local loop *i.e.* the provision of voice and other services or "line sharing" which allow an ISP to provide high speed Internet access while the line owner retains the customer for voice.
63. Both the maintenance of the railway network and the traffic are carried out by the state-owned VR Group. In the field of alcoholic beverage sales, the state-owned Alko has a monopoly in retail sales, while wholesales have been opened for competition.
64. Sonera also filed an appeal against the decision by the Finnish Communication Regulatory Authority concerning its mobile interconnection fees.
65. The Competition Council approved the acquisition under conditions. The conditions were, however, such that the acquisition was cancelled.
66. In 1997-99, state aid to the manufacturing sector in Finland was 1.6 per cent of value added of the manufacturing sector (0.3 per cent of GDP), while in the four EU countries with the highest share (Denmark, Germany, Greece and Italy) it ranged from 2.4 to 4.3 per cent of value added (European Commission, 2001 and 2001*b*).
67. Of the national support, EUR 0.6 billion was purely national transitional aid, while EUR 0.4 billion was the national part of co-funded programmes aimed at the environment and the least favoured areas. Of the EU aid, EUR 0.4 billion came from CAP support and EUR 0.3 billion was due to the contribution of co-funded activities. In addition to an EUR 1.6 billion income subsidy, the agricultural sector receives other forms of financial assistance, most important being investment and export subsidies, which amounted together to EUR 0.2 billion in 2000. The total agricultural budget including administrative expenses reached EUR 2.3 billion in 2000.
68. All farms in Finland are eligible for CAP subsidies, environmental aid and national aid, while the LFA support covers about 85 per cent of all arable land. The CAP support is entirely paid from the EU budget. About one-third of the aid for less favoured areas and a half of environmental aid is financed by the EU, the rest being funded by the member state.
69. The ISA and the FSA are responsible for supervision of the insurance and banking sector, respectively. The Insurance Department of the Ministry of Social Affairs and Health and the Financial Department of the Ministry of Finance prepare legislation and regulation concerning the insurance and banking sectors, respectively. The ISA was created in 1999 to replace direct supervision by the Ministry of Social Affairs and Health.

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70. In December 2000, the Ministry of Finance submitted this proposal to the ministerial committee for economic policy. After discussion, the committee asked the state secretaries of the two ministries concerned to discuss the proposal further. In April 2001, the European Commission issued a proposal for an EU directive on financial conglomerates to promote financial stability.

71. There is, however, no unanimity about the desirability of switching to a single supervisory authority. See for instance Duisenberg (2001).

72. Moreover, the Finnish supervisory authorities have a number of bilateral and multilateral co-operation agreements, reflected in Memoranda of Understanding (MoUs). In addition to a multilateral MoU with the other four Nordic countries, the FSA has currently bilateral MoUs with eight countries: Estonia, France, Germany, Latvia, Lithuania, Luxembourg, Netherlands and United Kingdom.

73. In October 2001, the EU's Council of Ministers formally adopted the regulation to establish the European Company Statute due to enter into force in 2004. The regulation gives companies operating in more than one member state the option of being established as a single company under Community law and operating throughout the EU with one set of rules and a unified reporting system. This will avoid setting up a network of subsidiaries and should lead to a significant reduction in administrative and legal costs.

74. In 1995, the two largest commercial banks, Kansallis-Osake-Pankki and Union Bank of Finland, merged to form Merita Bank. In 1997, the state-owned Postipankki acquired Finnish Export Credit (the new group was renamed as Leonia Bank in 1998). In 1997, local cooperative banks created the OKO Banking Group; some cooperative banks, however, broke rank and established a group of local cooperative banks, which currently consists of 43 local co-operative banks with Aktia Savings Bank acting as the group's central financial institution. In 1997, Merita Bank and Nordbanken (one of the biggest Swedish commercial banks) merged to form MeritaNordbanken (later renamed as Nordea). In 1998, the commercial bank Interbank and the investment bank Mandatum merged under the name Mandatum Bank. At the beginning of 2001, the private insurance company Sampo and the fully state-owned Leonia merged and formed the first Finnish financial conglomerate Sampo. In February 2001, the Mandatum Bank became a subsidiary of Sampo. In June 2001, the insurance company Pohjola made a takeover bid for the investment bank Conventum.

75. Nordea is currently the biggest financial conglomerate in the Nordic region. On the banking market, it has a market share of 40 per cent in Finland, 25 per cent in Denmark, 20 per cent in Sweden and 15 per cent in Norway. For life insurance, its market share is 35 per cent in Finland, 10 per cent in Denmark, 9 per cent in Norway and 6 per cent in Sweden. For general insurance, it has a market share of 22 per cent in Denmark and 19 per cent in Norway.

76. In October 2001, after negative financial market developments and strong political opposition in Norway, Sampo withdrew a friendly merger bid for the Norwegian insurance company Storebrand made in May 2001. In November 2001, Sampo decided to integrate its non-life insurance in IF, the largest non-life insurance group in the Nordic countries. As a result, Sampo will hold 50 per cent of the votes in IF.

77. In May 2001, the FSA started to investigate whether Finnish banks have used their payment transaction network to impose insurance and investment services. On the other hand, in 2001, the European Commission ended its investigation into the participation of Nordea in an alleged cartel concerning the fees for exchanging euro area currencies.

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78. Finnish payment transaction services already widely use new ICT applications, with almost 90 per cent of all payment transactions done electronically (Finnish Bankers' Association, 2001). The use of bank notes is the lowest in the EU countries and households no longer use cheques. Invoices are increasingly being paid electronically. The use of Internet banking and telebanking services has continued to increase rapidly, with the number of customers reaching 2.5 million in 2000, up by almost a third from the previous year. Virtually all banking services can be used via the Internet without visiting a bank office. With the rapid rise of Internet and telebanking customers, the number of automatic teller machines (ATMs) and giro ATMs has declined in recent years, contrary to the developments in most other European countries. Since the beginning of 1990s, both the number of branches and employment in the banking sector halved, whereas in the EU on average they have remained broadly stable. At the moment, the banking sector employs only five persons per 1 000 inhabitants, the lowest figure in the EU.

79. Shareholders are all main financial sector companies, the Bank of Finland, the state treasury and OM Gruppen (the operator of the Swedish stock exchange).

80. At the end of 2000, over 70 per cent of the shares quoted on the Helsinki Stock Exchange were owned by foreigners. The foreign brokerage companies accounted for approximately one-third of the equity turnover in the first half of 2001.

81. While the HEX has many remote brokers, it has only limited alliances with other stock markets. For derivatives, it co-operates with Eurex (owned by Deutsche Börse and the Swiss Exchange). In September 2001, it signed a cross membership and trading agreement with Euronext. It does, however, not participate in Norex, the alliance of the stock markets of the four other Nordic countries but it is in discussion with other Nordic stock exchanges on the merger of settlement systems.

82. Measured by public procurement tenders published in the Official Journal of the European Communities as a percentage of GDP, it is the fourth lowest in the EU after Germany, Netherlands and Austria (European Commission, 2001).

83. In 1998, the service acquisition of municipalities accounted for less than one-third of local government total operating expenses (Ministry of Finance, 2000*c*). Outsourcing by local government consists mainly of transport and child day care services as well as auxiliary services such as cleaning, laundry and maintenance tasks.

84. Qualifying foreign specialists and executives may apply for a special 35 per cent flat rate tax on their remuneration from work performed in Finland for a maximum period of 24 months, instead of the ordinary progressive taxation and social security contributions. Above an annual pre-tax income of around EUR 29 000 (Juusela, 2000), tax liabilities for "foreign key persons" are below those for nationals. In 1999, the number of foreign specialists benefiting from this special tax regime stood at only 150 but was growing rapidly (*Helsingin Sanomat*, 14 August 2001, online International edition).

85. Elcoteq, a company specialised in electronic equipment, has moved some of its factories to Estonia and more recently to Hungary. Nokia still has its research activities mainly based in Finland but is considering moving more of them abroad.

86. The share of alcoholic beverages consumed by Finns but not subject to Finnish taxes (either home-made or bought abroad) is already high. Hella and Mankinen (1997) estimated this share at 23 per cent in 1996, of which 60 per cent was due to imports.

87. Current rules on the taxation of services delivered online give a competitive advantage to providers established outside the EU area and, within the EU area, to those countries with a low VAT rate. This results from the fact that, for services delivered online,

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the VAT rate which applies is the one in place in the country where the supplier is located. However, a proposal made by the Swedish authorities during their Presidency of the Council of the European Union during the first half of 2001, if implemented, should lessen potential revenue losses for Finland. It would require vendors of online digitised products (B2C) established outside the EU to charge VAT at the rate applicable in the customer's country of residence and to reallocate tax revenues to this country. However, despite broad support of most EU countries, there is currently no agreed approach to tackling VAT on e-commerce while any decision on tax matters at the EU level requires unanimity.

88. Comparisons of tax-to-GDP ratios across countries should be made with great care. In particular, the taxation of social transfers, together with the extent to which countries provide social or economic assistance via tax expenditures, rather than direct government spending, may significantly blur international comparisons (Adema, 2000 and 2001). As an illustration, Adema (2000) estimated that in 1995 taxes and social security contributions on transfers exceeded 5 per cent of GDP in Denmark, Finland, Netherlands, and Sweden. They did not exceed 2 per cent in Belgium, Canada, and Germany; they were even lower in Australia, Ireland, United Kingdom and United States.

89. Carey and Tchiliguirian (2000) estimate that the average effective tax rate on labour stood at almost 43 per cent in Finland over 1991-97, compared with 37 per cent for the EU average, and less than 25 per cent for Japan and the United States. They also spell out methodological choices and problems with such comparisons.

90. Cuts in statutory rates have been implemented at the state level. The top earned-income tax rate has been cut by 1.5 percentage point, compared with 2 percentage points for all the other brackets, between 1997 to 2001. In its draft budget, the government proposes to cut all rates by 1 percentage point in 2002.

91. In 2002, it is set to cancel out when an individual's labour income reaches EUR 72 000, up from EUR 13 500 in the early 1990s.

92. An alternative approach would be to consider the EITA as a general tax cut. In this approach, deadweight costs would be considered smaller but the design would be seen as increasing distortions given the impact on marginal tax rates.

93. Tax brackets were frozen in 1992 and 1993. For subsequent years, the adjustment of tax brackets has often exceeded inflation developments, though the 1992-93 freeze has not been fully recouped over the 1990s. Furthermore, the adjustment is not linear across tax brackets, with a privileged treatment often granted to lower brackets. Partly as a result, the number of people falling into the three highest brackets has risen since the early 1990s (from 38.6 per cent of total taxpayers in 1991, to 43.9 per cent in 1999).

94. In addition, stock options are not granted any favourable tax treatment while they are in some other OECD countries (the taxation of stock options in place in OECD countries is discussed in Van den Noord and Heady, 2001). Nevertheless, the use of stock options has become more common in Finland since the mid-1990s. At Nokia, option use expanded from 350 key employees in 1995 to 16 000 workers in 1999 (*i.e.* 30 per cent of the workforce). Direct taxes on stock options were an estimated EUR 0.6 billion in 2000, 3 per cent of total direct taxes paid by households.

95. During the deep recession of the early 1990s, eligibility conditions for social benefits were tightened, by relying more on means-testing. As a side effect, this move may have exacerbated unemployment traps. Holm *et al.* (1999) estimated that about 15 per cent of the unemployed were unable to increase their disposable income by more than 10 per cent through employment in the early 1990s, because household transfers and childcare costs were usually means-tested.

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96. The example refers to a couple with two children in the greater Helsinki area who receive the maximum compensation for housing support and when one of the parents is on labour market support.

97. Persons receiving a low pension are entitled to a special deduction to the earned-income tax. In fact, if the income consists of national pension only, no income tax is due. For pensions above this level, the tax allowance is gradually phased out.

98. The EMU (Economic and Monetary Union) buffer funds in the unemployment insurance and the earnings-related pension schemes were introduced in 1999. The aim is to smooth premiums over the business cycle and to prevent pro-cyclical increases during downturns. The statutory authorised maximum size is ½ per cent of GDP for both funds. Social security contribution rates were cut; as a consequence, revenues declined by EUR 0.2 and 0.3 billion in 2000 and 2001, respectively.

99. For an overview of the tax measures implemented in other EU countries, see Joumard (2001) and IMF (2001). For an assessment of the potential impact of such schemes in the Finnish context, see Holm *et al.* (1995) and Honkapohja *et al.* (1999), cited in Kuismanen (2000).

100. The Income Tax Act provides for a maximum tax deduction on domestic work of EUR 850 in 2001.

101. See also OECD (1994).

102. While adopting the VAT, the authorities wanted to avoid a price hike for some commodities and services, and thus introduced VAT rebates. A 17 per cent reduced rate applies on foodstuffs. An 8 per cent reduced VAT rate applies on: books; medicines; passenger transport; use of sporting facilities; admissions to sporting events, cultural and entertainment performances; licence fees of radio and television; and hotel accommodation. A zero rate applies on subscriptions to newspapers and periodicals. In addition, as allowed by the EC VAT Directive, education, health care and social services are exempt from VAT.

103. Taxes are levied on beverage and other packaging containers with different rates according to whether or not the container is recyclable or part of a return system.

104. The CO_2 tax on liquid transport fuels is staggered by petrol and diesel grade, with lower rates applied to low sulphur diesel and reformulated (less polluting) gasoline. There are also tax allowances to the registration car tax granted to cars with catalytic converters so as to promote abatement of nitrogen oxide (NO_x) emissions. In addition, Finland also imposes an oil damage levy for oil transported in vessels with a higher rate for those without a double bottom.

105. Like Denmark and the Netherlands, Finland exempts the following carbon emitting fuels from taxation: energy used in generation and distribution of electricity, aviation fuel, energy used by commercial fishing, as well as coal and coke used in the production of cement (OECD, 2001*m*).

106. In addition, the annual tax on diesel vehicles is much lower for lorries and vans than for passenger cars: it varies from EUR 4.5 to 10.6 per 100 kg for the former, up to EUR 25 per kg for passenger cars. There is also a registration car tax (nearly equal to the market price of the car). However, this may have an adverse impact by slowing down the renewal of the car fleet towards less polluting vehicles.

107. For a more detailed discussion of this issue, see OECD (2001*n*) and O'Brien and Vourc'h (2001).

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108. The withholding rate on interest income was raised (in 1994) to the rate which applied to dividends and capital gains, largely reflecting the concern of a possible aggravation of the crisis in the banking sector.

109. The tax exemption for interest on bank deposits was removed in June 2000.

110. Premiums paid for a private pension insurance (own and spouse's) are deductible up to EUR 8 400 from the earned-income tax base. In 1999, households' deduction from the earned-income tax for voluntary pension premiums amounted to EUR 325 million. In 2000, eligibility conditions were tightened to reduce incentives to retire early. Voluntary premiums are now deductible (up to EUR 8 400) if the associated pension is not paid out before the age of 60 and does not lift the total pension above 60 per cent of the pensionable wage.

111. To avoid abrupt price movements on the housing market and balance sheet problems for indebted households, an additional deduction was introduced lasting for a five-year period.

112. The calculations of the tax expenditure associated with the exemption of imputed rent for owner-occupied housing are based on the State Housing Board's dwelling valuations, with a 3 per cent rate of return assumed (VATT, 1999).

113. Real estate tax rates ranged between 2.6 and 4 per cent in Denmark, 0.98 and 2.1 per cent in Germany, 0.4 and 0.7 per cent in Italy, and 0.5 and 1.2 per cent in Sweden.

114. Interest on debt is deductible from the corporate income tax base but is taxed at the individual level.

115. It was originally planned that Finland's imputation credits would be extended to cross-border dividends by bilateral treaties on the basis of reciprocity. In practice, such tax treaty rules have remained rare and have been included only in the treaties with France and Ireland (Helminen, 2001).

116. Shares held by foreign shareholders are sold temporarily to a resident, before dividend distribution, who will profit from the imputation credit. After the distribution, the sale is reversed. For some evidence on such trading for Germany before the replacement of imputation credits by the half-rate system, see McDonald (2000).

117. Norway has introduced relief for this form of double taxation by way of the so-called "opening value adjustment" method. A more simple solution to remove this double taxation would be to abolish the tax on capital gains. No tax applies in several OECD countries (*e.g.* in Austria and Germany after a certain holding period). A serious side effect of this solution is, however, that it gives scope for re-labelling income as capital gains for tax-avoidance purposes.

118. For an in-depth discussion, see Myhrman *et al.* (1995).

119. The dividend deduction system was in place up to 1990 to eliminate the double taxation of dividends. Under this system, a company did not pay corporate state tax on dividends distributed to new shares and the distributing company was entitled to deduct 60 per cent of the distributed dividends on old shares from its revenues. At the final investor level, a large part of the dividends received also remained tax free, reflecting the capital income tax allowance. Overall, about 65 per cent of distributed profits were fully tax exempt or subject to low taxation under this system (Myrhman *et al.*, 1995).

120. Business expenditure on R&D in Finland as a share of GDP however ranks second in the EU and sixth in the OECD area (see Chapter II).

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121. Finnish shipping companies' tax burden was cut in 2000 when the government replaced the normal corporate income tax system by a tax on net tonnage. Other countries, in particular Denmark, the Netherlands and Sweden, have implemented similar tax incentives. In May 2001, the Finnish government extended the tonnage tax to all products and services sold on passenger vessels, such as restaurant, bar and amusement services.

122. The imputed rate of return on net business assets was originally set at 15 per cent, but the rate was raised to 18 per cent in 1997. In Sweden where the split model also applies on the company's net wealth, the imputed rate of return is set equal to the interest rate on 10-year government bonds plus a premium of 1 percentage point (Hagen and Sørensen, 1998).

123. Over 1985-92, municipalities' grants consisted almost totally of earmarked categorical matching grants. After the 1993, 1996 and 1997 reforms of the grant system, grants have been mostly formula based specific grants with no earmarking. Moisio (2000) showed that during 1993-99, the causality between local governments' revenues and expenditures was bi-directional, suggesting that taxing and spending decisions were made simultaneously. Under the previous period of matching grants, the causality ran from past expenditure to present revenues.

124. According to some estimates, about 200 municipalities (out of 450) did not receive higher tax revenues in 2000 despite the boom in tax revenues at the national level.

125. In 2000, 192 municipalities (out of 450) ran a fiscal deficit, up from 87 in 1999 (reported in *Helsingin Sanomat*, online International edition, 18 April 2001).

126. Surveys indicate that a majority of persons would be willing to pay higher tax rates if this would guarantee a better quality of public health services.

127. Municipalities can borrow without any legal restriction on domestic and international capital markets. Their loans do not benefit from an explicit state guarantee. Municipalities' borrowing is co-ordinated by the municipalities' organisation and their credit rating is better than that of the state.

128. In spring 2001, the Ministry of Finance created a working group to assess corporate and capital income taxation, while taking into account tax issues related to international competitiveness. In August 2001, the Economic Council – an advisory body comprising government ministers, top civil servants, representatives of social partners and other key organisations – created another working group to assess the need to reform the tax system, with a broader perspective. In particular, it is expected to study the impact of taxes on employment and to assess the financial basis for maintaining the welfare state. Both groups are expected to submit their report by the end of 2002, so that the proposals could be used in the public policy debate at the eve of the Parliamentary elections scheduled for spring 2003.

129. Bassanini *et al.* (1999) simulate the hypothetical introduction of a stylised Earned-Income Tax Credit (EITC) in four countries (Germany, Sweden, the United Kingdom and the United States). The results suggest that the impact on overall hours worked is likely to be positive in countries with a wide earnings distribution. However, the introduction of an EITC would not increase total labour supply in Germany and, especially, in Sweden where there could even be a fall. In fact, an increase in labour supply of low-paid workers will be compensated by a decrease in hours worked amongst those who will finance the EITC.

130. Overall, for the national pension system, the state pays 29 per cent of pension expenditure plus an annual subsidy to cover any deficit, plus a specific allowance. In total,

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in 1999 the state covered about 45 per cent of the costs. For earnings-related pension schemes, in 1999 the state covered 16 per cent of the costs for the self-employed, 74 per cent for farmers and 33 per cent for seamen. The state fully finances the unemployment assistance scheme and, for the earnings-related insurance, pays the cost of basic daily allowances for the first 500 days plus a subsidy for administration expenses.

131. The CO_2 emissions to GDP ratio remained broadly stable between 1990 and 1998 in Finland, while it dropped by more than 10 per cent in the European Union and the United States.

132. The decision on the set of measures to contain greenhouse gas emissions, and in particular the changes in energy taxation, are likely to be reflected in the budget proposals for 2003.

133. One example of such compensation schemes is the Swedish NO_x charge imposed on combustion plants since 1992. The charge paid by these plants is reimbursed to the payers in proportion to their share of total energy produced (Roseveare, 2001). While it does not penalise the industry as a whole, it keeps the right incentives to abate emissions since any producer with emissions lower than the industry average will receive net benefits, while those with higher emissions face a net cost. Likewise, in 2000 the French government envisaged extending the general tax on polluting activities to fossil fuels and electricity and to issue tax credits based on a percentage of past emissions (though the bill was subsequently ruled unconstitutional by the Constitutional Court).

134. Honkatukia (2000) considers the impact across sectors of a hypothetical doubling in current Finnish carbon taxes under the assumption that tax revenues are recycled via a cut in employers' social security contributions. Honkatukia analyses the net impact of higher environmentally related taxation on each sector under two alternative scenarios: one where the supplementary carbon tax is levied only on fuels and one where the supplementary carbon tax is also levied on electricity. The results show that the supplementary tax on fuels raises net taxes for the paper and transport sectors whilst the electrical and electronics industry and the private service sector gain. Under the "supplementary carbon taxes on both fuels and electricity" scenario the paper and heavy metals industries are considerable net tax payers, whilst the impact on the transport sector is lower than under the "fuel only" supplement.

135. Saving in voluntary pension funds and in home ownership tends to increase as a share of an individual's income along the income ladder. In addition, tax allowances for voluntary pensions, in a progressive system, are worth more to higher-income taxpayers than those with lower incomes.

136. Private pension insurance premiums paid to a foreign pension insurance institution are not deductible for the insured individual unless the insurance is purchased from a permanent establishment in Finland of a foreign institution.

137. By international standards, there is a relatively high share of home-ownership in Finland (about two-thirds).

138. In 2000, collection costs of the property taxes were 2.1 per cent of revenues compared to 0.7 per cent and 0.6 per cent for income tax and VAT, respectively.

139. The maximum amount of capital income loss (including interest payments) which can be deducted from labour income is equivalent to a cap on mortgage interest relief for individuals with no or very low gross capital income. However, the maximum loss deductible in this manner for a married couple with two children, at EUR 3 400 is high

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(EUR 1 350 per taxpayer, plus EUR 350 for one child and EUR 750 for two or more children). In addition, for individuals receiving dividends, capital gains or other forms of capital income, mortgage interest payments also contribute to reduce their tax liability on their capital income component, without any cap.

140. If companies are able to finance their investment on international capital markets, the personal tax treatment of investment income at home may not much affect their financing behaviour (for a discussion of this issue, see OECD 2000*d*). On the other hand, for small companies with limited access to foreign capital markets, the imputation system is likely to be a first best since they usually depend more on equity (largely reflecting reduced access and less favourable terms on debt financing). However, start-ups and fast growing companies tend to distribute few dividends and rely largely on retained earnings. For them, the double taxation of retained earnings becomes an important issue.

141. The need to split revenues when a company operates in several jurisdictions poses additional problems: it contributes to the delays in redistributing tax revenues to municipalities and reportedly generates some mistrust in the tax administration.

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Glossary of acronyms and terms

3G	Third generation
ALMP	Active labour market programme
APW	Average production worker
ATM	Automatic teller machine
CAP	Common agricultural policy
CO_2	Carbon dioxide
DIT	Dual income tax
e-commerce	Electronic commerce
EC	European Commission
ECB	European Central Bank
EITA	Earned-income tax allowance
EMU	Economic and Monetary Union
EU	European Union
EUR	Euro
FCA	Finnish Competition Authority
FSA	Financial Supervision Authority
G7	Major seven countries (Canada, France, Germany, Italy, Japan, United Kingdom and United States)
GDP	Gross domestic product
GPRS	General packet radio services
HEX	Helsinki stock exchange
HICP	Harmonised index of consumer prices
ICT	Information and communication technology
ISA	Insurance Supervision Authority
ISP	Internet service provider
kg	Kilogram
LFA	Least favoured area
M&A	Merger and acquisition
METR	Marginal effective tax rates
MoU	Memoranda of understanding
NAIRU	Non-accelerating inflation rate of unemployment
NO_x	Nitrogen oxide
PES	Public Employment Service
PPP	Purchasing power parity
R&D	Research and development
SA	Seasonally adjusted
TEKES	Technology development centres of the Ministry of Trade and Industry
VAT	Value added tax
USD	United States dollar
WAP	Wireless application protocol

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Annex I

Recommendations of the working groups on pensions and unemployment benefits made in November 2001

In November 2001, the two working groups established to come up with proposals for reform of pensions and the unemployment benefit systems submitted their proposals to the government (Working groups on reform of pension and unemployment benefits, 2001; Ministry of Finance, 2001*c*).

Concerning pensions, the major recommendations are:

- To replace the standard retirement age of 65 years by a flexible retirement age of 63 to 68 years, with a possibility for early retirement at the age of 62. The early retirement pension will be 0.6 per cent less per month of early retirement than the old-age pension of 63 year-olds, *i.e.* 7.2 per cent less in case of retirement at age 62. Early retirement will however not influence the old-age pension.
- To accrue pension rights from the age of 18 instead of the current age of 23, from 2005 onwards, for all employees working at that time.
- Unlike at present, to accrue pension rights during periods of sickness leave, parental leave, child home care leave and during study for a maximum of five years.
- To abolish the present pension ceiling of 60 per cent of pensionable earnings in 2005. Currently, a person starting to work at the age of 23 and working without breaks, hits the ceiling at the age of 61.
- To set the pension rights accrual at 4.5 percentage points for those working beyond the age of 63, still somewhat below the actuarially fair rate. Presently, a higher rate of 2.5 per cent applies for those who are at least 60 years old. The pension accrual rate for those below 63 years of age will be 1.5 percentage points as is currently the case for those below age 60.
- As a result of these changes, a person uninterruptedly employed from the age of 18 will get a pension of 67.5 per cent of pensionable earnings in case of retiring at 63 years of age and 90 per cent in case of retirement at the age of 68. This maximum rate of 90 per cent is remarkably high in international comparison.
- To change the indexation of pensions from 2005 onwards, with all pension benefits indexed as the old-age pension in the current system: 20 per cent indexation to wages and 80 per cent indexation to consumer prices. Presently, other pensions than the old age pension are indexed 50 per cent to wages and 50 per cent to consumer prices. No proposal was made to change the indexation of pensionable earnings (pension rights).
- To introduce in 2005, an option to take into account the entire period of employment when calculating the pensionable earnings. Currently, it is based on the last ten years

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of employment in each job. High-paid employees in the public sector would be most affected by this change. Until 2010, pensioners can choose a pension based on the "entire working life" or "last ten years". Thereafter, only one model will be applied, but no agreement was reached on what the model will be. Negotiations on this will continue with the deadline set at the end of 2008.

- To abolish at the end of 2003 the present individual early retirement pension scheme that allows retirement at the age of 60 for those with significantly reduced work capacity. However, at the same time, the eligibility rules for the disability pension will be relaxed.
- Not to prolong the temporary reduction in the minimum age limit for part-time pensions from 58 to 56 years after 2004.
- To abolish gradually during 2009-14 the unemployment pension scheme currently available for those aged 60 to 64 and to replace it by the right to an extended unemployment benefit continuing to the age of 65.
- To increase in 2005 the minimum age at which unemployed are no longer required to look actively for work (the unemployment "pipeline" to pension) from 55 to 57 years. In the new system, unemployed persons after having used their extended unemployment benefit right are eligible for the full old age pension of a 63 year-old at the age of 62. To be eligible for the extended period of unemployment benefit, the claimant has to have five years of work history during the last 15 years. The current legislation applies to those who were born in 1949 or earlier.
- No proposal was made on the pension accrual base during periods of unemployment. One option is to shift from the current original wage to the unemployment benefit which will lower the accrual.

Concerning the unemployment benefit scheme, the major recommendations are:

- To increase for some workers unemployment benefits for the first 130 days. This increase will be for those who have a work history of at least 20 years and will replace the current lump sum rewarded to those who are made redundant for economic reasons.
- To shorten the period of employment required to qualify or re-qualify for unemployment allowance from 10 to 8 months. The eligibility requirement for those who claim a benefit for the first time will still remain at 10 months. In 1997, the eligibility requirement was increased from 6 to 10 months. Unemployment benefits remain based on the qualification period.
- To make it more attractive for unemployed to accept a temporary or a part time job, an income-tested unemployment benefit can be paid in advance before information on salary payment has arrived at an unemployment benefit agency.

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Annex II

Main public sector reforms in Finland since 1990

1990 As part of the budgetary reform, the government adopts a framework budgeting procedure, in which, before starting the yearly budgetary process, the government agrees on politically binding budgetary ceilings for the following three years. The multi-annual expenditure framework gives ministries full responsibility in steering and controlling the budget in their own administrative field.

1992 The privatisation programme is initiated.

The decentralisation of decision-making and strengthening of municipal self-governance begins, combined with the gradual replacement of earmarked state grants by block grants to fund local government spending.

1993 Municipalities are allowed to purchase all statutory services (social welfare, health care and basic education services) from private service providers. Before, they had to produce them themselves or in collaboration with other municipalities. Government agencies and other central government bodies are also released from the obligation of using centralised services.

1994 The evaluation programme of Finnish public management reforms is launched. The programme continued until 1997.

In order to promote the independence of government agencies, personnel policy is delegated from the central government to the agencies themselves.

1995 Performance management is introduced for the whole central government as it is considered one of the main instruments for enhancing strategic thinking, prioritisation and strengthening managerial responsibility.

All government services are made subject to a charge and the cost accountability for services that previously were centrally funded is delegated to the individual government agencies.

1997 The number of provinces is reduced from twelve to six. The regional administration is also streamlined by bringing together six separate authorities with 77 regional offices from three administrative domains into one authority, the Regional Employment and Business Development Centre, operating in 15 regions.

1998 State agencies' accounting and bookkeeping systems are reformed to increase cost-consciousness and efficiency, and to bring the public accountancy as close as possible to the accrual accounting system used by private enterprises.

1999 The government takes framework budgeting a step further by starting to develop a new method for resource allocation for those major policy areas which cross the organisational borders of the ministries. Parliament becomes more closely involved in the

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budget process, to increase the political legitimacy and strengthen its commitment to multi-annual budget planning.

2001 The Finnish national road administration is split into a government office responsible for road planning and contracting, the Finnish Road Administration, and a separate state-owned enterprise, the Finnish Road Enterprise, engaged in road construction and maintenance. At the same time, tendering of road construction and maintenance works is extended, but the Road Enterprise will remain in a favourable position at least for the four-year transitional period.

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Annex III

Calendar of main economic events

2000

June

Prime Minister Paavo Lipponen pronounces for bolder tax cuts than envisaged in the Government Programme and for setting the long-term goal of bringing the tax burden, down to the EU level.

The ECB's official interest rates are increased. The main refinancing rate is raised by 0.5 percentage point to 4.25 per cent.

The Income Tax Act is revised with the maximum sums raised for the standard deduction for work-related expenses (up from EUR 353 to EUR 404) and for the earned-income deduction (from EUR 1 446 to EUR 1 648). The marginal tax rates in the progressive income tax scales for 2000 are lowered by half a percentage point for all income brackets. In addition, the cap in the deductions for travel expenses between home and work are raised. The withholding rates for personal earnings in the tax rates for 2000 are also lowered by 1 percentage point.

July

The government approves measures to ease Finnish shipping companies' tax burden by replacing the normal corporate income tax system by a tax on net tonnage as of 1 January 2001. In May 2001, the Finnish government extended the tonnage tax to all products and services sold on passenger vessels, such as restaurant, bar and amusement services. Normal corporate taxes are still levied on profit distribution.

August

The ECB decides to raise the interest rate on the main refinancing operations by 0.25 percentage point to 4.50 per cent.

September

The Ministry of Finance publishes an economic forecast for 2000 and 2001. The output growth is projected to reach 5.2 in 2000 and 4.2 in 2001.

The means testing of the labour market benefit is eased for spouses' income by 15 percentage points. The change is implemented by raising the deduction on the spouse's income from EUR 50 to EUR 235 per month prior to the means test.

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The draft 2001 budget is presented. Overall revenue totals EUR 35.2 billion, increasing by just under 5 per cent compared to the 2000 budget. The budget paper proposes that taxes on earnings be eased by total of EUR 1.1 billion, inflation adjustment inclusive. The budget proposal also includes equity sales proceeds for EUR 420 million. Expenditure before net redemptions amounts to EUR 33.1 billion, EUR 470 million more than the spending ceiling adopted by the government in spring 2000. Items increasing budgetary spending in 2001 consist of the full implementation of the pre-school teaching reform, a raise in national pensions and an expansion in subsidised dental care services. The budget shows a surplus of EUR 2.1 billion.

October

The ECB decides to raise its interest rates by 0.25 percentage point, with the main refinancing rate rising to 4.75 per cent.

November

The net increase in revenue in the government's second supplementary budget for 2000 totals EUR 1.2 billion. Expenditure excluding net debt redemption amounts to EUR 149 million. A proposal is made to disburse a further EUR 1.0 billion in net debt redemptions.

Teollisuuden Voima Oy submits a preliminary application for the construction of the fifth nuclear power plant.

December

Parliament approves the third supplementary budget of the year. Estimated tax revenue for 2000 is revised upwards by EUR 706 million. Net debt redemptions of state debt are increased by EUR 908 million. The tax yield on taxes levied on income and wealth is raised by EUR 757 million and estimated receipts from vehicle taxes are adjusted downwards by EUR 50 million, while estimated dividends income is revised up by EUR 163 million.

Social partners sign a two-year central wage agreement covering 90 per cent of employees and leading to a labour cost rise (excluding wage drift) of 3.1 and 2.3 per cent in 2001 and 2002, respectively.

2001

January

The distribution of corporate income taxes to the different recipient groups are adjusted. The central government will receive 63.08, local government 35.29 and parishes 1.63 per cent of the revenue.

February

The state decides to sell a 26.8 per cent stake in fully state-owned defence group Patria to the European Aeronautic Defence and Space Company (EADS). The government has been actively looking for a partner for Patria, with a mandate from Parliament to cut its stake to 50.1 per cent from 100 per cent.

Telecom operator Sonera proposes to change its option scheme, which has lost its value during 2000. According to the plan two old options could have been changed into one new

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option, the marked value of which is clearly lower. After strong public criticism, the proposal to alter the conditions of executive stock option schemes is buried.

March

The government reaches agreement on the central government spending limits for 2002-05. The limits are agreed at EUR 34.2 billion for 2002, EUR 33.9 billion for 2003, EUR 33.7 billion for 2004 and EUR 33.4 billion for 2005. The limits are drawn up at the price level of 2002.

The government submits to Parliament a report on the National Climate Strategy. The report consists of Finland's national climate strategy necessary to meet the terms of the Kyoto Convention and to implement the targets of the EU policy on sharing the burden to reduce greenhouse gases. Without extra measures to save energy and to reduce greenhouse gases, Finland's greenhouse emissions would clearly exceed the national target over the review period of 2008-12.

Finland joins the Schengen agreement.

April

The Ministry of Social Affairs and Health publishes a strategy up to the year 2010, which calls for abolishing individual early pensions and unemployment pensions. The goal is to extend working life by several years by removing incentives for people to stop working early. According to the Ministry, this is required to cover the costs generated by the ageing population and to guarantee high level of welfare services in the future.

A report published by the Ministry of Labour reveals that about a million jobs will become vacant in the next 15 years when the post-war baby boom generation retires. By the year 2015 nearly one out of two people who are now at work will have retired. In less than 15 years more than 180 000 industrial employees will retire, while nearly as great a reduction, 150 000 people, will take place in the service sector. In the nursing and caring sector almost 130 000 persons will retire.

May

The Ministry of Finance publishes a revised forecast for 2001. The output growth projection is lowered from 4.2 to 3.7 per cent and the general government surplus is revised from 5.4 to 5.1 per cent of GDP.

The government endorses measures to boost the consolidation of local government finances and in particular to level off economic differences between municipalities. The system of VAT refund redemptions from local government will be revised in 2002, by offsetting the VAT sum from corporate income taxes and from central government transfers to local government to the same extent that VAT disappears from the cost bases in the municipalities. The equalisation system used in local government tax revenue will be revised by abolishing the maximum tax equalisation allowance of 15 per cent of the imputed tax revenue of the municipality.

June

The new Employment Contracts Act comes into force. It increases the rights of fixed-term and part-time employees, defines more precisely the system of "general validity" of collective wage agreements and clarifies contract termination provisions.

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Privatisation mandates are broadened by Parliament. The government now has authorisation to reduce the government ownership to 50.1 per cent in Altia Group and Vapo, to 20 per cent in Rautaruukki, to 15 per cent in Kemira Group, 10 per cent in Outokumpu and zero in Inspecta.

August

The ECB decides to lower the interest rate on the main refinancing operations by 0.25 percentage point to 4.25 per cent.

After a lengthy partial strike, doctors in the public health sector settle for a 10.5 per cent pay rise over the two-year period.

A study published by the World Health Organisation shows that Finland is in 44th place in an international comparison of the efficiency of the health care system.

September

Following 11 September terrorist attacks in the United States, the Helsinki stock market initially drops heavily, but rebounds shortly thereafter.

The ECB decides to lower the interest rate on the main refinancing operations by 0.5 percentage point to 3.75 per cent.

The Ministry of Finance publishes a revised forecast for 2001, the second in four months. The output growth projection is lowered from 3.7 to 2.7 per cent and the general government surplus is revised from 5.1 to 4.1 per cent of GDP.

The draft 2002 budget is presented to Parliament. Overall revenue totals EUR 35.3 billion, down by EUR 445 million on the budget for 2001. The draft budget includes cuts in earned-income taxes totalling EUR 665 million. All marginal income tax scales in central government taxation will be lowered by 1 percentage point and the lowest income bracket is raised. The earned-income tax allowance will be increased. Central government tax receipts are expected to decline in 2002 not only due to tax concessions but also because revenue from corporate income taxes and tax on executed options will be lower. Budget expenditure totals EUR 34.6 billion, which is EUR 387 million more than the government decision on spending limits and 4 per cent higher than expenditure in the 2001 budget. The rise in outlays consists mainly of increased spending on education, transfers to local government, transport investment and traffic maintenance. The draft budget shows a surplus of EUR 678 million.

October

Sonera proposes a directed share offering to its owners. The proceeds for the company from the offering are expected to be approximately EUR 1 billion. The government supports the plan and announces that the state will participate in the offering based on its current 52.8 per cent shareholding in the company. Parliament approves the proposal in November.

The Global Competitiveness Report of the World Economic Forum (WEF) ranks Finland the most competitive economy in the world, measured with two different indicators, the Current Competitiveness Index and the Growth Competitiveness Index. This latter index measures factors that support the growth of the gross domestic product.

November

The ECB decides to lower the interest rate on the main refinancing operations by 0.5 percentage point to 3.25 per cent.

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